

MA-105 (Survey of Math)

Worcester State University

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Chapter 1

Voting and Apportionment

Beyond just marking a ballot, these concepts shape how our voices are heard and how resources are distributed. This chapter breaks down the mechanics behind decision-making, offering clear examples of how mathematical fairness directly impacts your community and representation.

Voting methods

How to determine a Winner?

Preference ballots are ballots in which a voter is asked to rank all candidates in order of preference. A **preference table** shows how often each particular outcomes occurred.

Example 1.1 Four candidates are running for student body president: Alice (A), Bonnie (B), Carlos (C) and Daniel (D). The students were asked to rank all the candidates in order of preference.

Table 1.2 Preference Table For The Election Of Student Body President

Number of Votes	130	120	100	150
First choice	A	D	D	C
Second choice	B	B	B	B
Third choice	C	C	A	A
Fourth choice	D	A	C	D

1. How many students voted in the election?
2. How many students selected the candidates in this order : D, B, A, C?
3. How many students selected Daniel (D) as their first choice for student body president?

Solution.

1. To find the total number of students, sum the votes in the top row:
 $130 + 120 + 100 + 150 = 500$ students.
2. Looking at the columns, the order **D, B, A, C** appears in the third column. There were 100 students who voted in this order.

3. Daniel (D) is listed as the first choice in the second and third columns.
The total number of students is $120 + 100 = 220$ students.



Definition 1.3 The Plurality Method. The candidate (or candidates, if there is more than one) with the most first-place votes is the winner. ◆

Example 1.4 Table 1.2 shows the preference table for the four candidates running for student body president. Who is declared the winner using the Plurality method?

Solution. A received 130 first-place votes, D received $120 + 100 = 220$ first-place votes and C received 150 first-place votes. Thus Daniel is the winner.



Majority Rule Decision is when more than 50% of the voters rank a candidate in first-place. The majority rule will almost always have a winner.

Definition 1.5 The Plurality-with-Elimination Method. The candidate with the majority (over 50% votes) of first-place votes is the winner. If no candidate receives a majority, eliminate the candidate with the fewest first-place votes. Move the candidates below them up one place and recount. Repeat until a candidate has a majority. ◆

Example 1.6 Elimination Method Example. Determine the winner for the student president election from Table 1.2, using Plurality-with-Elimination.

Solution. Total votes = 500. Majority needed = 251.

Round 1: A=130, D=220, C=150, B=0. No majority. Bonnie (B) is eliminated.

Table 1.7 Preference Table: Round 2 (Bonnie Eliminated)

Number of Votes	130	120	100	150
First choice	A	D	D	C
Second choice	C	C	A	A
Third choice	D	A	C	D

Round 2: After shifting votes up, the first-place votes remain: A=130, D=220, C=150. Still no majority. Alice (A) has the fewest (130) and is eliminated.

Table 1.8 Preference Table: Final Round (Alice and Bonnie Eliminated)

Number of Votes	130	120	100	150
First choice	C	D	D	C
Second choice	D	C	C	D

Round 3: Alice's 130 votes go to her next preferred candidate, Carlos (C). New totals: Daniel = 220, Carlos = $150 + 130 = 280$.

Carlos now has 280 votes (a majority). Carlos is the winner.



Definition 1.9 The Borda Count Method. Each voter ranks the candidates from the most favorable to the least favorable. Each last-place vote is given 1 point, each next-to-last-place vote is given 2 points, and so on. The points are totaled for each candidate separately. The candidate with the most points is the winner. ◆

Example 1.10 Borda Count Example. Using the preference data from Table 1.2, who is declared the winner using the Borda Count Method?

Solution. With 4 candidates, 1st place gets 4 pts, 2nd gets 3 pts, 3rd gets 2 pts, and 4th gets 1 pt.

Table 1.11 Borda Count Calculation Table

Number of Votes	130	120	100	150
1st choice: 4 pts	A: $130 \times 4 = 520$	D: $120 \times 4 = 480$	D: $100 \times 4 = 400$	C: $150 \times 4 = 600$
2nd choice: 3 pts	B: $130 \times 3 = 390$	B: $120 \times 3 = 360$	B: $100 \times 3 = 300$	B: $150 \times 3 = 450$
3rd choice: 2 pts	C: $130 \times 2 = 260$	C: $120 \times 2 = 240$	A: $100 \times 2 = 200$	A: $150 \times 2 = 300$
4th choice: 1 pt	D: $130 \times 1 = 130$	A: $120 \times 1 = 120$	C: $100 \times 1 = 100$	D: $150 \times 1 = 150$

- **Alice (A):** $(130 \times 4) + (120 \times 1) + (100 \times 2) + (150 \times 2) = 520 + 120 + 200 + 300 = 1140$ pts
- **Bonnie (B):** $(130 \times 3) + (120 \times 3) + (100 \times 3) + (150 \times 3) = 390 + 360 + 300 + 450 = 1500$ pts
- **Carlos (C):** $(130 \times 2) + (120 \times 2) + (100 \times 1) + (150 \times 4) = 260 + 240 + 100 + 600 = 1200$ pts
- **Daniel (D):** $(130 \times 1) + (120 \times 4) + (100 \times 4) + (150 \times 1) = 130 + 480 + 400 + 150 = 1160$ pts

Bonnie is the winner with 1500 points. ▲

Definition 1.12 The Pairwise Comparison Method. Every candidate is matched on a one-to-one basis with every other candidate. If candidate A beats candidate B in one-to-one competition, then A receives 1 point and B receives 0. If they tie, each receives 0.5 points. The candidate with the most total points is the winner.

In an election with n candidates, the number of comparisons, C , is calculated as:

$$C = \frac{n(n-1)}{2}$$



Example 1.13 Pairwise Comparison Example. Using the same preference Table 1.2, for the four candidates (Alice, Bonnie, Carlos, and Daniel), who is the winner using the Pairwise Comparison Method?

Solution. With $n = 4$ candidates, there are $\frac{4(3)}{2} = 6$ total comparisons (A vs.B, A vs.C, A vs.D, B vs.C, B vs.D, C vs.D) and determine the winner using the pairwise comparison method.

130	120	100	150
A	B	B	B
B	A	A	A

vs B

130	120	100	150
A	C	A	C
C	A	C	A

vs C

130	120	100	150
A	D	D	A
D	A	A	D

vs D

130	120	100	150
B	B	B	C
C	C	C	B

vs C

130	120	100	150
B	D	D	B
D	B	B	D

vs D

130	120	100	150
C	D	D	C
D	C	C	D

vs D

1. **A vs B:** Alice is preferred over Bonnie in 130 ballots. Bonnie is preferred over Alice in $120 + 100 + 150 = 370$ ballots. **Winner: Bonnie (B gets 1 pt)**
2. **A vs C:** Alice is preferred over Carlos in $130 + 120 + 100 = 350$ ballots.

- Carlos is preferred over Alice in 150. **Winner: Alice (A gets 1 pt)**
3. **A vs D:** Alice is preferred over Daniel in 130 ballots. Daniel is preferred over Alice in $120 + 100 + 150 = 370$ ballots. **Winner: Daniel (D gets 1 pt)**
4. **B vs C:** Bonnie is preferred over Carlos in $130 + 120 + 100 = 350$ ballots. Carlos is preferred over Bonnie in 150. **Winner: Bonnie (B gets 1 pt)**
5. **B vs D:** Bonnie is preferred over Daniel in $130 + 150 = 280$ ballots. Daniel is preferred over Bonnie in $120 + 100 = 220$. **Winner: Bonnie (B gets 1 pt)**
6. **C vs D:** Carlos is preferred over Daniel in $130 + 150 = 280$ ballots. Daniel is preferred over Carlos in $120 + 100 = 220$. **Winner: Carlos (C gets 1 pt)**

Final Point Totals:

- Bonnie (B): 3 points
- Alice (A): 1 point
- Daniel (D): 1 point
- Carlos (C): 1 point

Bonnie is the winner using Pairwise Comparison. ▲

If a candidate wins all pair comparisons with other candidates, that candidate is called the **Condorcet winner**. A Condorcet winner automatically wins by the pairwise comparisons method.

Example 1.14 Condorcet Winner. Is there a Condorcet winner in the following election?

Table 1.15 Preference Table for Condorcet Example

Number of Votes	30	30	30	20
First choice	B	B	A	A
Second choice	A	A	C	D
Third choice	C	D	D	C
Fourth choice	D	C	B	B

Solution. To find a Condorcet winner, we must see if one candidate wins every head-to-head matchup. Let's check candidate **B** and candidate **A**:

- **B vs A:** B is ranked higher than A in $30 + 30 = 60$ ballots. A is ranked higher than B in $30 + 20 = 50$ ballots. **Winner: B.**
- **B vs C:** B is ranked higher than C in $30 + 30 + 30 + 20 = 110$ ballots (every ballot). **Winner: B.**
- **B vs D:** B is ranked higher than D in $30 + 30 + 30 + 20 = 110$ ballots (every ballot). **Winner: B.**

Since **B** beats every other candidate in a one-on-one comparison, **B is the Condorcet winner.** ▲

Arrow's Impossibility Theorem states that a ranked-voting electoral system cannot reach a community-wide ranked preference by converting individuals' preferences while meeting all the conditions of a fair voting system.

Consider the following situation with 3 candidates in one-to-one competition (pairwise comparison method):

- Suppose candidate A beats candidate B
- Suppose candidate B beats candidate C
- Suppose candidate C beats candidate A

When this occurs, it is because the conflicting majorities are each made up of different groups of individuals. No winner can be determined.

This is called the **Condorcet Paradox** (also known as the voting paradox).

Example 1.16 Condorcet Paradox. Who would win this election through the pairwise comparison method?

Table 1.17 Preference Table: Three-Candidate Election

Number of Votes	8	9	10
First choice	C	B	A
Second choice	A	C	B
Third choice	B	A	C

Solution. We perform the three possible head-to-head comparisons:

- **A vs B:** A is preferred on 8 (col 1) + 10 (col 3) = 18 ballots. B is preferred on 9 (col 2) ballots. **Winner: A** (A gets 1 pt).
- **B vs C:** B is preferred on 9 (col 2) + 10 (col 3) = 19 ballots. C is preferred on 8 (col 1) ballots. **Winner: B** (B gets 1 pt).
- **C vs A:** C is preferred on 8 (col 1) + 9 (col 2) = 17 ballots. A is preferred on 10 (col 3) ballots. **Winner: C** (C gets 1 pt).

Each candidate (A, B, and C) has exactly 1 point. This is a **Condorcet Paradox** because there is a "rock-paper-scissors" loop (A beats B, B beats C, and C beats A), resulting in a three-way tie. ▲

Checkpoint 1.18 Mayor of a Small Town. Three candidates A, B, and C are running for mayor of a small town. The results of the election are shown in the following preference table.

Table 1.19 Mayor Election Preference Table

Number of Votes	1200	900	900	600
First choice	A	C	B	B
Second choice	B	A	C	A
Third choice	C	B	A	C

1. Determine the winner using the Plurality method.
2. Determine the winner using the Borda count method.
3. Determine the winner using the Plurality-with-elimination method.

4. Is there a Condorcet Winner?

Answer.

1. **Plurality:** $A = 1200$, $B = 900 + 600 = 1500$, $C = 900$. **Winner: B.**

2. **Borda Count (3-2-1):**

- A: $(1200 \times 3) + (900 \times 2) + (900 \times 1) + (600 \times 2) = 3600 + 1800 + 900 + 1200 = 7500$
- B: $(1200 \times 2) + (900 \times 1) + (900 \times 3) + (600 \times 3) = 2400 + 900 + 2700 + 1800 = 7800$
- C: $(1200 \times 1) + (900 \times 3) + (900 \times 2) + (600 \times 1) = 1200 + 2700 + 1800 + 600 = 6300$

Winner: B.

3. **Plurality-with-Elimination:** Total votes = 3600; Majority = 1801.
Round 1: $A=1200$, $B=1500$, $C=900$. No majority. Eliminate C. C's 900 votes go to A (second choice). Final: $A = 1200 + 900 = 2100$, $B = 1500$.
Winner: A.

4. **Condorcet Winner Check:**

- A vs B: A is preferred on $1200 + 900 = 2100$. B on 1500. (A wins)
- A vs C: A is preferred on $1200 + 600 = 1800$. C on $900 + 900 = 1800$. (Tie)

Since A does not win all matches, **No Condorcet Winner exists.**

Solution.

1. *Plurality Method.*

We count only the first-place votes for each candidate:

- **A:** 1200 votes
- **B:** $900 + 600 = 1500$ votes
- **C:** 900 votes

Winner: B (1500 votes).

2. *Borda Count Method (3-2-1 Points).*

Table 1.20 Borda Count Point Distribution

Candidate	1st (3 pts)	2nd (2 pts)	3rd (1 pt)	Total Points
A	$1200 \times 3 = 3600$	$(900 + 600) \times 2 = 3000$	$900 \times 1 = 900$	7500
B	$(900 + 600) \times 3 = 4500$	$1200 \times 2 = 2400$	$900 \times 1 = 900$	7800
C	$900 \times 3 = 2700$	$900 \times 2 = 1800$	$(1200 + 600) \times 1 = 1800$	6300

Winner: B (7800 points).

3. *Plurality-with-Elimination.*

Total Votes: 3600. Majority needed: 1801.

Round 1: $A=1200$, $B=1500$, $C=900$. No candidate has 1801. Eliminate C.

Table 1.21 Final Round (C Eliminated)

Votes	1200	900	900	600
1st	A	A	B	B
2nd	B	B	A	A

New totals: $A = 1200 + 900 = 2100$. $B = 900 + 600 = 1500$. **Winner:** **A** (2100 votes).

Checkpoint 1.22 Math Club Presidential Election. Four candidates are running for president of the Math Club: Paula (P), Sylvia (S), Craig (C), and Brian (B). The results of the election are shown in the following preference table:

Table 1.23 Election Preference Schedule

Number of Votes	15	19	23	10	18	15
First choice	B	C	P	P	S	B
Second choice	S	P	S	B	C	S
Third choice	P	S	B	C	P	C
Fourth choice	C	B	C	S	B	P

- 1 How many students voted in the election?
- 2 How many students voted Brian as their first choice?
- 3 Who would win the presidency using the Plurality method?
- 4 Is there a Majority Winner?
- 5 Who would win the presidency using the Plurality with Elimination method?
- 6 Who would win the presidency using the Borda count method?
- 7 Who would win the presidency using the pairwise comparison method?
If a tie, use the Plurality method between the winners to determine the tie-breaker.

Answer.

- 1 100 students
- 2 30 students
- 3 Paula (33 votes)
- 4 No (Majority requires 51 votes)
- 5 Craig
- 6 Sylvia (279 points)
- 7 Paula (3 points)

Solution.

- 1 Total Votes: 100.
- 2 Brian 1st choice: 30.
- 3 Plurality Winner: Paula (33).

4 Majority: No (Requires 51).

5 Plurality with Elimination:

Round 1: Sylvia has the fewest 1st-place votes (18) and is eliminated.

Table 1.24 Round 2 (Sylvia Eliminated)

Votes	15	19	23	10	18	15
1st	B	C	P	P	C	B
2nd	P	P	B	B	P	C
3rd	C	B	C	C	B	P

New totals: P=33, B=30, C=37 (19 + 18). Brian is eliminated.

Table 1.25 Round 3 (Brian Eliminated)

Votes	15	19	23	10	18	15
1st	P	C	P	P	C	C
2nd	C	P	C	C	P	P

Round 3: Paula vs. Craig. Craig wins the final matchup against Paula 52 to 48.

Winner: Craig.

6 Borda Count Method:

Using 4 pts for 1st, 3 for 2nd, 2 for 3rd, and 1 for 4th:

- Paula: $33(4) + 19(3) + 33(2) + 15(1) = 270$
- Sylvia: $18(4) + 53(3) + 19(2) + 10(1) = 279$
- Craig: $19(4) + 18(3) + 25(2) + 38(1) = 218$
- Brian: $30(4) + 10(3) + 23(2) + 37(1) = 233$

Winner: Sylvia.

7 Pairwise Comparison:

For the **Pairwise Comparison Method**, we compare every possible pair. There are 100 total votes, so 51 are needed to win a matchup:

- P vs. S: P has 52; S has 48. (P gets 1 pt)
- P vs. C: P has 63; C has 37. (P gets 1 pt)
- P vs. B: P has 70; B has 30. (P gets 1 pt)
- S vs. C: S has 81; C has 19. (S gets 1 pt)
- S vs. B: S has 60; B has 40. (S gets 1 pt)
- C vs. B: C has 60; B has 40. (C gets 1 pt)

Total Points: Paula = 3, Sylvia = 2, Craig = 1, Brian = 0. Paula is the winner; no tie-breaker is required.

Apportionment

Apportionment is the method of distributing power in political systems based on population density. Apportionment may reflect the availability of buses for city routes or doctors for patients.

Definition 1.26 The Standard Divisor. The standard divisor is found by dividing the total population under consideration by the number of items to be allocated.

$$\text{Standard divisor} = \frac{\text{total population in a group}}{\text{total number of items to be apportioned}}$$



Definition 1.27 The Standard Quota. The standard quota for a particular group is found by dividing that group's population by the standard divisor.

$$\text{Standard quota} = \frac{\text{population of a particular group}}{\text{standard divisor}}$$



Example 1.28 Palm Springs is composed of four states: A, B, C, and D. According to the country's constitution, the congress will have 30 seats, divided among the four states according to their respective populations. Find the standard quotas for states A, B, C, and D and complete the table below.

Table 1.29 Population of Palm Springs by State

State	A	B	C	D	Total
Population (in thousands)	275	383	465	767	1890
Standard Quota					

Solution. First, we find the **Standard Divisor** (SD):

$$SD = \frac{1890}{30} = 63$$

Now, divide each state's population by the divisor to find the **Standard Quota** (SQ):

- State A: $275/63 \approx 4.3651$
- State B: $383/63 \approx 6.0794$
- State C: $465/63 \approx 7.3810$
- State D: $767/63 \approx 12.1746$

Table 1.30

State	A	B	C	D	Total
Population (in thousands)	275	383	465	767	1890
Standard Quota	4.365	6.079	7.381	12.175	



The **lower quota** is the standard quota rounded down to the nearest whole number. The **upper quota** is the standard quota rounded up to the nearest whole number.

A group's apportionment should be either its upper quota or its lower quota. An apportionment method that guarantees that this will always occurs is said to **satisfy the quota rule**.

Algorithm 1.31 Hamilton's Method.

1. Calculate each group's standard quota.
2. Find the lower quota for each group.
3. Give surplus items, one at a time, to groups with the largest decimal parts until no surplus remains.

Example 1.32 From Table 1.29, use Hamilton's method to apportion the 30 congressmen for Palm Springs.

Table 1.33 Hamilton's Method Table

State	A	B	C	D	Total
Population	275	383	465	767	1890
Standard Quota	4.365	6.079	7.381	12.175	30.00
Lower Quota	4	6	7	12	29
Surplus	+0	+0	+1	+0	1
Apportionment	4	6	8	12	30

1. The Standard Divisor is 63.
2. Lower quotas sum to 29, leaving 1 surplus seat.
3. State C has the largest decimal part (.381), so it receives the surplus seat.

Solution. Following the steps of **Hamilton's Method**:

1. The sum of the **Lower Quotas** is $4 + 6 + 7 + 12 = 29$. Since we must allocate 30 seats, there is $30 - 29 = 1$ surplus seat.
2. We look at the decimal parts of the Standard Quotas:
 - A: 0.365
 - B: 0.079
 - C: 0.381
 - D: 0.175
3. State C has the largest decimal part (0.381), so it receives the 1 surplus seat.
4. Final counts: A=4, B=6, C=8, D=12.


Modified Divisor (MD).

A **Modified divisor** is a divisor, chosen by guess-and-check, that is used to make the sum of the modified quotas exactly equal to the number of items to be apportioned.

Algorithm 1.34 Jefferson's Method. Find a *modified divisor* such that when each group's modified quota is rounded down (**modified lower quota**), the sum equals the number of items to be apportioned. Apportion to each group its modified lower quota.

1. Calculate the **Standard Divisor** ($SD = \text{Total Pop}/\text{Seats}$).
2. Calculate **Standard Quotas** and round down to find **Lower Quotas**.

3. If the sum of Lower Quotas is less than the total seats, choose a **Modified Divisor** (MD) that is smaller than the SD .
4. Recalculate quotas using MD and round down until the sum exactly matches the total seats.

Example 1.35 From Table 1.29, apportion 30 seats to Palm Springs using Jefferson's Method.

Solution. The standard divisor (63) produced a sum of 29. For Jefferson's method, we must *decrease* the divisor to increase the quotas. Using a **Modified Divisor** of 61:

- A: $275/61 \approx 4.50 \rightarrow 4$
- B: $383/61 \approx 6.27 \rightarrow 6$
- C: $465/61 \approx 7.62 \rightarrow 7$
- D: $767/61 \approx 12.57 \rightarrow 13$

Sum: $4 + 6 + 7 + 13 = 30$. State D receives the extra seat.

Table 1.36 Jefferson's Method: Palm Springs

State	A	B	C	D	Total
Population	275	383	465	767	1890
Standard Quota ($SD=63$)	4.365	6.079	7.381	12.175	30
Lower Quota	4	6	7	12	29
Modified Quota ($MD=61$)	4.508	6.279	7.623	12.574	30.98
Modified LQ (Apportionment)	4	6	7	13	30



Checkpoint 1.37 Apportioning 11 buses. Apportion 11 buses to the three towns using Jefferson's method.

Table 1.38 Bus Apportionment Table

Town	Westboro	Shrewbury	Worcester	Total
Population	89	120	168	377
Final Apportionment				

Solution. First, find the Standard Divisor: $SD = 377/11 \approx 34.27$.

Table 1.39 Trial 1: Using Standard Divisor (34.27)

Town	Westboro	Shrewbury	Worcester	Total
Population	89	120	168	377
Standard Quota	2.59	3.50	4.90	10.99
Lower Quota	2	3	4	9

The sum (9) is too low. We need 11 buses. We must *decrease* the divisor. Let's try a smaller divisor, $MD = 31$.

Table 1.40 Trial 2: Modified Divisor (31)

Town	Westboro	Shrewbury	Worcester	Total
Modified Quota	2.87	3.87	5.41	12.15
Lower Quota	2	3	5	10

The sum (10) is still too low. We must decrease the divisor further.

Trying $MD = 30$.

Table 1.41 Final Apportionment: Modified Divisor (30)

Town	Westboro	Shrewbury	Worcester	Total
Modified Quota	2.96	4.00	5.60	12.56
Modified LQ	2	4	5	11

The sum is exactly 11. Final Apportionment: Westboro: 2, Shrewbury: 4, Worcester: 5.

Table 1.42 Bus Apportionment Work Table

Town	Westboro	Shrewbury	Worcester	Total
Population	89	120	168	377
Standard Quota	2.59	3.50	4.90	10.99
Lower Quota	2	3	4	9
Modified Quota (MD=31)	2.87	3.87	5.41	12.15
Modified LQ	2	3	5	10
Modified Quota (MD=30)	2.96	4.00	5.60	12.56
Final Apportionment	2	4	5	11

Algorithm 1.43 Adam's Method.

1. Find a **modified divisor**, d , so that when each group's **modified quota** is the upper quota, the sum of the whole numbers for all the groups is the number of items to be apportioned. The modified quotients that are rounded up are called **modified upper quota**.

2. Apportion to each group its modified upper quota.

When using Adam's method, begin with a modified divisor that is slightly greater than the standard divisor.

Example 1.44 The Palm Springs is composed of four states: A, B, C, and D. According to the country's constitution, the congress will have 30 seats, divided among the four states according to their respective populations.

Find the standard quotas for states A, B, C, and D in Palm Springs and complete the table below. Use Adam's method with a modified divisor to apportion the congressmen.

Table 1.45 Population Data and Apportionment

State	A	B	C	D	Total
Population (1000s)	275	383	465	767	1890
Standard Quota					
Upper Quota					
Modified UQ					
Apportionment					30

Solution. 1. First, find the Standard Divisor (SD):

$$SD = \frac{1890}{30} = 63$$

2. Calculate Standard Quotas ($Pop/63$):

- A: 4.365 (Upper Quota: 5)
- B: 6.079 (Upper Quota: 7)

- C: 7.381 (Upper Quota: 8)
- D: 12.175 (Upper Quota: 13)

Sum of Upper Quotas = $5 + 7 + 8 + 13 = 33$ (Too many seats).

3. Since the sum is too high, we increase the divisor. Let's try $md = 70.5$:

- A: $275/70.5 \approx 3.90 \rightarrow 4$
- B: $383/70.5 \approx 5.43 \rightarrow 6$
- C: $465/70.5 \approx 6.60 \rightarrow 7$
- D: $767/70.5 \approx 10.88 \rightarrow 11$

Sum = $4 + 6 + 7 + 11 = 28$ (Too low).

4. Refined $md = 67.5$: Sums will result in A:5, B:6, C:7, D:12 = 30.

Using $md = 66.5$:

State	A	B	C	D	Total
Standard Quota ($d = 63$)	4.37	6.08	7.38	12.18	30
Upper Quota	5	7	8	13	33
Mod. Quota ($d = 66.5$)	4.14	5.76	6.99	11.53	—
Modified UQ	5	6	7	12	30



Finding the Modified Divisor for Adam's Method:.

1. Compute the standard divisor

$$D = \frac{\text{Total population}}{\text{Number of seats}}.$$

2. Increase D by an amount so that when allocations (State population / Modified D) are rounded upward, they add up to the exact number of seats.

Checkpoint 1.46 Apportioning 7 Doctors. Apportion 7 doctors to 4 clinics using Adam's method.

Clinic	West	North	South	East	Total
Population	120	180	160	240	700
Appointment					

Solution. Standard Divisor (SD) = $700/7 = 100$.

The final apportionment using Adam's method with a modified divisor of $md=120$ is: West: 1, North: 2, South: 2, and East: 2.

Clinic	West	North	South	East	Total
Population	120	180	160	240	700
Standard Quota ($d = 100$)	1.2	1.8	1.6	2.4	7
Upper Quota (Initial)	2	2	2	3	9 (Too High)
Mod. Quota ($d = 120$)	1.0	1.5	1.33	2.0	—
Modified UQ (Final)	1	2	2	2	7

Checkpoint 1.47 Apportioning 40 HMO Doctors. An HMO has 40 doctors to be apportioned among four clinics: A, B, C, and D.

Clinic	A	B	C	D
Patient Load	275	392	611	724
Apportionment				

- 1 Use Hamilton's method.
- 2 Use Jefferson's method with $d = 48$.
- 3 Use Adam's method.

Solution 1 (Hamilton's Method Solution). Calculate Standard Divisor (SD) and Quotas

- Total Patient Load: $275 + 392 + 611 + 724 = 2002$
- $SD = 2002/40 = 50.05$

Clinic	A	B	C	D	Total
Load	275	392	611	724	2002
Standard Quota	5.4945	7.8322	12.2078	14.4655	40
Lower Quota	5	7	12	14	38
Fractional Part	0.4945	0.8322	0.2078	0.4655	—
Surplus Seat	+1	+1	0	0	+2
Apportionment	6	8	12	14	40

Solution 2 (Jefferson's Method Solution ($d=48$)).

Clinic	A	B	C	D	Total
Modified Quota	5.73	8.17	12.73	15.08	—
Apportionment	5	8	12	15	40

Solution 3 (Adam's Method Solution ($md=52$)).

Clinic	A	B	C	D	Total
Modified Quota	5.29	7.54	11.75	13.92	—
Apportionment	6	8	12	14	40

Checkpoint 1.48 Apportioning Math Course Sections. Thirty sections of math courses are to be offered in introductory algebra, intermediate algebra, college algebra, and liberal arts math. The preregistration figures for the number of students planning to enroll in each section are given in the following table.

Course	Intro	Intermed	College	Lib Arts	Total
Enrollment	388	405	213	345	1351

- 1 Use Hamilton's method to determine how many sections of each course should be offered.
- 2 Use Jefferson's method with Modified divisor $md = \underline{\hspace{1cm}}$ to determine how many sections of each course should be offered.
- 3 Use Adam's method with Modified divisor $md = \underline{\hspace{1cm}}$ to determine how many sections of each course should be offered.

Solution. Thirty sections of math courses are to be offered based on preregistration figures.

1 Hamilton's Method ($SD = 45.0333$):

Course	Intro	Intermed	College	Lib Arts	Total
Enrollment	388	405	213	345	1351
Standard Quota	8.6158	8.9933	4.7298	7.6610	30
Lower Quota	8	8	4	7	27
Fractional Part	0.6158	0.9933	0.7298	0.6610	—
Surplus Row	0	+1	+1	+1	+3
Apportionment	8	9	5	8	30

2 Jefferson's Method (using $d = 42.5$):

Course	Intro	Intermed	College	Lib Arts	Total
Mod. Quota	9.129	9.529	5.011	8.117	—
Apportionment	9	9	5	8	31 (Try Again)
Mod. Quota ($d = 43$)	9.023	9.418	4.953	8.023	—
Apportionment	9	9	4	8	30

3 Adam's Method (using $d = 48$):

Course	Intro	Intermed	College	Lib Arts	Total
Mod. Quota	8.083	8.437	4.437	7.187	—
Apportionment	9	9	5	8	31 (Try Again)
Mod. Quota ($d = 49$)	7.918	8.265	4.346	7.040	—
Apportionment	8	9	5	8	30

Example 1.49 Hamilton's Method Apportionment of 100 seats. Suppose there were four states, A, B, C, and D with populations as shown in the table below. Suppose these four states decide to create a legislature with 100 seats. Apply Hamilton's method to determine the apportionment.

Table 1.50

Category	State A	State B	State C	State D	Total
Population	936	2,726	2,603	3,735	10,000
Standard Quota					
Lower Quota					
Surplus					
Apportioned Seats					100

The following table demonstrates the apportionment using Hamilton's Method with a standard divisor of $SD = 10,000/100 = 100$.

Table 1.51 Hamilton's Method Apportionment

Category	State A	State B	State C	State D	Total
Population	936	2,726	2,603	3,735	10,000
Standard Quota	9.36	27.26	26.03	37.35	100.00
Lower Quota	9	27	26	37	99
Fractional Part	0.36	0.26	0.03	0.35	-
Surplus	+1				
Final Seats	10	27	26	37	100



Theorem 1.52 The Alabama Paradox. *In a fair apportionment system, adding extra seats must not result in fewer seats for any state. The **Alabama Paradox** occurs when the total number of available seats increases, yet one state (or more) loses seats as a result. This paradox can occur when using HAMILTON'S METHOD.*

Example 1.53 Hamilton's Method Apportionment of 101 seats. Using Hamilton's method, recompute the apportionment from [Example 1.49](#), if there are 101 seats instead of 100. Does the Alabama paradox occur?

Table 1.54

States	State A	State B	State C	State D	Total
Population	936	2,726	2,603	3,735	10,000
Standard Quota					
Lower Quota					
Surplus					
Apportioned Seats					101

The table below shows the Hamilton's Method apportionment with 101 seats.

Note that State A loses a seat compared to the 100-seat scenario, demonstrating the Alabama Paradox.

Table 1.55 Hamilton's Method (101 Seats)

States	State A	State B	State C	State D	Total
Population	936	2,726	2,603	3,735	10,000
Standard Quota	9.4536	27.5326	26.2903	37.7235	101.0000
Lower Quota	9	27	26	37	99
Fractional Part	0.4536	0.5326	0.2903	0.7235	-
Surplus		+1		+1	
Final Seats	9	28	26	38	101



Chapter Exercises

Exercises

1. The city council gave a questionnaire to its citizens, asking them their priorities for next year's budget: (P)olice, (R)oads, (S)chools, and (T)rash removal.

Preference	15	30	18	17	2
1st	P	T	P	R	R
2nd	R	R	S	T	S
3rd	S	S	T	S	P
4th	T	P	R	P	T

- (a) Which option is selected using the plurality method?
- (b) Which option is selected using the plurality-with-elimination method?
- (c) Which option is selected using the Borda count method?
- (d) Which option is selected using the pairwise comparison method?

Solution.

- (a) Plurality Method: Count only first-place votes.

- P: $15 + 18 = 33$
- T: 30
- R: $17 + 2 = 19$
- S: 0

Winner: Police (P) with 33 votes.

- (b) Plurality-with-Elimination:

- Round 1: S has 0 votes. Eliminate S.

Preference	15	30	18	17	2
1st	P	T	P	R	R
2nd	R	R	T	T	P
3rd	T	P	R	P	T

- Round 2: R has the fewest 1st place votes (19). Eliminate R. The 17 votes from (R, T, S, P) move to T. The 2 votes from (R, S, P, T) move to P.

Preference	15	30	18	17	2
1st	P	T	P	T	P
2nd	T	P	T	P	T

New totals: P: $15 + 18 + 2 = 35$; T: $30 + 17 = 47$.

Winner: Trash Removal (T).

- (c) Borda Count: 1st = 4pts, 2nd = 3pts, 3rd = 2pts, 4th = 1pt.

- P: $15(4) + 30(1) + 18(4) + 17(1) + 2(2) = 183$
- R: $15(3) + 30(3) + 18(1) + 17(4) + 2(4) = 229$
- S: $15(2) + 30(2) + 18(3) + 17(2) + 2(3) = 184$
- T: $15(1) + 30(4) + 18(2) + 17(3) + 2(1) = 224$

Winner: Roads (R) with 229 points.

- (d) Pairwise Comparison:

- P vs R: P=33, R=49. (R wins)

- P vs S: P=63, S=19. (P wins)
- P vs T: P=35, T=47. (T wins)
- R vs S: R=64, S=18. (R wins)
- R vs T: R=52, T=30. (R wins)
- S vs T: S=35, T=47. (T wins)

R has 3 wins, T has 2 wins, P has 1 win. Winner: Roads (R).

2. The preference table shows the results of an election among three candidates, A, B, and C.

Number of votes	7	6	3
1st choice	A	B	C
2nd choice	B	C	B
3rd choice	C	A	A

- (a) Using the plurality method, who is the winner?
- (b) Is the Majority satisfied?
- (c) Is the Condorcet satisfied?

Solution. Total votes: $7 + 6 + 3 = 16$. Votes needed for a majority: $16/2 = 8$, so 9 votes are required.

- (a) Plurality Method: Count only 1st choice votes:

- A: 7 votes
- B: 6 votes
- C: 3 votes

The winner is Candidate A.

- (b) Majority Criterion: A candidate must have more than 50% of the first-place votes to be a majority winner. Since the leader (A) has only 7 votes and 9 were needed for a majority, there is no majority winner. The criterion is satisfied (vacuously) because the criterion only says "if a majority winner exists, they must win." Since none exists, the rule isn't broken.

- (c) Condorcet Criterion: We check if the plurality winner (A) is also the Condorcet winner by doing pairwise comparisons:

- A vs B: A is preferred by 7 voters; B is preferred by $6 + 3 = 9$ voters. B wins.
- B vs C: B is preferred by $7 + 3 = 10$ voters; C is preferred by 6 voters. B wins.
- A vs C: A is preferred by 7 voters; C is preferred by $6 + 3 = 9$ voters. C wins.

Candidate B wins all head-to-head matches and is the Condorcet Winner. Since the plurality method chose A instead of B, the Condorcet Criterion is not satisfied in this election.

3. The preference table shows the results of an election among three candidates, A, B, and C.

Number of votes	10	4	2
1st choice	A	B	C
2nd choice	B	C	B
3rd choice	C	A	A

- (a) Using the plurality-with-elimination method, who is the winner?
- (b) Is the Majority satisfied?
- (c) In the actual election, the 2 voters in the last column who voted C, B, and A, change their vote to A, B, C. Using the plurality-with-elimination method, which candidate wins the actual election?

Solution. Total votes: $10 + 4 + 2 = 16$. Majority needed: 9 votes.

- (a) Plurality-with-Elimination:

- Round 1: A has 10 votes, B has 4, and C has 2. Since A has 10 votes (more than the majority of 9), A is the winner immediately.

Winner: Candidate A.

- (b) Majority: Yes. Candidate A has a majority of first-place votes (10 out of 16) and won the election. Therefore, the Majority is satisfied.
- (c) Changed Election: If the 2 voters for C change to A, the new totals are:

- A: $10 + 2 = 12$ votes
- B: 4 votes
- C: 0 votes

Winner: Candidate A.

4. If a candidate wins all pairwise comparisons with other candidates, that candidate is called the **Condorcet winner**.

The mathematics department is hiring a new faculty member and the five-person hiring committee has interviewed four candidates: Adam(A), Beth(B), Carol(C), and Dan(D). They have decided to use Condorcet's method on their five ballots. Who gets the offer?

Choice	Voter 1	Voter 2	Voter 3	Voter 4	Voter 5
First	B	D	C	D	B
Second	A	B	A	A	A
Third	C	C	B	C	D
Fourth	D	A	D	B	C

Solution. To find the Condorcet winner, we must compare each candidate head-to-head. There are 5 voters, so 3 votes are needed to win a comparison.

- A vs. B:
Voter 1: B, Voter 2: B, Voter 3: A, Voter 4: A, Voter 5: B.
Result: B wins 3 to 2.
- A vs. C:
Voter 1: A, Voter 2: C, Voter 3: C, Voter 4: A, Voter 5: A.

Result: A wins 3 to 2.

- A vs. D:

Voter 1: A, Voter 2: D, Voter 3: A, Voter 4: D, Voter 5: A.

Result: A wins 3 to 2.

- B vs. C:

Voter 1: B, Voter 2: B, Voter 3: C, Voter 4: C, Voter 5: B.

Result: B wins 3 to 2.

- B vs. D:

Voter 1: B, Voter 2: D, Voter 3: B, Voter 4: D, Voter 5: B.

Result: B wins 3 to 2.

- C vs. D:

Voter 1: C, Voter 2: D, Voter 3: C, Voter 4: D, Voter 5: D.

Result: D wins 3 to 2.

Summary of Wins:

- Beth (B) won 3 comparisons (vs. A, C, and D).
- Adam (A) won 2 comparisons (vs. C and D).
- Dan (D) won 1 comparison (vs. C).
- Carol (C) won 0 comparisons.

Since Beth (B) won every head-to-head match, she is the Condorcet winner and gets the offer.

5. A small city has 30 police officers to be apportioned among 4 precincts based on the population of each precinct. The populations are given in the following table.

<i>Precinct</i>	1	2	3	4	Total
Population	3117	1883	2776	3174	10,950

- Find the standard divisor.
- Find the standard quota for each precinct.
- Find the modified quota for the fourth precinct using Jefferson's method with a modified divisor of 350.
- Find the apportionment for the second precinct using Adams's method with a modified divisor of 380.

Solution. Part (a) & (b): Standard Divisor and Standard Quotas
 The Standard Divisor (SD) is $10,950/30 = 365$.

Table 1.56 Hamilton's Method (Standard Quotas)

Category	Precinct 1	Precinct 2	Precinct 3	Precinct 4	Total
Population	3117	1883	2776	3174	10,950
Std. Quota	8.54	5.16	7.61	8.70	30.00
Lower Quota	8	5	7	8	28
Fraction	0.54	0.16	0.61	0.70	-
Surplus			+1	+1	
Hamilton Final	8	5	8	9	30

Part (c): Jefferson's Method (Modified Divisor $d = 350$)

Table 1.57 Jefferson's Method Calculation

Category	Precinct 1	Precinct 2	Precinct 3	Precinct 4	Total
Mod. Quota	8.91	5.38	7.93	9.07	-
Jefferson Apport.	8	5	7	9	29

The modified quota for the fourth precinct is 9.07.

Part (d): Adams's Method (Modified Divisor $d = 380$)

Table 1.58 Adams's Method Calculation

Category	Precinct 1	Precinct 2	Precinct 3	Precinct 4	Total
Mod. Quota	8.20	4.96	7.31	8.35	-
Adams Apport.	9	5	8	9	31

The apportionment for the second precinct using Adams's method is 5 officers.

6. A mother has an incentive program to get her five children to read more. She has 30 pieces of candy to divide among her children at the end of the week based on the number of minutes each of them spends reading.

Child	Abby	Bobby	Charli	Dave	Eddie	Total
Reading Times	138	142	188	218	64	750

- (a) Use Hamilton's method to apportion 30 pieces of candy.
- (b) At the last minute, the mother finds another piece of candy and does the apportionment again. Now, she has 31 pieces of candy to divide among her children at the end of the week based on the number of minutes each of them spends reading. Use Hamilton's method to apportion the candy among the children.
- (c) Look at your answers for parts (a) and (b). What changed and why? Why is the change interesting? This is an example of which paradox?

Solution. Part (a): 30 Pieces (Standard Divisor = 25)

Table 1.59 Apportionment for 30 Pieces

Category	Abby	Bobby	Charli	Dave	Eddie	Total
Reading Min	138	142	188	218	64	750
Std. Quota	5.52	5.68	7.52	8.72	2.56	30.00
Lower Quota	5	5	7	8	2	27
Fraction	0.52	0.68	0.52	0.72	0.56	-
Surplus		+1		+1	+1	
Final Seats	5	6	7	9	3	30

Part (b): 31 Pieces (Standard Divisor = 24.1935)

Table 1.60 Apportionment for 31 Pieces

Category	Abby	Bobby	Charli	Dave	Eddie	Total
Reading Min	138	142	188	218	64	750
Std. Quota	5.704	5.870	7.771	9.011	2.645	31.00
Lower Quota	5	5	7	9	2	28
Fraction	0.704	0.870	0.771	0.011	0.645	-
Surplus	+1	+1	+1			
Final Seats	6	6	8	9	2	31

Part (c): Increasing the total number of items from 30 to 31 creates the **Alabama Paradox**. In this specific case, Eddie loses a candy even though the total amount of candy increased.

Chapter 2

Personal Finance

In an era of digital banking and shifting economies, understanding your personal finances is a superpower. This resource moves beyond the classroom to show how smart financial habits today can create long-term stability and open doors for the opportunities you care about most.

Understanding Interest: Simple Interest

Interest is the dollar amount that we get paid for lending money or pay for borrowing money. When we deposit money in a financial institution, the institution pays us interest for its use. When we borrow money, interest is the price we pay for the privilege of using the money until we repay it.

Definition 2.1 Simple Interest. The amount of money that we deposit or borrow is called the *principal*. The amount of interest depends on the principal, the interest *rate*, which is given as a percent and varies from bank to bank, and the length of time for which the money is deposited. *Simple interest* involves interest calculated *only on the principal*.

$$\text{Interest} = \text{Principal} \times \text{rate} \times \text{time}$$

$$I = Prt$$

The rate, r , is expressed as a decimal when you calculate simple interest. ♦

Example 2.2 Calculating Simple interest for a year. You deposit \$2,000 in a savings account, which has a rate 6.0%. Find the interest at the end of the first year. We can use the formula for simple interest to find the interest at the end of the first year. $\text{Interest} = \text{Principal} \times \text{rate} \times \text{time}$
 $\text{Interest} = 2000 \times 0.06 \times 1 = 120$ ▲

Example 2.3 Calculating Simple interest for more than a year. A student took out a simple interest loan for \$1,300 for two years at a rate of 7.5% to purchase a used car. What is the interest on the loan? We can use the formula for simple interest to find the interest on the loan. $\text{Interest} = \text{Principal} \times \text{rate} \times \text{time}$
 $\text{Interest} = 1300 \times 0.075 \times 2 = 195$ ▲

When a loan is repaid, the interest is added to the original principal to find the total amount due. In [Example 2.3](#), at the end of 2 years the student will have to repay.

$$\text{Principal} + \text{Interest} = 1300 + (1300 \times 0.075 \times 2) = 1300 + 195 = 1495$$

In general, after t years the amount due, A , can be determined as follows:

$$A = P + \underbrace{I}_{I=Prt} = P + Prt = P(1 + rt)$$

Definition 2.4 Future Value. *Future value = Principal + Interest:* The amount due, A , is called the **future value** of the loan. The principal borrowed P is also known as the loan's **present value**.

$$A = P(1 + rt)$$



Example 2.5 Calculating Future Value. What is the future value of a \$1,000 loan at 5% for 3 years? We can use the formula for future value to find the amount due at the end of 3 years. $A = P(1 + rt)$ $A = 1000(1 + 0.05 \times 3) = 1000(1 + 0.15) = 1000 \times 1.15 = 1150$



Example 2.6 Determining a simple interest rate. You borrow \$2,500 from a friend and promise to pay back \$2,655 in six months. What simple interest rate will you pay? We can use the formula for future value to find the interest rate.

$$\begin{aligned} A &= P(1 + rt) \\ 2655 &= 2500(1 + r \times 0.5) \\ 2655 &= 2500 + 1250r \\ 1250r &= 155 \\ r &= \frac{155}{1250} \\ r &= 0.124 = 12.4\% \end{aligned}$$



Example 2.7 Determining a present value. How much should you put an investment paying a simple interest rate of 8.0% if you need \$3000 in six months? We can use the formula for future value to find the present value.

$$\begin{aligned} A &= P(1 + rt) \\ 3000 &= P(1 + 0.08 \times 0.5) \\ 3000 &= P(1 + 0.04) &= P(1.04) \\ P &= \frac{3000}{1.04} \\ P &= 2884.62 \end{aligned}$$



Exercises for Practice

1. **Calculating a simple interest rate for a T-bill.** Treasury bills (T-bills) can be purchased from the U.S. Treasury Department. You buy a T-bill for \$981.60 that pays \$1,000 in 13 weeks. What simple interest rate, to the nearest tenth of a percent, does this T-bill earn?

Answer. We can use the formula for future value to find the interest rate.

$$A = P(1 + rt)$$

$$\begin{aligned}
1000 &= 981.60(1 + r \times \frac{13}{52}) \\
1000 &= 981.60(1 + 0.25r) \\
1000 &= 981.60 + 245.40r \\
245.40r &= 18.40 \\
r &= \frac{18.40}{245.40} = 0.0749 = 7.5\%
\end{aligned}$$

2. **Calculating a present value for a CD.** A bank offers a CD that pays a simple interest rate of 4.5%. How much must you put in this CD now in order to have \$8,000 for a kitchen remodeling project in two years? Round up to the nearest cent.

Answer. We can use the formula for future value to find the present value.

$$\begin{aligned}
A &= P(1 + rt) \\
8000 &= P(1 + 0.045 \times 2) \\
8000 &= P(1 + 0.09) = P(1.09) \\
P &= \frac{8000}{1.09} = 7339.45
\end{aligned}$$

3. **Calculating a future value for a savings account.** You deposit \$1,000 in a savings account at a bank that has a rate of 1.95%. Find a future value at the end of 5 years.

Answer. We can use the formula for future value to find the amount due at the end of 5 years. $A = P(1 + rt)$ $A = 1000(1 + 0.0195 \times 5) = 1000(1 + 0.0975) = 1000 \times 1.0975 = 1097.50$

4. **Determining whether a statement makes sense or not, explain your reasoning..**

- (a) After depositing \$1,500 in an account at a rate of 4%, my balance at the end of the first year was \$(1500)(0.04).
- (b) I planned to save \$5,000 in four years, computed the present value to be \$3,846.153, so I round the principal to \$3,846.15.

Answer.

- (a) This statement does not make sense because the balance at the end of the first year should be the future value, which is the sum of the principal and interest. The correct balance should be $\$1500 + (1500)(0.04) = \1560 .
- (b) This makes sense. In fact, rounding down is the safer move here. Rounding Down (\$3,846.15): By starting with slightly less than the exact "perfect" number, you technically might end up a fraction of a cent short of your \$5,000 goal after four years. However, in practice, this is unlikely to be a significant issue, and it provides a small buffer to ensure you meet your target.

Saving Money: Compound Interest

In 1626, Peter Minuit convinced the wrapper Indians to sell him Manhattan Island for \$24. If the native American had *put the \$24 into a bank account*

at a 5% interest rate compound annually, by the year 2021 there would be well over \$5.6 billion in the account!

So, how did the present value of Manhattan in 1626 attain a future value of over \$5.6 billion in 2021, 395 years at 5% simple interest is

$$A = P(1 + rt) = 24(1 + (0.05)(395)) = 498.00$$

or \$498.00 compared to over \$5.6 billion.

Compound Interest vs. Simple Interest.

The difference between simple interest and compound interest is that simple interest is calculated only on the original principal, while compound interest is calculated on the original principal and any accumulated interest.

Compound interest is interest computed on the original principal as well as on any accumulated interest.

For example, suppose you deposit \$1,000 in a savings account at a rate of 5%. Following table shows how the investment grows.

Calculating Compound interest for a year.

Table 2.8 Compound Interest Growth of \$1000 in a savings account at a rate of 5%

Year	Beginning Balance (\$)	Interest Earned: $I = Prt$	New Balance(\$)
1	\$1,000.00	$I = \$1,000.00 \times 0.05 \times 1 = 50$	\$1,050.00
2	\$1,050.00	$I = \$1,050.00 \times 0.05 \times 1 = 52.50$	\$1,102.50
3	\$1,102.50	$I = \$1,102.50 \times 0.05 \times 1 = 55.13$	\$1,157.63
4	\$1,157.63	$I = \$1,157.63 \times 0.05 \times 1 = 57.88$	\$1,215.51
5	\$1,215.51		
6			

The fast way to determine the amount, A , in the account subject to compound interest is the following formula. If P dollars are deposited at rate r , in decimal form, subject to compound interest, then the amount, A , of money in the account after t years is given by

Definition 2.9 Compound Interest Paid Once a Year. Calculating the amount in an account *for compound interest paid once year*:

$$A = P(1 + r)^t$$

where the amount A is the account's **future value** and the principal P is its **present value**. ♦

Example 2.10 Calculating Compound interest for a year. You deposit \$2,000 in a savings account, which has a rate 6%. Find the amount, A , of money in the account after 3 years subject to compound interest and find the interest. To find the amount A after 3 years, we use the compound interest formula

$$A = P(1 + r)^t$$

where $P = 2000$, $r = 0.06$, and $t = 3$.

Substituting the values:

$$A = 2000(1 + 0.06)^3 = 2000(1.06)^3 = \$2382.03$$

The interest earned is calculated as:

$$I = A - P = 2382.03 - 2000 = \$382.03$$



Calculating the amount in an account **for compound interest paid more than once a year**. The period of time between two interest payments is called the **compounding period**.

If compound interest is paid once a year, the compounding period is one year. We say the interest is **compounded annually**.

If compound interest is paid twice a year, the compounding period is six months. We say the interest is **compounded semiannually**.

If compound interest is paid four times a year, the compounding period is three months. We say the interest is **compounded quarterly**.

If compound interest is paid every month of a year, the compounding period is twelve months. We say the interest is **compounded monthly**.

In general, if compound interest is paid n times per year, we say the interest is **n compounding periods per year**.

Definition 2.11 Compound interest: Future Value. If P dollars are deposited at rate r , in decimal form, subject to compound interest paid n times per year, then the amount, A , of money in the account after t years is given by

$$A = P \left(1 + \frac{r}{n} \right)^{nt} \quad (2.1)$$

where the amount A is the account's **future value** and the principal P is its **present value**. ♦

Example 2.12 Calculating Compound Interest for More Than a Year. You deposit \$7,500 in a savings account that has a rate of 6%. The interest is compounded monthly. How much money will you have after five years? Find the interest after five years.

Solution. To find the future value of the account, we use the compound interest formula:

$$A = P \left(1 + \frac{r}{n} \right)^{nt}$$

Given $P = 7500$, $r = 0.06$, $n = 12$, and $t = 5$:

$$\begin{aligned} A &= 7500 \left(1 + \frac{0.06}{12} \right)^{12 \times 5} \\ &= 7500(1.005)^{60} \\ &\approx 10116.38 \end{aligned}$$

The account balance after five years is approximately \$10,116.38. The interest earned over five years is:

$$I = 10116.38 - 7500 = 2616.38$$

The interest earned is \$2,616.38. ▲

Definition 2.13 Compound Interest: Present Value. If A dollars are to be accumulated in t years in an account that pays rate r compounded n times per year, then the present value, P , that needs to be invested now is given by

$$P = \frac{A}{\left(1 + \frac{r}{n} \right)^{nt}}$$



Example 2.14 Calculating present value. How much money should be deposited in an account today that earns 8% compounded monthly so that it will accumulate to \$20,000 in five years? To find the required deposit (Present Value), we use the formula:

$$P = \frac{A}{(1 + \frac{r}{n})^{nt}}$$

where:

- $A = 20,000$ (Future Value)
- $r = 0.08$ (Annual interest rate)
- $n = 12$ (Compounding periods per year)
- $t = 5$ (Time in years)

Substituting these values into the formula gives:

$$\begin{aligned} P &= \frac{20,000}{(1 + \frac{0.08}{12})^{12 \times 5}} \\ P &= \frac{20,000}{(1.0066667)^{60}} \\ P &\approx 13,424.21 \end{aligned}$$

Therefore, a deposit of \$13,424.21 is required today. ▲

The **annual percentage yield (APY)**, or the **effective interest rate**, is the simple interest rate that produces the same amount of money in an account at the end of one year as when the account is subject to compound interest at a stated rate.

Definition 2.15 Annual percentage yield (APY). Suppose that an investment has a nominal interest rate, r , in decimal form, and pays compound interest n times per year. The investment's **effective annual yields**, APY, is given by

$$Y = (1 + \frac{r}{n})^n - 1 \quad (2.2)$$



Example 2.16 Understanding effective annual yield. You deposit \$4000 in an account that pays 8% interest compounded monthly. Use the future value formula for simple interest to determine the effective annual yield. By the formula for future value

$$A = P(1 + \frac{r}{n})^{nt} = 4000(1 + \frac{0.08}{12})^{12 \cdot 1} \approx \$4,332.00$$

Rounded to nearest cent, the amount in the savings account after one year is \$4332.00.

The effective annual yield is a simple interest rate. We use the future value formula for simple interest to determine the simple interest rate that produces a future value of \$4332 for \$4000 deposit after one year.

$$\begin{aligned} A &= P(1 + rt) \\ 4332 &= 4000(1 + r(1)) \\ 4332 &= 4000 + 4000r \end{aligned}$$

$$332 = 4000r$$

$$r = 0.083 = 8.3\%$$

You will pay a simple interest rate of 8.3%. This means that money invested at 8.3% simple interest earns the same amount in one year as money invested at 8% interest compounded monthly. ▲

Example 2.17 Calculating Effective Annual Yield. A passbook savings account has a nominal rate of 5%. The interest is compounded daily. Find the account's effective annual yield, assuming a 365-day year.

Solution. The Effective Yield (APY) represents the actual interest earned in one year. It is calculated using the formula:

$$Y = \left(1 + \frac{r}{n}\right)^n - 1$$

where:

- $r = 0.05$ (Nominal annual interest rate)
- $n = 365$ (Compounding periods per year)

Substituting the given values:

$$Y = \left(1 + \frac{0.05}{365}\right)^{365} - 1$$

$$Y \approx (1.000136986)^{365} - 1$$

$$Y \approx 1.051267 - 1$$

$$Y \approx 0.051267$$

Converted to a percentage, the effective annual yield is approximately 5.13%. ▲

Example 2.18 Quarterly Compounding and Interest Calculation. You deposit \$1,000 in a savings account at a bank that has a rate of 2.95%. The interest is compounded quarterly.

- a How much money will you have after ten years? Round up to the nearest cent.
- b Find the interest.

Solution. First, we identify the variables for the compound interest formula:

- $P = 1,000$ (Principal)
- $r = 0.0295$ (Annual rate)
- $n = 4$ (Quarterly compounding)
- $t = 10$ (Years)

For part (a), we calculate the future value (A):

$$A = P \left(1 + \frac{r}{n}\right)^{nt}$$

$$A = 1,000 \left(1 + \frac{0.0295}{4}\right)^{4 \times 10}$$

$$A = 1,000(1.007375)^{40}$$

$$A \approx 1,341.517$$

Rounding up, the account balance will be \$1,341.52.

For part (b), we find the interest earned (I) by subtracting the principal from the future value:

$$\begin{aligned} I &= A - P \\ I &= 1,341.52 - 1,000 \\ I &= 341.52 \end{aligned}$$

The interest earned is \$341.52. ▲

Checkpoint 2.19 Comparing Investment Options. Suppose that you have \$10,000 to invest. Which investment yields the greater return over 5 years: 7.55% compounded quarterly or 7.6% compounded semiannually?

Solution. To determine which investment is superior, we calculate the future value (A) for both options using the formula $A = P(1 + \frac{r}{n})^{nt}$, where $P = 10,000$ and $t = 5$.

Option 1: 7.55% compounded quarterly Here, $r = 0.0755$ and $n = 4$.

$$\begin{aligned} A &= 10,000 \left(1 + \frac{0.0755}{4} \right)^{4 \times 5} \\ A &= 10,000(1.018875)^{20} \\ A &\approx 14,530.01 \end{aligned}$$

Option 2: 7.6% compounded semiannually Here, $r = 0.076$ and $n = 2$.

$$\begin{aligned} A &= 10,000 \left(1 + \frac{0.076}{2} \right)^{2 \times 5} \\ A &= 10,000(1.038)^{10} \\ A &\approx 14,520.23 \end{aligned}$$

Comparing the two totals, Option 1 results in \$14,530.01 while Option 2 results in \$14,520.23.

Therefore, the 7.55% investment compounded quarterly yields the greater return by \$9.78.

Checkpoint 2.20 Present Value with Quarterly Compounding. How much money should be deposited today in an account that earns 5% compounded quarterly so that it will accumulate to \$15,000 in ten years?

Solution. To find the required initial deposit, we use the Present Value formula:

$$P = \frac{A}{(1 + \frac{r}{n})^{nt}}$$

where:

- $A = 15,000$ (The target future value)
- $r = 0.05$ (The annual interest rate)
- $n = 4$ (Compounded quarterly)
- $t = 10$ (The time in years)

Substituting these values into the formula:

$$P = \frac{15,000}{\left(1 + \frac{0.05}{4}\right)^{4 \times 10}}$$

$$P = \frac{15,000}{(1.0125)^{40}}$$

$$P \approx \frac{15,000}{1.643619}$$

$$P \approx 9,126.20$$

Therefore, a deposit of \$9,126.20 is required today to reach the goal of \$15,000 in ten years.

Exercises for Practice

- Calculating Effective Annual Yield.** You deposit \$7,500 in an account that pays 4.75% interest compounded monthly. Determine the effective annual yield.

Solution. The Effective Annual Yield (APY) is the actual annual rate of return and is independent of the principal amount deposited. We use the formula:

$$Y = \left(1 + \frac{r}{n}\right)^n - 1$$

where:

- $r = 0.0475$ (Nominal annual interest rate)
- $n = 12$ (Compounding periods per year)

Substituting these values:

$$Y = \left(1 + \frac{0.0475}{12}\right)^{12} - 1$$

$$Y \approx (1.0039583)^{12} - 1$$

$$Y \approx 1.048545 - 1$$

$$Y \approx 0.048545$$

Converted to a percentage and rounded to two decimal places, the effective annual yield is 4.85%.

- Future Value for a Long-Term Investment.** At the time of her grandson's birth, a grandmother deposits \$5,000 in an account that pays 6% compounded monthly. What will be the value of the account at the child's twenty-first birthday, assuming that no other deposits or withdrawals are made during this period?

Solution. To find the future value of the account, we use the compound interest formula:

$$A = P \left(1 + \frac{r}{n}\right)^{nt}$$

where:

- $P = 5,000$ (Initial deposit)
- $r = 0.06$ (Annual interest rate)
- $n = 12$ (Compounding periods per year)

- $t = 21$ (Time in years until the 21st birthday)

Substituting these values into the formula:

$$A = 5,000 \left(1 + \frac{0.06}{12} \right)^{12 \times 21}$$

$$A = 5,000(1.005)^{252}$$

$$A \approx 5,000(3.514418)$$

$$A \approx \$17,572.09$$

On the child's twenty-first birthday, the account will be worth \$17,572.09.

- 3. Interest Rate Concepts: True or False.** Determine whether each statement is True or False and explain your reasoning.

- 1 My bank provides simple interest at 3.25% per year, but I cannot determine if this is a better deal than a competing bank offering 3.25% compound interest without knowing the compounding period.
- 2 My bank advertises a compound interest rate of 2.4%, although, without making deposits or withdrawals, the balance in my account increased by 2.43% in one year.

Solution.

- 1 False. Any amount of compounding is better than simple interest when the nominal rates are identical (and greater than zero). While the compounding period determines *how much* better the deal is, we already know compound interest will yield more than simple interest regardless of whether it is compounded annually, monthly, or daily.
 - 2 True. The advertised rate is the nominal rate (2.4%), but the 2.43% increase represents the *Effective Annual Yield*. Because interest is added to the balance throughout the year, the actual growth is slightly higher than the nominal rate. For example, 2.4% compounded monthly results in an effective yield of approximately 2.427%.
- 4. Quarterly Compounding vs. Simple Interest.** A sum of \$10,000 is invested at an annual rate of 3%. Find the balance in the account after 5 years subject to:
- 1 quarterly compounding
 - 2 simple interest

Solution. We are given $P = 10,000$, $r = 0.03$, and $t = 5$.

- 1 *Quarterly Compounding.*

Using the formula $A = P(1 + \frac{r}{n})^{nt}$ with $n = 4$:

$$A = 10,000 \left(1 + \frac{0.03}{4} \right)^{4 \times 5}$$

$$A = 10,000(1.0075)^{20}$$

$$A \approx 10,000(1.161184)$$

$$A \approx \$11,611.84$$

The balance with quarterly compounding is \$11,611.84.

2 *Simple Interest.*

Using the formula $A = P(1 + rt)$:

$$A = 10,000(1 + 0.03 \times 5)$$

$$A = 10,000(1 + 0.15)$$

$$A = 10,000(1.15)$$

$$A = 11,500.00$$

The balance with simple interest is \$11,500.00.

Quarterly compounding results in an additional \$111.84 compared to simple interest.

5. **Future Value and Effective Yield.** You deposit \$3,000 in an account that pays 4.5% interest compounded monthly.

1 Find the future value after one year.

2 Determine the effective annual yield.

Solution. Given: $P = 3,000$, $r = 0.045$, $n = 12$, and $t = 1$.

1 To find the future value (A) after one year:

$$\begin{aligned} A &= P \left(1 + \frac{r}{n} \right)^{nt} \\ A &= 3,000 \left(1 + \frac{0.045}{12} \right)^{12 \times 1} \\ A &= 3,000(1.00375)^{12} \\ A &\approx 3,000(1.0459398) \\ A &\approx 3,137.82 \end{aligned}$$

The future value after one year is \$3,137.82.

2 To find the effective annual yield (EAY):

$$\begin{aligned} Y &= \left(1 + \frac{r}{n} \right)^n - 1 \\ Y &= \left(1 + \frac{0.045}{12} \right)^{12} - 1 \\ Y &\approx 1.0459398 - 1 \\ Y &\approx 0.04594 \end{aligned}$$

The effective annual yield is approximately 4.59%.

6. **Planning for Education: Present Value.** Parents wish to have \$120,000 available for a child's education. If the child is now 1 year old, how much money must be set aside at 8% compounded monthly to meet their financial goal when the child is 18?

Solution. To find the required initial investment, we use the Present Value formula:

$$P = \frac{A}{\left(1 + \frac{r}{n} \right)^{nt}}$$

where:

- $A = 120,000$ (The target goal)

- $r = 0.08$ (Annual interest rate)
- $n = 12$ (Monthly compounding)
- $t = 17$ (Years remaining until the child is 18: $18 - 1 = 17$)

Substituting these values into the formula:

$$P = \frac{120,000}{\left(1 + \frac{0.08}{12}\right)^{12 \times 17}}$$

$$P = \frac{120,000}{(1.0066667)^{204}}$$

$$P \approx \frac{120,000}{3.876778}$$

$$P \approx 30,953.54$$

The parents must set aside \$30,953.54 today to meet the \$120,000 goal in 17 years.

- 7. The Historical DeHaven Debt Calculation.** In 1777, Jacob DeHaven loaned George Washington's army \$450,000 in gold and supplies. Due to a disagreement over repayment, he was never repaid. In 1989, his descendants sued the U.S. government over the 212-year-old debt. If the DeHavens used an interest rate of 6% and daily compounding, how much money did the DeHaven family demand in their lawsuit?

Solution. To find the total value of the debt after 212 years, we use the compound interest formula:

$$A = P \left(1 + \frac{r}{n}\right)^{nt}$$

where:

- $P = 450,000$ (Initial loan)
- $r = 0.06$ (Annual interest rate)
- $n = 365$ (Daily compounding)
- $t = 212$ (Years from 1777 to 1989)

Substituting these values:

$$A = 450,000 \left(1 + \frac{0.06}{365}\right)^{365 \times 212}$$

$$A = 450,000(1.00016438)^{77,380}$$

$$A \approx 450,000(336,543.15)$$

$$A \approx 151,444,417,500$$

The DeHaven family's demand in the lawsuit was approximately \$151.4 billion. (Depending on rounding, specific historical claims often cited amounts ranging from \$141 to \$151 billion).

Saving Money: Annuities

An **annuity** is a sequence of equal (regular) payments made into an account over time periods. An IRA is an example of an annuity. The value of an annuity is the sum of all deposits plus all interest paid.

Example 2.21 Annuity Basics. Suppose you deposit \$1,000 into a savings plan at the end of each year for three years. The interest rate is 8% per year compounded annually.

- 1 Find the value of the annuity after three years.
- 2 Find the interest earned.

Solution. We calculate the balance step-by-step:

- Value at the end of year 1: \$1,000
- Value at the end of year 2: $1,000(1 + 0.08) + 1,000 = \$2,080$
- Value at the end of year 3: $2,080(1 + 0.08) + 1,000 = \$3,246.40$

The value of the annuity at the end of three years is \$3,246.40. Since you made three payments of \$1,000, the total principal deposited is \$3,000.

The interest is:

$$I = 3,246.40 - 3,000 = \$246.40$$



Definition 2.22 Value of an Annuity: Interest Compounded n Times per Year. If P is the deposit made at the end of each compounding period for an annuity that pays an annual interest rate r compounded n times per year, the future value, FV or A , of the annuity after t years is:

$$FV = A = \frac{P \left[\left(1 + \frac{r}{n}\right)^{nt} - 1 \right]}{\left(\frac{r}{n}\right)} \quad (2.3)$$



Example 2.23 Retirement Savings: IRA Annuity. To save for retirement, you decide to deposit \$1,000 into an IRA at the end of each year for the next 30 years. If you can count on an interest rate of 10% per year compounded annually:

- 1 How much will you have from the IRA after 30 years?
- 2 Find the interest.

Solution. We use the future value formula for an annuity:

$$A = \frac{P \left[\left(1 + \frac{r}{n}\right)^{nt} - 1 \right]}{\left(\frac{r}{n}\right)}$$

where $P = 1,000$, $r = 0.10$, $n = 1$, and $t = 30$.

- 1 Substituting the values into the formula:

$$A = \frac{1,000 \left[(1 + 0.10)^{30} - 1 \right]}{0.10}$$

$$A = \frac{1,000 [(1.1)^{30} - 1]}{0.10}$$

$$A \approx \frac{1,000(17.4494 - 1)}{0.10}$$

$$A \approx 164,494.02$$

After 30 years, the IRA will have \$164,494.02.

- 2 To find the interest, we subtract the total deposits from the future value.
Total deposits = $1,000 \times 30 = \$30,000$.

$$I = 164,494.02 - 30,000$$

$$I = 134,494.02$$

The total interest earned is \$134,494.02.



Example 2.24 Retirement Savings with Monthly Compounding. At age 25, to save for retirement, you decide to deposit \$200 at the end of each month into an IRA that pays 7.5% compounded monthly.

- 1 How much will you have from the IRA when you retire at age 65?
2 Find the interest.

Solution. We use the future value formula for an annuity:

$$A = \frac{P \left[\left(1 + \frac{r}{n} \right)^{nt} - 1 \right]}{\left(\frac{r}{n} \right)}$$

where:

- $P = 200$ (Monthly deposit)
- $r = 0.075$ (Annual interest rate)
- $n = 12$ (Compounding periods per year)
- $t = 40$ (Years of investing: $65 - 25 = 40$)

- 1 Substituting the values into the formula:

$$A = \frac{200 \left[\left(1 + \frac{0.075}{12} \right)^{12 \times 40} - 1 \right]}{\left(\frac{0.075}{12} \right)}$$

$$A = \frac{200 [(1.00625)^{480} - 1]}{0.00625}$$

$$A \approx \frac{200(19.92053 - 1)}{0.00625}$$

$$A \approx 605,457.09$$

At age 65, the IRA will be worth \$605,457.09.

- 2 To find the interest, subtract the total deposits from the future value.
Total deposits = $200 \times 12 \times 40 = \$96,000$.

$$I = 605,457.09 - 96,000$$

$$I = 509,457.09$$

The total interest earned is \$509,457.09.



Checkpoint 2.25 Calculating Future Value of an Annuity. To save for a down payment on a home, you deposit \$500 at the end of each quarter into an account that pays 4% compounded quarterly. How much will be in the account after 6 years?

Solution. We use the future value formula for an annuity:

$$A = \frac{P \left[\left(1 + \frac{r}{n} \right)^{nt} - 1 \right]}{\left(\frac{r}{n} \right)}$$

where:

- $P = 500$ (Quarterly deposit)
- $r = 0.04$ (Annual interest rate)
- $n = 4$ (Compounded quarterly)
- $t = 6$ (Number of years)

Substituting these values into the formula:

$$\begin{aligned} A &= \frac{500 \left[\left(1 + \frac{0.04}{4} \right)^{4 \times 6} - 1 \right]}{\left(\frac{0.04}{4} \right)} \\ A &= \frac{500 [(1.01)^{24} - 1]}{0.01} \\ A &\approx \frac{500(1.26973 - 1)}{0.01} \\ A &\approx 13,486.50 \end{aligned}$$

After 6 years, the account balance will be \$13,486.50.

Example 2.26 Logic Check: Annuities vs. Lump Sums. Determine whether each statement is True or False and explain your reasoning.

- 1 With the same interest rate, compounding period, and time period, an annuity will generate more interest than a lump sum deposit.
- 2 By putting \$20 at the end of each month into an IRA that pays 3.5% compounded monthly, I'll be able to retire comfortably in just 30 years.

Solution.

- 1 False. A lump sum deposit of the same total amount invested earns more interest because the entire amount is present at the beginning and earns interest for the full duration. In an annuity, the money is deposited gradually, so later payments have less time to grow.
- 2 False. We can calculate the total using the annuity formula where $P = 20$, $r = 0.035$, $n = 12$, and $t = 30$:

$$\begin{aligned} A &= \frac{20 \left[\left(1 + \frac{0.035}{12} \right)^{12 \times 30} - 1 \right]}{\frac{0.035}{12}} \\ A &\approx \$12,705.54 \end{aligned}$$

A total of \$12,705.54 is not nearly enough to sustain a comfortable retirement.



Example 2.27 Sinking Fund: Monthly Savings for College. Parents of a baby girl are in a financial position to begin saving for her college education. They plan to have \$100,000 in a college fund in 18 years by making regular, end-of-month deposits in an annuity that pays 9% compounded monthly.

- 1 How much should they deposit each month?
- 2 How much of the goal comes from interest?

Solution. To find the required monthly payment (P), we use the sinking fund formula, which is the annuity formula solved for P :

$$P = \frac{A \left(\frac{r}{n} \right)}{\left[\left(1 + \frac{r}{n} \right)^{nt} - 1 \right]}$$

where $A = 100,000$, $r = 0.09$, $n = 12$, and $t = 18$.

- 1 Substituting the values:

$$\begin{aligned} P &= \frac{100,000 \left(\frac{0.09}{12} \right)}{\left[\left(1 + \frac{0.09}{12} \right)^{12 \times 18} - 1 \right]} \\ P &= \frac{750}{(1.0075)^{216} - 1} \\ P &\approx \frac{750}{5.022575 - 1} \\ P &\approx 186.45 \end{aligned}$$

The parents should deposit \$186.45 each month.

- 2 To find the interest, we first calculate the total principal deposited:

$$186.45 \times 12 \times 18 = \$40,273.20$$

Subtracting this from the future value:

$$I = 100,000 - 40,273.20 = \$59,726.80$$

The amount from interest is \$59,726.80.



Checkpoint 2.28 Calculating the Value of an Annuity. You deposit \$2,000 into a savings plan at the end of each year for three years. The interest rate is 10% per year compounded annually.

- 1 Find the value of the annuity after three years.
- 2 Find the interest earned.

Solution. We use the future value formula for an annuity:

$$A = \frac{P \left[\left(1 + \frac{r}{n} \right)^{nt} - 1 \right]}{\left(\frac{r}{n} \right)}$$

where $P = 2000$, $r = 0.10$, $n = 1$, and $t = 3$.

- 1 Substituting the values into the formula:

$$\begin{aligned}
 A &= \frac{2000 [(1 + 0.10)^3 - 1]}{0.10} \\
 &= \frac{2000 [(1.1)^3 - 1]}{0.10} \\
 &= \frac{2000(1.331 - 1)}{0.10} \\
 &= 6620
 \end{aligned}$$

The value of the annuity after three years is \$6,620.

- 2 The total amount of deposits made is $3 \times 2000 = 6000$. The interest earned is the difference between the future value and the total deposits:

$$I = 6620 - 6000 = 620$$

The interest earned is \$620.

Checkpoint 2.29 Retirement Savings: Growth After Contributions Cease. To save for retirement, you decide to deposit \$3,000 into an IRA at the end of each year for the *next 10* years. If you can count on an interest rate of 9% per year compounded annually:

- 1 How much will you have from the IRA *after 40* years, assuming no additional deposits or withdrawals after the 10 years of contribution?
- 2 Find the interest earned.

Solution. This problem requires two steps. First, we find the value of the annuity after the 10-year contribution period. Second, we treat that amount as a lump sum that grows for the remaining 30 years.

Step 1: Future Value of the Annuity (Years 1-10)

$$\begin{aligned}
 A_{10} &= \frac{3000 [(1 + 0.09)^{10} - 1]}{0.09} \\
 &= \frac{3000(2.36736 - 1)}{0.09} \\
 &\approx 45578.80
 \end{aligned}$$

Step 2: Compound Interest on the Lump Sum (Years 11-40) The balance grows for $40 - 10 = 30$ more years using the formula $A = P(1 + r)^t$:

$$\begin{aligned}
 A_{40} &= 45578.80(1 + 0.09)^{30} \\
 &= 45578.80(13.26768) \\
 &\approx 604725.10
 \end{aligned}$$

- 1 After 40 years, the total value will be \$604,725.10.
- 2 The total deposits were $3000 \times 10 = 30000$.

$$I = 604725.10 - 30000 = 574725.10$$

The interest earned is \$574,725.10.

Exercises for Practice

1. **Retirement Savings Analysis.** At age 30 to save for retirement, you decide to deposit \$200 at the end of each month into an IRA that pays 13.8% compounded monthly.

- 1 How much will you have from the IRA when you retire at age 65?
- 2 Find the interest earned.

Solution. We use the future value formula for an ordinary annuity:

$$A = \frac{P \left[\left(1 + \frac{r}{n} \right)^{nt} - 1 \right]}{\left(\frac{r}{n} \right)}$$

where:

- $P = 200$ (Monthly deposit)
- $r = 0.138$ (Annual interest rate)
- $n = 12$ (Compounding periods per year)
- $t = 35$ (Years of saving: $65 - 30 = 35$)

- 1 Substituting the values into the formula:

$$\begin{aligned} A &= \frac{200 \left[\left(1 + \frac{0.138}{12} \right)^{12 \times 35} - 1 \right]}{\left(\frac{0.138}{12} \right)} \\ A &= \frac{200 \left[(1.0115)^{420} - 1 \right]}{0.0115} \\ A &\approx 2,100,992.95 \end{aligned}$$

You will have approximately \$2,100,992.95 in the IRA at age 65.

- 2 First, find the total amount of your deposits over 35 years:

$$200 \times 12 \times 35 = \$84,000$$

The interest earned is the future value minus these deposits:

$$2,100,992.95 - 84,000 = \$2,016,992.95$$

The total interest earned is \$2,016,992.95.

2. **Calculating Monthly Deposits to Reach a Goal.** How much should you deposit at the end of each month into an IRA that pays 6.5% compounded monthly to have \$2 million when you retire in 45 years? How much of the \$2 million comes from interest?

Solution. To find the required monthly payment (P), we use the sinking fund formula:

$$P = \frac{A \left(\frac{r}{n} \right)}{\left[\left(1 + \frac{r}{n} \right)^{nt} - 1 \right]}$$

where:

- $A = 2,000,000$ (The target goal)

- $r = 0.065$ (Annual interest rate)
- $n = 12$ (Monthly compounding)
- $t = 45$ (Time in years)

Substituting these values into the formula:

$$P = \frac{2,000,000 \left(\frac{0.065}{12} \right)}{\left[\left(1 + \frac{0.065}{12} \right)^{12 \times 45} - 1 \right]}$$

$$P = \frac{10,833.333}{(1.0054167)^{540} - 1}$$

$$P \approx \frac{10,833.333}{21.21736 - 1}$$

$$P \approx 510.59$$

The required monthly deposit is \$510.59.

To find the interest, we first calculate the total of all deposits:

$$510.59 \times 12 \times 45 = \$275,718.60$$

Subtracting this from the \$2,000,000 final value:

$$I = 2,000,000 - 275,718.60 = \$1,724,281.40$$

Over the 45 years, \$1,724,281.40 of the final balance comes from interest.

- 3. Long-Term Retirement Savings Analysis.** At age 25, to save for retirement, you decide to deposit \$100 at the end of each month in an IRA that pays 6.25% compounded monthly. How much will you have from the IRA when you retire at age 70? What is the interest you earned?

Solution. We use the future value formula for an ordinary annuity:

$$A = \frac{P \left[\left(1 + \frac{r}{n} \right)^{nt} - 1 \right]}{\left(\frac{r}{n} \right)}$$

where:

- $P = 100$ (Monthly deposit)
- $r = 0.0625$ (Annual interest rate)
- $n = 12$ (Compounding periods per year)
- $t = 45$ (Years of saving: $70 - 25 = 45$)

Substituting the values into the formula:

$$A = \frac{100 \left[\left(1 + \frac{0.0625}{12} \right)^{12 \times 45} - 1 \right]}{\left(\frac{0.0625}{12} \right)}$$

$$A = \frac{100 [(1.0052083)^{540} - 1]}{0.0052083}$$

$$A \approx \frac{100(16.28236 - 1)}{0.0052083}$$

$$A \approx 293,421.36$$

At age 70, you will have approximately \$293,421.36 in the IRA.

To find the interest earned, first calculate the total of your deposits:

$$100 \times 12 \times 45 = \$54,000$$

Subtracting the deposits from the future value:

$$I = 293,421.36 - 54,000 = \$239,421.36$$

The total interest earned is \$239,421.36.

4. **Quarterly Deposits to Reach a Retirement Goal.** How much should you deposit at the end of every 3 months into an IRA that pays 6% compounded quarterly to have \$1.5 million when you retire in 40 years? How much of the \$1.5 million comes from interest?

Solution. To find the required quarterly payment (P), we use the sinking fund formula:

$$P = \frac{A \left(\frac{r}{n} \right)}{\left[\left(1 + \frac{r}{n} \right)^{nt} - 1 \right]}$$

where:

- $A = 1,500,000$ (The target goal)
- $r = 0.06$ (Annual interest rate)
- $n = 4$ (Quarterly compounding)
- $t = 40$ (Time in years)

Substituting these values into the formula:

$$\begin{aligned} P &= \frac{1,500,000 \left(\frac{0.06}{4} \right)}{\left[\left(1 + \frac{0.06}{4} \right)^{4 \times 40} - 1 \right]} \\ P &= \frac{22,500}{(1.015)^{160} - 1} \\ P &\approx \frac{22,500}{10.85055 - 1.85055} \\ P &\approx 2,284.14 \end{aligned}$$

The required quarterly deposit is \$2,284.14.

To find the interest, we first calculate the total of all deposits over 40 years:

$$2,284.14 \times 4 \times 40 = \$365,462.40$$

Subtracting this from the \$1,500,000 final value:

$$I = 1,500,000 - 365,462.40 = \$1,134,537.60$$

Over the 40 years, \$1,134,537.60 of the final balance comes from interest.

Borrowing Money: Mortgage

A **mortgage** is a long-term loan (perhaps up to 15 or 30 years) for the purpose of buying a home, and for which the property is pledged as security for payment.

The **down payment** is the portion of the sale price of the home that the buyer initially pays to the seller.

The minimum required down payment is computed as a percentage of the sale price.

The **amount of the mortgage** is the difference between the sale price and the down payment.

The **points** are charged for your mortgage. One point equals one percent of the loan amount.

For example, you make a 10% down payment of \$120,000 home, the amount of the mortgage is $\$120,000 - \$12,000 = \$108,000$. So, if your mortgage is \$108,000, one point is \$1,080. You pay these points up front when you begin the mortgage.

Many financial institutions or mortgage companies provide mortgage loans. Some companies, called **mortgage broker** offer to find you a mortgage lender willing to make you a loan. Mortgages can have a fixed interest rate or a variable interest rate. **Fixed-rate mortgages** have same monthly payment during the entire time of the loan.

Definition 2.30 Loan Payment Formula for Fixed Installment Loans.

The regular payment amount, PMT , required to repay a loan of P dollars paid n times per year over t years at an annual rate r is given by:

$$PMT = \frac{P \left(\frac{r}{n} \right)}{\left[1 - \left(1 + \frac{r}{n} \right)^{-nt} \right]} \quad (2.4)$$

where:

- P is the principal amount (loan balance)
- r is the annual interest rate (as a decimal)
- n is the number of payments per year
- t is the total number of years



Example 2.31 . The price of a home is \$195,000. The bank requires a 10% down payment and two points at the time of closing. The cost of the home is financed with 30-year fixed rate mortgage at 7.5%.

1. Find the required down payment.
2. Find the amount of the mortgage.
3. How much must be paid for the two points at closing?
4. Find the monthly payment
5. Find the total interest paid over 30 years.

Solution.

1. The required down payment is 10% of \$195,000 or

$$0.10 \times \$195,000 = \$19,500.$$

2. The amount of the mortgage is the difference between the price of the home and the down payment:

$$\text{Amount of mortgage} = \$195,000 - \$19,500 = \$175,500.$$

3. To find the cost of two points on a mortgage of \$175,500:

$$2 \text{ points} = 2\% \text{ of mortgage} = 0.02 \times \$175,500 = \$3,510.$$

The down payment (\$19,500) is paid to the seller and the cost of two points (\$3,510) is paid to the lending institution.

Computing Monthly Mortgage Payments. The monthly mortgage payment, PMT , required to repay a loan of P dollars paid n times per year over t years at an annual rate r is:

$$PMT = \frac{P \left(\frac{r}{n} \right)}{\left[1 - \left(1 + \frac{r}{n} \right)^{-nt} \right]}$$

4. The monthly payments are:

$$PMT = \frac{175500 \left(\frac{0.075}{12} \right)}{\left[1 - \left(1 + \frac{0.075}{12} \right)^{-12 \cdot 30} \right]} \approx \$1,227.12$$

5. The total payments are calculated by multiplying the monthly payment by the total number of periods (360 months):

$$\begin{aligned} \text{Total Payments} &= \text{monthly payments} \times \text{month} \times \text{years} \\ &= \$1,227.12 \times 360 = \$441,763.20. \end{aligned}$$

The interest paid over 30 years is the total payments minus the original principal:

$$\begin{aligned} \text{Interest} &= \text{total payments} - \text{amount of mortgage} \\ &= \$441,763.20 - \$175,500 = \$266,263.20. \end{aligned}$$



Example 2.32 Comparing 30-Year and 15-Year Mortgages. In [Example 2.31](#), a mortgage of \$175,500 was financed with a 30-year fixed rate at 7.5%.

1. Find the monthly payment for the 30-year mortgage.
2. Find the total interest paid over 30 years.
3. Find the total interest paid if the loan was instead for 15 years at the same rate.
4. How much interest is saved by reducing the mortgage from 30 to 15 years?

Solution.

1. We use the formula

$$PMT = \frac{P(r/n)}{1 - (1 + r/n)^{-nt}}$$

with $P = 175500$, $r = 0.075$, $n = 12$, and $t = 30$:

$$PMT = \frac{175500(0.075/12)}{1 - (1 + 0.075/12)^{-12 \cdot 30}} \approx \$1,227.12$$

2. The total interest for 30 years is the total payments minus the principal:

$$\text{Total Payments} = \$1,227.12 \times 360 = \$441,763.20$$

$$\text{Interest}_{30} = \$441,763.20 - \$175,500 = \$266,263.20$$

3. First, find the 15-year monthly payment ($t = 15$):

$$PMT = \frac{175500(0.075/12)}{1 - (1 + 0.075/12)^{-12 \cdot 15}} \approx \$1,626.91$$

Now calculate the total 15-year interest:

$$\text{Total Payments} = \$1,626.91 \times 180 = \$292,843.80$$

$$\text{Interest}_{15} = \$292,843.80 - \$175,500 = \$117,343.80$$

4. The interest saved is the difference between the two interest totals:

$$\text{Savings} = \$266,263.20 - \$117,343.80 = \$148,919.40$$



Example 2.33 Condominium Mortgage Analysis. The price of a condominium is \$280,000. The bank requires a 5% down payment and one point at the time of closing. The cost of the condominium is financed with a 30-year fixed-rate mortgage at 8%.

1. Find the required down payment.
2. Find the amount of the mortgage.
3. How much must be paid for the one point at closing?
4. Find the monthly payment by using the monthly payment formula.
5. Find the total cost of interest over 30 years.

Solution.

1. The down payment is 5% of the purchase price:

$$0.05 \times \$280,000 = \$14,000$$

2. The mortgage amount is the price minus the down payment:

$$\$280,000 - \$14,000 = \$266,000$$

3. One point is 1% of the mortgage amount:

$$0.01 \times \$266,000 = \$2,660$$

4. Using the formula

$$PMT = \frac{P(r/n)}{1 - (1 + r/n)^{-nt}}$$

with $P = 266,000$, $r = 0.08$, $n = 12$, and $t = 30$:

$$PMT = \frac{266000(0.08/12)}{1 - (1 + 0.08/12)^{-360}} \approx \$1,951.81$$

5. Total payments over 30 years are

$$\$1,951.81 \times 360 = \$702,651.60.$$

The total interest is:

$$\text{Total Interest} = \$702,651.60 - \$266,000 = \$436,651.60$$



Checkpoint 2.34 Student Loan Term Comparison. A student graduates from college with a loan of \$36,000 at an 8% annual interest rate.

1. Find the monthly payments and the total interest for a 10-year loan term.
2. If the interest rate remains at 8% and the loan term is reduced to 5 years, how much more must the student pay each month and how much less will be paid in total interest?

Answer.

1. Monthly payment: \$436.78; Total interest: \$16,413.60
2. Monthly increase: \$293.07; Interest saved: \$8,414.40

Solution.

1. For $t = 10$:

$$PMT = \frac{36000(0.08/12)}{1 - (1 + 0.08/12)^{-120}} \approx \$436.78$$

$$\text{Total Interest} = (\$436.78 \times 120) - \$36,000 = \$16,413.60$$

2. For $t = 5$:

$$PMT = \frac{36000(0.08/12)}{1 - (1 + 0.08/12)^{-60}} \approx \$729.85$$

$$\text{Total Interest} = (\$729.85 \times 60) - \$36,000 = \$7,791.00$$

The monthly increase is $\$729.85 - \$436.78 = \$293.07$. The interest saved is $\$16,413.60 - \$7,791.00 = \$8,422.60$. (Note: Small differences may occur due to rounding).

Checkpoint 2.35 Mortgage Comparison with Points and Closing Costs. Which mortgage loan has the greater total cost and by how much? Consider a \$210,000 mortgage with these two options:

- **Mortgage A:** 20-year fixed at 7% with closing costs of \$3,000 and 2 points.
- **Mortgage B:** 20-year fixed at 6.75% with closing costs of \$1,750 and 4

points.

Answer. Mortgage A has the greater total cost by \$4,577.20.

Solution. The total cost for each mortgage includes the sum of all monthly payments, the cost of points, and the fixed closing costs.

1. *Mortgage A Calculations.*

First, calculate the monthly payment (PMT):

$$PMT = \frac{210000(0.07/12)}{1 - (1 + 0.07/12)^{-240}} \approx \$1,628.13$$

Next, find the total cost of payments, points, and closing:

$$\text{Total Payments} = \$1,628.13 \times 240 = \$390,751.20$$

$$\text{Points Cost} = 0.02 \times \$210,000 = \$4,200.00$$

$$\text{Total Cost}_A = \$390,751.20 + \$4,200.00 + \$3,000.00 = \$397,951.20$$

2. *Mortgage B Calculations.*

First, calculate the monthly payment (PMT):

$$PMT = \frac{210000(0.0675/12)}{1 - (1 + 0.0675/12)^{-240}} \approx \$1,596.76$$

Next, find the total cost:

$$\text{Total Payments} = \$1,596.76 \times 240 = \$383,222.40$$

$$\text{Points Cost} = 0.04 \times \$210,000 = \$8,400.00$$

$$\text{Total Cost}_B = \$383,222.40 + \$8,400.00 + \$1,750.00 = \$393,372.40$$

3. *Comparison.*

Mortgage A is more expensive. The difference is:

$$\$397,951.20 - \$393,372.40 = \$4,578.80$$

(Note: Differences in final cents may vary based on rounding the monthly payment).

Definition 2.36 Maximum Purchase Price Formula. The *maximum purchase price* for a house is given by

$$\text{maximum purchase price} = \frac{PMT \cdot \left[1 - \left(1 + \frac{r}{n}\right)^{-nt}\right]}{\left(\frac{r}{n}\right)}$$

where:

PMT	is the monthly mortgage payment
n	is the number of payments per year
t	is the total number of years (loan term)
r	is the annual interest rate (as a decimal)



Example 2.37 Calculating Maximum Mortgage Amount. Amanda and Fred are buying a house on a 30-year mortgage. They can afford a monthly payment of \$800. If the annual interest rate (APR) is 3.75%, what is the maximum mortgage amount they can take out?

Solution. We use the maximum purchase price formula with $PMT = 800$, $r = 0.0375$, $n = 12$, and $t = 30$:

$$\text{Max Price} = \frac{800 \cdot \left[1 - \left(1 + \frac{0.0375}{12} \right)^{-12 \cdot 30} \right]}{\left(\frac{0.0375}{12} \right)}$$

First, calculate the periodic interest rate: $\frac{0.0375}{12} = 0.003125$.

Now, substitute into the formula:

$$\text{Max Price} = \frac{800 \cdot [1 - (1.003125)^{-360}]}{0.003125}$$

$$\text{Max Price} = \frac{800 \cdot [1 - 0.325016]}{0.003125}$$

$$\text{Max Price} = \frac{800 \cdot 0.674984}{0.003125}$$

$$\text{Max Price} \approx \$172,795.90$$

Amanda and Fred can take out a mortgage of approximately **\$172,795.90**. ▲

Checkpoint 2.38 Home Affordability and Loan Terms. Suppose you want to purchase a house and your take-home pay is \$3,220 per month. You wish to stay within recommended guidelines by spending 1/4 of your take-home pay on a house payment. You have \$15,300 saved for a down payment. With your excellent credit, you can get an APR of 3.28% compounded monthly.

1. What is the total cost of a house you could afford with a 15-year mortgage?
2. What is the most that you could afford with a traditional 30-year mortgage?

Answer.

1. 15-year mortgage: \$130,175.76
2. 30-year mortgage: \$199,444.60

Solution. First, calculate the allowed monthly payment (PMT):

$$PMT = \frac{1}{4} \times \$3,220 = \$805$$

The monthly interest rate is $\frac{r}{n} = \frac{0.0328}{12} \approx 0.0027333$.

1. *15-Year Mortgage Affordability.*

Using the Maximum Purchase Price formula with $n = 12$ and $t = 15$ ($nt = 180$):

$$P = \frac{805 \cdot [1 - (1 + 0.0027333)^{-180}]}{0.0027333} \approx \$114,875.76$$

The total house cost includes the down payment:

$$\text{Total Cost} = \$114,875.76 + \$15,300 = \$130,175.76$$

2. 30-Year Mortgage Affordability.

Using the formula with $t = 30$ ($nt = 360$):

$$P = \frac{805 \cdot [1 - (1 + 0.0027333)^{-360}]}{0.0027333} \approx \$184,144.60$$

The total house cost includes the down payment:

$$\text{Total Cost} = \$184,144.60 + \$15,300 = \$199,444.60$$

Identify Formulas to use: Simple, Compound, Annuity, Loan

Identify the Formula to Use

1. Lonnie needs extra money to buy a truck to start up a delivery service. He takes out a simple interest loan for \$7,000 for 6 months at a rate of 7.25%. How much interest must he pay, and what is the future value of the loan?

Answer. $I = Prt$; Interest: \$253.75; Future Value: \$7,253.75

2. If you placed \$1 into an account that paid interest at a rate of 5% and compounded the interest daily, how much would that account is worth in 300 years?

Answer. $A = P(1 + r/n)^{nt}$; \$3,268,864.51

3. You are purchasing a house for \$155,000. The bank requires a down payment of 15% and 2.25 points at closing. The bank will give you a 20 year mortgage at 3.8%. What is the monthly payment you will make? What is the total interest paid?

Answer. $PMT = \frac{P(r/n)}{1 - (1 + r/n)^{-nt}}$; Monthly Payment: \$783.50; Total Interest: \$56,289.44

4. You deposit \$8,500 for 9 years in an account that earns 2.5% interest and compounds weekly. How much interest will you earn?

Answer. $A = P(1 + r/n)^{nt}$; \$2,143.91

5. You lend 650 dollars to your younger brother for tuition. He agrees to pay you back \$720 in 4 months. What is the interest rate he paid you?

Answer. $r = \frac{I}{Pt}$; 32.31%

6. A mother invests \$ 2000 in a bank account at the time of her daughter's birth. The interest is compounded quarterly at a rate of 8%. What will be the value of the daughter's account on her twentieth birthday?

Answer. $A = P(1 + r/n)^{nt}$; \$9,750.88

7. Your grandmother lent you \$2000 for 4 years to buy a car. You agreed to pay her 5% interest. How much do you have to pay her in total at the end of 4 years?

Answer. $A = P(1 + rt)$; \$2,400.00

8. Which is the better choice: \$1000 deposited for a year at a rate of 5.5% compounded semiannually or at a rate of 5.4% compounded quarterly?

Answer. $APY = (1 + r/n)^n - 1$; 5.5% compounded semiannually (\$1,055.76 vs \$1,055.10)

9. Ellen puts \$100 each month into an IRA that pays 7.4% annually. How much money will she have in 30 years for her retirement? How much will come from interest?

Answer. $A = \frac{PMT[(1+r/n)^{nt}-1]}{r/n}$; Total Value: \$132,410.87; Interest: \$96,410.87

10. You want to save for your three year olds college education. You decide that you need \$200,000 in 12 years. How much do you need to deposit monthly into an account that pays 8.7% interest and compounds monthly.

Answer. $PMT = \frac{A(r/n)}{(1+r/n)^{nt}-1}$; \$796.86

11. Joe and Susan are purchasing a condo for \$350,000. The bank requires a down payment of 30% and 4.75 points at closing. You are considering a 15 year mortgage at 4.75% and a 30 year mortgage at 3.2%. Which mortgage will result in a lower monthly payment?

Answer. $PMT = \frac{P(r/n)}{1-(1+r/n)^{-nt}}$; Option B: 30-year at 3.2% (\$1,061.27 vs Option A: \$1,906.18)

12. Pete wants to buy a boat in 4 years. The boat costs \$100,000. How much money does he need to deposit weekly into an account that pays 3.5% interest compounded weekly?

Answer. $PMT = \frac{A(r/n)}{(1+r/n)^{nt}-1}$; \$447.93

13. How much money should be deposited today in an account that earns 10% compounded semiannually so that it will accumulate to \$ 1000 in 12 years?

Answer. $P = \frac{A}{(1+r/n)^{nt}}$; \$310.07

14. Juan can save \$50 every week for his honeymoon. If Juan is getting married in two years how much money will he have spent on the trip if he puts it into an annuity that pays 6%?

Answer. $A = \frac{PMT[(1+r/n)^{nt}-1]}{r/n}$; \$5,516.48

15. How much money should be deposited today in an account that earns 8% compounded quarterly so that it will accumulate to \$ 3800 in 12 years?

Answer. $P = \frac{A}{(1+r/n)^{nt}}$; \$1,468.32

Chapter Exercises

Exercises

1. Suppose a local sales tax rate is 4.5% and you purchase a car for \$28,500.
 - a How much sales tax is paid?
 - b How much is the total cost of the car?

Answer.

- a \$1,282.50
- b \$29,782.50

Solution.

- a Tax = $28500 \times 0.045 = 1282.50$.
- b Total = $28500 + 1282.50 = 29782.50$.

2. A bank offers a CD that pays a simple interest rate of 5.25%. How much must you put in this CD now in order to have \$5,000 for college tuition in five years?

Answer. \$3,960.40

Solution. Use $A = P(1 + rt)$. $5000 = P(1 + 0.0525 \times 5)$ $5000 = P(1.2625)$
 $P = 5000/1.2625 \approx 3960.40$.

3. How much money should be deposited today in an account that earns 5% compounded quarterly so that it will accumulate to \$15,000 in ten years?

Answer. \$9,126.10

Solution. Use $P = A(1 + r/n)^{-nt}$. $P = 15000(1 + 0.05/4)^{-40}$ $P = 15000(1.0125)^{-40} \approx 9126.10$.

4. The cost of washer-dryer is \$1,100. We can finance this by paying \$100 down and \$110 per month for 12 months. Determine the finance charge.

Answer. \$320

Solution. Total paid = Down payment + (Monthly payment $\times$ months)
 Total = $100 + (110 \times 12) = 100 + 1320 = 1420$. Finance Charge = $1420 - 1100 = 320$.

5. At the time of her grandson's birth, a grandmother deposits \$5,000 in an account that pays 6% compounded monthly. What will be the value of the account at the child's twenty-first birthday?

Answer. \$17,560.10

Solution. $A = 5000(1 + 0.06/12)^{(12 \times 21)}$ $A = 5000(1.005)^{252} \approx 17560.10$.

6. You deposit \$7,500 in an account that pays 4.75% interest compounded monthly. Find the future value after one year and the effective annual yield.

Answer. FV: \$7,864.08; Yield: 4.85%

Solution. FV = $7500(1 + 0.0475/12)^{12} \approx 7864.08$. Yield = $(1 + 0.0475/12)^{12} - 1 \approx 0.0485$ or 4.85%.

7. Find the value of an annuity of \$1,000 at the end of every 6 months at 4.5% compounded semiannually for 10 years.

Answer. Value: \$24,911.52; Interest: \$4,911.52

Solution. Use $A = P \frac{(1+r/n)^{nt}-1}{r/n}$. $A = 1000 \frac{(1+0.045/2)^{20}-1}{0.045/2} \approx 24911.52$.
 Total deposits = $1000 \times 20 = 20000$. Interest = $24911.52 - 20000 = 4911.52$.

8. Financial goal of \$150,000 at 4.75% compounded quarterly for 35 years. Find the periodic deposit.

Answer. Deposit: \$168.32

Solution. $P = \frac{A(r/n)}{(1+r/n)^{nt}-1}$ $P = \frac{150000(0.0475/4)}{(1+0.0475/4)^{140}-1} \approx 168.32.$

9. Loan of \$36,000 at 8% for 10 years.

a Find monthly payments and total interest.

b Compare to a 5-year term.

Answer.

a Payment: \$436.78; Interest: \$16,413.60

b Pay \$293.10 more per month; Save \$8,620.80 interest.

Solution. Use $PMT = \frac{Pr/n}{1-(1+r/n)^{-nt}}$.

10-yr: $PMT \approx 436.78$. Total paid = 52413.60. Interest = 16413.60.

5-yr: $PMT \approx 729.88$. Total paid = 43792.80. Interest = 7792.80.

Chapter 3

Probability

Probability is the mathematical study of uncertainty. Whether we are tossing a coin or predicting the weather, we use probability to quantify the likelihood of different outcomes.

In this chapter, we will define the fundamental building blocks of the theory, starting with the concept of a **sample space**.

Fundamentals of Probability

Definition 3.1 Probability Formula. The *theoretical probability* of an event is a measure of how likely that event is to occur based on the assumption that all outcomes in the sample space are equally likely.

If an event E has $n(E)$ equally likely outcomes and its sample space S has $n(S)$ equally likely outcomes, the *probability* of event, $P(E)$, is

$$P(E) = \frac{\text{number of outcomes in event } E}{\text{total number of outcomes in sample space}} = \frac{n(E)}{n(S)}$$



Example 3.2 Probability of a Single Die Roll. A die is rolled. The set of equally likely outcomes is $\{1, 2, 3, 4, 5, 6\}$. Find the probability of rolling:

1. a 2
2. a number less than 4
3. a number greater than 7
4. a number less than 7

Solution.

1. $P(2) = \frac{1}{6}$
2. The outcomes are $\{1, 2, 3\}$, so $P(\text{less than } 4) = \frac{3}{6} = \frac{1}{2}$
3. There are no such outcomes, so $P(\text{greater than } 7) = \frac{0}{6} = 0$
4. All outcomes are less than 7, so $P(\text{less than } 7) = \frac{6}{6} = 1$



Example 3.3 Probability of a Pair of Dice. A single die is rolled twice. Find the probability of rolling:

1. two even numbers
2. two numbers whose sum is 6
3. two numbers whose sum exceeds 12
4. two prime numbers
5. two numbers whose sum is less than 7

Solution.

Table 3.4 Sample Space for Two Six-Sided Dice

Die 1 \ 2	1	2	3	4	5	6
1	(1,1)	(1,2)	(1,3)	(1,4)	(1,5)	(1,6)
2	(2,1)	(2,2)	(2,3)	(2,4)	(2,5)	(2,6)
3	(3,1)	(3,2)	(3,3)	(3,4)	(3,5)	(3,6)
4	(4,1)	(4,2)	(4,3)	(4,4)	(4,5)	(4,6)
5	(5,1)	(5,2)	(5,3)	(5,4)	(5,5)	(5,6)
6	(6,1)	(6,2)	(6,3)	(6,4)	(6,5)	(6,6)

1. The even numbers on a die are $\{2, 4, 6\}$. There are $3 \times 3 = 9$ outcomes where both numbers are even. The probability is $\frac{9}{36} = \frac{1}{4}$,
2. The outcomes with a sum of 6 are $\{(1, 5), (2, 4), (3, 3), (4, 2), (5, 1)\}$. There are 5 such outcomes, so the probability is $\frac{5}{36}$.
3. The maximum possible sum is $6 + 6 = 12$. It is impossible for the sum to exceed 12. The probability is $\frac{0}{36} = 0$.
4. The prime numbers on a die are $\{2, 3, 5\}$. There are $3 \times 3 = 9$ outcomes where both numbers are prime. The probability is $\frac{9}{36} = \frac{1}{4}$.
5. The outcomes with a sum less than 7 are:
 - Sum 2: (1,1) [1 outcome]
 - Sum 3: (1,2), (2,1) [2 outcomes]
 - Sum 4: (1,3), (2,2), (3,1) [3 outcomes]
 - Sum 5: (1,4), (2,3), (3,2), (4,1) [4 outcomes]
 - Sum 6: (1,5), (2,4), (3,3), (4,2), (5,1) [5 outcomes]

Total outcomes = $1 + 2 + 3 + 4 + 5 = 15$. The probability is $\frac{15}{36} = \frac{5}{12}$.



Example 3.5 Probability of Drawing a Single deck of Cards. You are dealt one card from a standard 52-card deck. Find the probability of being dealt:

1. an ace
2. a red card
3. a red king
4. a spade

5. an even number heart
6. an odd number diamond
7. a face card

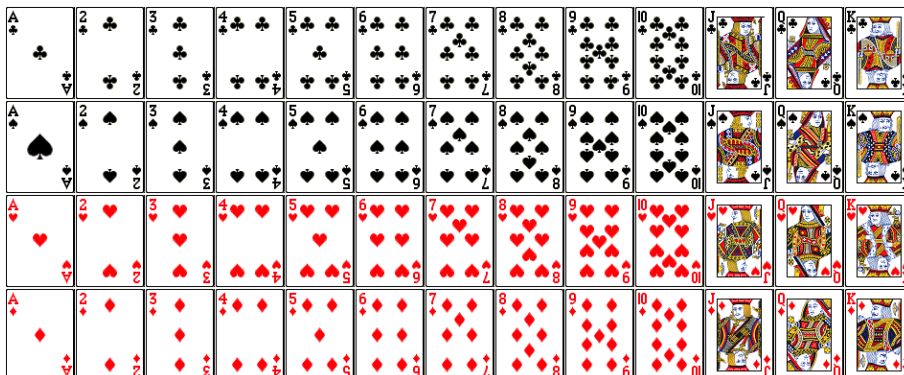


Figure 3.6 A standard deck of 52 playing cards.

Solution. There are 52 total outcomes in a standard deck.

1. There are 4 aces in a deck. $P(\text{ace}) = \frac{4}{52} = \frac{1}{13}$
2. There are 26 red cards (hearts and diamonds). $P(\text{red}) = \frac{26}{52} = \frac{1}{2}$
3. There are 2 red kings (king of hearts and king of diamonds). $P(\text{red king}) = \frac{2}{52} = \frac{1}{26}$
4. There are 13 spades in a deck. $P(\text{spade}) = \frac{13}{52} = \frac{1}{4}$
5. The even numbered hearts are $\{2, 4, 6, 8, 10\}$. There are 5 such cards. $P(\text{even heart}) = \frac{5}{52}$
6. The odd numbered diamonds (excluding face cards) are $\{3, 5, 7, 9\}$. (Note: Ace is usually not considered an odd number in this context, but if included, the count would be 5). Using $\{3, 5, 7, 9\}$, there are 4 such cards. $P(\text{odd diamond}) = \frac{4}{52} = \frac{1}{13}$
7. There are 12 face cards (Jack, Queen, King of each suit). $P(\text{face card}) = \frac{12}{52} = \frac{3}{13}$



Example 3.7 Probability of Three Coin Tosses. A fair coin is tossed three times in succession. The set of equally likely outcomes is $\{HHH, HHT, HTH, HTT, THH, THT, TTH, TTT\}$. Find the probability of getting:

1. Exactly one tail.
2. Exactly 2 heads.
3. At least one head.
4. Five tails.

Solution.

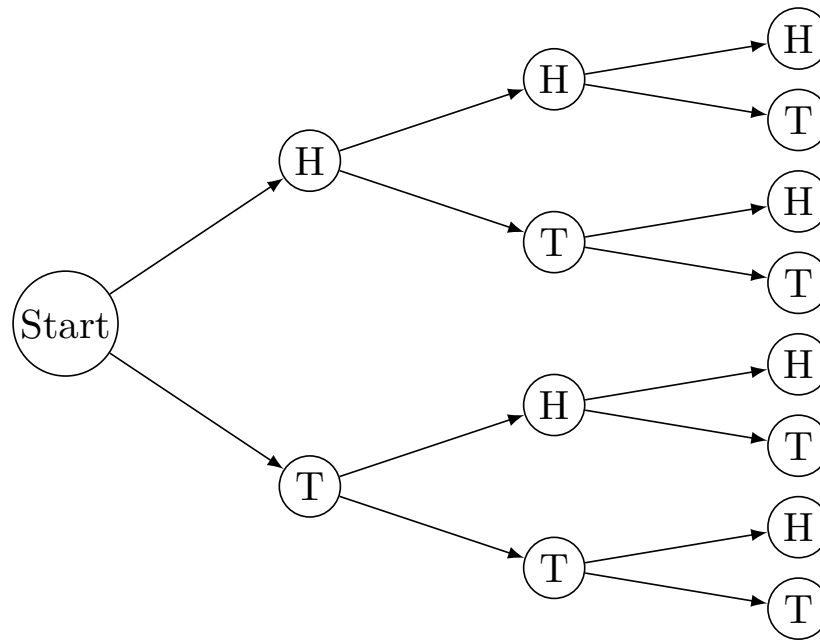


Figure 3.8 Tree diagram for three coin tosses

The total number of outcomes is 8.

1. The outcomes with exactly one tail are $\{HHT, HTH, THH\}$. There are 3 such outcomes, so $P(\text{exactly one tail}) = \frac{3}{8}$.
2. The outcomes with exactly two heads are $\{HHT, HTH, THH\}$. There are 3 such outcomes, so $P(\text{exactly 2 heads}) = \frac{3}{8}$.
3. The only outcome with no heads is $\{TTT\}$. Therefore, there are $8 - 1 = 7$ outcomes with at least one head. $P(\text{at least one head}) = \frac{7}{8}$.
4. It is impossible to get five tails in only three tosses. $P(\text{five tails}) = \frac{0}{8} = 0$.



Checkpoint 3.9 Probability of a Coin Toss and Die Roll. A coin is tossed and a die is rolled. The tree diagram below illustrates the sample space of 12 equally likely outcomes.

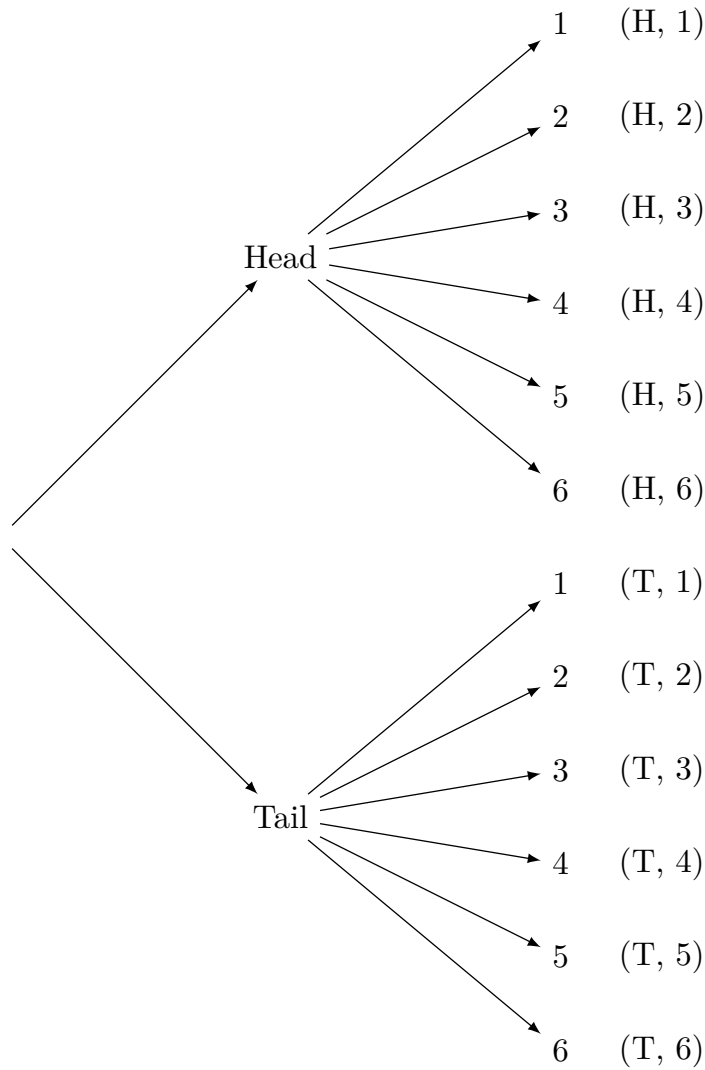


Figure 3.10 Tree diagram for tossing a coin and rolling a die.

Find the probability of getting:

1. a head and an even number.
2. a tail and a number less than 3.
3. a head and a number greater than 6.

Solution. The total number of equally likely outcomes is $2 \times 6 = 12$.

1. The outcomes for a head and an even number are $\{(H, 2), (H, 4), (H, 6)\}$. There are 3 such outcomes, so $P(\text{head and even}) = \frac{3}{12} = \frac{1}{4}$.
2. The outcomes for a tail and a number less than 3 are $\{(T, 1), (T, 2)\}$. There are 2 such outcomes, so $P(\text{tail and less than 3}) = \frac{2}{12} = \frac{1}{6}$.
3. Since a standard die only goes up to 6, it is impossible to roll a number greater than 6. The probability is $\frac{0}{12} = 0$.

Events Involving NOT and OR

A survey asked 500 Americans to rate their health. Of the surveyed, 270 rated their health as good/excellent. This means that $500 - 270 = 230$ people surveyed did not rate their health as good/excellent.

$$\begin{aligned} P(\text{good/excellent}) + P(\text{not good/excellent}) &= \frac{270}{500} + \frac{230}{500} \\ &= \frac{500}{500} = 1 \end{aligned}$$

In general, since the sum of probabilities of all possible outcomes in any situation is 1:

$$P(E) + P(\text{not } E) = 1$$

Definition 3.11 The Probability of an Event Not Occurring. The probability that an event E will not occur is equal to 1 minus the probability that it will occur:

$$P(\text{not } E) = 1 - P(E)$$



Example 3.12 If you are dealt one card from a standard 52-card deck (Figure 3.6), find the probability that you are not dealt a queen.

Solution. $P(\text{not a queen}) = 1 - P(\text{queen}) = 1 - \frac{4}{52} = \frac{48}{52} = \frac{12}{13}$.



Checkpoint 3.13 If you are dealt one card from a standard 52-card deck, find the probability that you are not dealt a diamond.

Solution. $P(\text{not a diamond}) = 1 - P(\text{diamond}) = 1 - \frac{13}{52} = \frac{39}{52} = \frac{3}{4}$.

Definition 3.14 Mutually Exclusive Events. Two events are *mutually exclusive* if they cannot occur at the same time. In other words, if one event occurs, the other cannot occur.

Or Probabilities with Mutually Exclusive Events: If A and B are mutually exclusive events, then:

$$P(A \text{ or } B) = P(A) + P(B)$$



Example 3.15 If one card is randomly selected from a deck of cards (Figure 3.6), what is the probability of selecting a king or a queen?

Solution. These are mutually exclusive. $P(\text{king or queen}) = \frac{4}{52} + \frac{4}{52} = \frac{8}{52} = \frac{2}{13}$.



Checkpoint 3.16 If you roll a single, six-sided die, what is the probability of getting either a 4 or a 5?

Solution. $P(4 \text{ or } 5) = \frac{1}{6} + \frac{1}{6} = \frac{2}{6} = \frac{1}{3}$.

If one card is randomly selected from a deck of cards (Figure 3.6), what is the probability of selecting a diamond or a picture card?

$$P(\text{diamond or picture card}) = P(\text{diamond}) + P(\text{picture card}) = \frac{13}{52} + \frac{12}{52}$$

However, there are three cards that are *simultaneously diamonds and picture cards*. The events are not mutually exclusive.

To correct for the double-counting:

$$P(\text{diamond or picture card}) = P(\text{diamond}) + P(\text{picture card}) - P(\text{diamond and picture card})$$

$$= \frac{13}{52} + \frac{12}{52} - \frac{3}{52} = \frac{22}{52} = \frac{11}{26}$$

Definition 3.17 Events that are NOT Mutually Exclusive. If it is possible for events A and B to occur simultaneously, the events are said to be *not mutually exclusive*.

If A and B are not mutually exclusive events, then:

$$P(A \text{ or } B) = P(A) + P(B) - P(A \text{ and } B)$$



Checkpoint 3.18 In a group of 50 students, 23 take math, 11 take psychology, and 7 take both. Find the probability that a randomly selected student takes math or psychology.

Solution. Let M be the event that a student takes math, and Ps be the event that a student takes psychology. We are given the following:

- Total students: $n(S) = 50$
- Students in math: $n(M) = 23$
- Students in psychology: $n(Ps) = 11$
- Students in both: $n(M \text{ and } Ps) = 7$

To find the probability that a student takes math **or** psychology, we use the Addition Rule for Probability:

$$P(M \text{ or } Ps) = P(M) + P(Ps) - P(M \text{ and } Ps)$$

Substituting the known values as fractions of the total population:

$$P(M \text{ or } Ps) = \frac{23}{50} + \frac{11}{50} - \frac{7}{50}$$

Since the denominators are the same, we combine the numerators:

$$\frac{23 + 11 - 7}{50} = \frac{27}{50}$$

Thus, the probability that a randomly selected student takes math or psychology is $\frac{27}{50}$ (or 0.54).

The following table shows the distribution of active duty personnel in the U.S. military (in thousands).

Table 3.19 U.S. Military Personnel by Branch and Gender

	Air Force	Army	Marine Corps	Navy	Total
Male	290	400	160	320	1,170
Female	70	70	10	50	200
Total	360	470	170	370	1,370

Checkpoint 3.20 Using [Table 3.19](#), find the probability that a person selected at random is in the Army or is a woman.

Solution. We use the Addition Rule for Probability:

$$P(\text{Army or Female}) = P(\text{Army}) + P(\text{Female}) - P(\text{Army and Female})$$

From the table, we identify the following values:

- Total Personnel: 1,370

- Total in Army: 470
- Total Female: 200
- Females in the Army (the overlap): 70

Now, substitute these into the formula:

$$\frac{470}{1,370} + \frac{200}{1,370} - \frac{70}{1,370} = \frac{470 + 200 - 70}{1,370} = \frac{600}{1,370}$$

Simplifying the fraction, we get $\frac{60}{137} \approx 0.438$.

Checkpoint 3.21 Using Table 3.19, find the probability that a person selected at random is in the Navy or is a man.

Solution. To find the probability of a person being in the Navy or a man, we apply the Addition Rule:

$$P(\text{Navy or Male}) = P(\text{Navy}) + P(\text{Male}) - P(\text{Navy and Male})$$

Identify the relevant values from the table:

- Total Personnel: 1,370
- Total in Navy: 370
- Total Male: 1,170
- Males in the Navy (the overlap): 320

Substitute the values:

$$\frac{370}{1,370} + \frac{1,170}{1,370} - \frac{320}{1,370} = \frac{370 + 1,170 - 320}{1,370} = \frac{1,220}{1,370}$$

Simplifying the fraction, we get $\frac{122}{137} \approx 0.891$.

The Fundamental Counting Principle

The Fundamental Counting Principle is a powerful tool for counting the number of possible outcomes in a variety of situations. It allows us to determine the total number of combinations or arrangements by multiplying the number of choices for each independent event.

The probability of winning the top prize in the lottery is about the same as the probability of being struck by lightning. There are a million possible number combinations in the lottery games, and only one way of winning the grand prize.

We can generalize the idea to any two groups of items with the **Fundamental Counting Principle**.

Definition 3.22 The Fundamental Counting Principle. If there are M ways to choose an item from one group and N ways to choose an item from another group, then there are $M \cdot N$ ways to choose one item from each group.



Example 3.23 Restaurant two-course meal. The Greasy Spoon Restaurant offers 6 appetizers and 14 main courses. In how many ways can a person order a two-course meal?

Solution. Use the Fundamental Counting Principle: choose 1 appetizer and 1 main course. $6 \cdot 14 = 84$ There are 84 different two-course meals. ▲

Checkpoint 3.24 Two-course meal. The Diner offers 10 appetizers and 15 main courses. In how many ways can a person order a two-course meal?

Solution. Use the Fundamental Counting Principle and multiply the number of appetizers by the number of main courses. $10 \cdot 15 = 150$ There are 150 possible two-course meals.

Checkpoint 3.25 Psychology and social science scheduling. This semester, you need to enroll in your required psychology and social science courses. Because you are registering early, you have 15 psychology sections to choose from. Additionally, there are 9 social science sections available that do not conflict with the psychology schedule. How many different two-course schedules can you create to fulfill these requirements?

Solution. Multiply the number of psychology section options by the number of social science section options. $15 \cdot 9 = 135$ There are 135 possible two-course schedules.

Definition 3.26 The Fundamental Counting Principle. If there are n independent events and the first event can occur in m_1 ways, the second event can occur in m_2 ways, the third event can occur in m_3 ways, and so on, then the total number of ways that the events can occur is given by

$$m_1 \cdot m_2 \cdot m_3 \cdots m_n$$

by *multiplying* the number of ways each individual event can happen. ◆

Example 3.27 One-topping pizza choices. A pizza can be ordered with two choices of size (medium or large), three choices of crust (thin, thick or regular), and five choices of toppings (ground beef, sausage, pepperoni, bacon and mushrooms). How many different one-topping pizzas can be ordered?

Solution. Multiply the number of size choices by the number of crust choices and the number of topping choices. $2 \cdot 3 \cdot 5 = 30$ There are 30 different one-topping pizzas. ▲

Example 3.28 Three-wheel car options. Car manufacturers are now experimenting with lightweight three-wheel cars, designed for one person and considered ideal for city driving. Suppose you could order such a car with a choice of 9 possible colors, with or without air conditioning, electric or gas powered, and with or without an on-board computer. In how many ways can this car be ordered with regard to these options?

Solution. Multiply the number of choices for each independent feature. $9 \cdot 2 \cdot 2 \cdot 2 = 72$ There are 72 possible car orders. ▲

Checkpoint 3.29 Ordering a customizable car. The car in Example [Example 3.28](#) is now available in 10 possible colors. The options involving air conditioning, power, and on-board computer still apply. Furthermore, the car is available with or without a global positioning system. In how many ways can this car be ordered in terms of these options?

Solution. Multiply the number of choices for each independent option. $10 \cdot 2 \cdot 2 \cdot 2 \cdot 2 = 160$ There are 160 possible car orders.

Example 3.30 Ten-question multiple-choice test. You are taking a multiple-choice test that has ten questions. Each of the questions has four answer choices, with one correct answer per question. If you select one of these four choices for each question and leave nothing blank, in how many ways can you answer the questions?

Solution. This situation involves making choices with ten questions.

Question 1 (4 choices)

Question 2

Question 3

...

Question 10

We use the Fundamental Counting Principle to find the number of ways that you can answer the questions on the test. Multiply the number of choices, 4, for each of the ten questions. $4 \cdot 4 \cdot 4 \cdot 4 \cdot 4 \cdot 4 \cdot 4 \cdot 4 \cdot 4 \cdot 4 = 4^{10} = 1,048,576$ ▲

Exercises

- Six-question multiple-choice test.** You are taking a multiple-choice test that has six questions. Each of the questions has three answer choices, with one correct answer per question. If you select one of these three choices for each question and leave nothing blank, in how many ways can you answer the questions?

Solution. Multiply the number of choices for each question. $3^6 = 729$ There are 729 possible answer sheets.

- Telephone number possibilities.** Telephone numbers in the United States begin with three-digit area codes followed by seven-digit local telephone numbers. Area codes and local telephone numbers cannot begin with 0 or 1. How many different telephone numbers are possible?

Solution. There are 8 choices for the first digit of the area code and 10 choices for each remaining area code digit. For the local number, the first digit also has 8 choices and each remaining digit has 10 choices. $8 \cdot 10 \cdot 10 \cdot 8 \cdot 10^6 = 6,400,000,000$ There are 6,400,000,000 possible telephone numbers.

- Pen choices.** A popular type of pen comes in red, blue, or black ink. The writing tip varies from extra bold, bold, regular, fine, or micro. How many different choices of pens do you have with this type of pen?

Solution. Multiply the ink color choices by the tip style choices. $3 \cdot 5 = 15$ There are 15 different pen choices.

- Catered meal combinations.** A wedding caterer gives you three choices for the main course, six starter choices and five options for dessert. How many different meals (made up of starter, dinner and dessert) are there?

Solution. Multiply the number of starter choices, main course choices, and dessert choices. $3 \cdot 6 \cdot 5 = 90$ There are 90 different meals.

- Yes/no survey.** You take a survey with five "yes" or "no" answers. How many different ways could you complete the survey?

Solution. Each question has 2 choices, and the choices are independent. $2^5 = 32$ There are 32 different ways to complete the survey.

- Product code possibilities.** A company puts a code on each different product they sell. The code is made up of 3 numbers and 2 letters. How many different codes are possible?

Solution. Each number can be one of 10 digits, and each letter can be one of 26 letters. $10^3 \cdot 26^2 = 676,000$ There are 676,000 different product codes possible.

Factorials

In this section, we will explore the concept of factorials and how they are used in combinatorial counting problems. Factorials are a fundamental tool in counting arrangements and selections, and they play a crucial role in the formulas for permutations and combinations. We will define what a factorial is, how to compute it, and how to apply it in various counting scenarios.

Factorials.

Factorials are a fundamental concept in combinatorics and play a crucial role in counting problems. The factorial of a positive integer n , denoted as $n!$, is the product of all positive integers from n down to 1. For example,

$$\begin{aligned}1! &= 1 \\2! &= 2 \cdot 1 = 2 \\3! &= 3 \cdot 2 \cdot 1 = 6 \\4! &= 4 \cdot 3 \cdot 2 \cdot 1 = 24 \\5! &= 5 \cdot 4 \cdot 3 \cdot 2 \cdot 1 = 120\end{aligned}$$

By definition, $0!$ is equal to 1.

Factorials are used in various counting problems, such as permutations and combinations, where we need to count the number of ways to arrange or select items. In the following sections, we will explore how factorials are applied in these contexts and how they can help us solve complex counting problems.

If n is a positive integer, then $n!$ (n **factorial**) is the product of all positive integers from n down through 1. By definition, $0!$ is 1.

Definition 3.31 Factorial formula. The factorial of n is

$$n! = n(n-1)(n-2)(n-3) \cdots (3)(2)(1)$$

And by definition, $0! = 1$. ◆

Example 3.32 Evaluate factorial expressions. Evaluate the following factorial expressions without using the factorial key on your calculator.

- | | |
|------------------------|--------------------------|
| 1. $\frac{8!}{5!}$ | 5. $\frac{13!}{16!}$ |
| 2. $\frac{21!}{24!}$ | 6. $\frac{99!}{100!}$ |
| 3. $\frac{500!}{499!}$ | 7. $\frac{7!}{(5-1)!}$ |
| 4. $\frac{11!}{7!}$ | 8. $\frac{7!}{3!(4-4)!}$ |

Solution.

- Expand both factorials completely to show the common factors:

$$\frac{8!}{5!} = \frac{8 \cdot 7 \cdot 6 \cdot 5 \cdot 4 \cdot 3 \cdot 2 \cdot 1}{5 \cdot 4 \cdot 3 \cdot 2 \cdot 1}$$

After canceling the common factors $(5 \cdot 4 \cdot 3 \cdot 2 \cdot 1)$ from the top and bottom:

$$8 \cdot 7 \cdot 6 = 336$$

2. Since the denominator is larger, the remaining factors will be in the denominator:

$$\frac{21!}{24 \cdot 23 \cdot 22 \cdot 21!} = \frac{1}{24 \cdot 23 \cdot 22} = \frac{1}{12,144}$$

- 3.

$$\frac{500 \cdot 499!}{499!} = 500$$

4. Expand both factorials completely:

$$\frac{11!}{7!} = \frac{11 \cdot 10 \cdot 9 \cdot 8 \cdot 7 \cdot 6 \cdot 5 \cdot 4 \cdot 3 \cdot 2 \cdot 1}{7 \cdot 6 \cdot 5 \cdot 4 \cdot 3 \cdot 2 \cdot 1}$$

After canceling the common factors $(7 \cdot 6 \cdot 5 \cdot 4 \cdot 3 \cdot 2 \cdot 1)$:

$$11 \cdot 10 \cdot 9 \cdot 8 = 7,920$$

- 5.

$$\frac{13!}{16 \cdot 15 \cdot 14 \cdot 13!} = \frac{1}{16 \cdot 15 \cdot 14} = \frac{1}{3,360}$$

- 6.

$$\frac{99!}{100 \cdot 99!} = \frac{1}{100}$$

7. First, simplify the expression inside the parentheses:

$$\frac{7!}{(5-1)!} = \frac{7!}{4!} = \frac{7 \cdot 6 \cdot 5 \cdot 4!}{4!} = 7 \cdot 6 \cdot 5 = 210$$

8. Recall that $0! = 1$:

$$\frac{7!}{3!(4-4)!} = \frac{7!}{3! \cdot 0!} = \frac{7 \cdot 6 \cdot 5 \cdot 4 \cdot 3!}{3! \cdot 1} = 7 \cdot 6 \cdot 5 \cdot 4 = 840$$



Definition 3.33 Permutations of duplicate items. The number of permutations of n items, where p items are identical, q items are identical, r items are identical, s items are identical, and so on, is given by

$$\frac{n!}{(p! q! r! s! \cdots)}$$



Example 3.34 Arrange MISSISSIPPI. In how many distinct ways can the letters of the word "MISSISSIPPI" be arranged?

Solution. The word has 11 letters with 4 identical I's, 4 identical S's, and 2 identical P's. $\frac{11!}{(4!4!2!)} = \frac{39,916,800}{(24 \cdot 24 \cdot 2)} = 34,650$ ▲

Example 3.35 Arrange BANANA. In how many distinct ways can the letters of the word "BANANA" be arranged?

Solution. The word has 6 letters with 3 identical A's and 2 identical

$$N's. \frac{6!}{(3!2!)} = \frac{720}{(6 \cdot 2)} = 60 \quad \blacktriangle$$

Checkpoint 3.36 Arrange MASSACHUSETTS. In how many distinct ways can the letters of the word "MASSACHUSETTS" be arranged?

Solution. The word has 13 letters with 4 identical S's, 2 identical A's, and 2 identical T's. $\frac{13!}{(4!2!2!)} = \frac{6,227,020,800}{(24 \cdot 2 \cdot 2)} = 64,864,800$

Checkpoint 3.37 Arrange balloons. There are seventeen balloons: 3 blue, 5 red, 2 green, 3 yellow, and 4 orange. In how many distinct ways can the balloons be arranged?

Solution. There are 17 total balloons with duplicates in several colors. $\frac{17!}{(3!5!2!3!4!)} = \frac{355,687,428,096,000}{(6 \cdot 120 \cdot 2 \cdot 6 \cdot 24)} = 1,715,313,600$

Permutations

Definition 3.38 Permutation. A **permutation** is an ordered arrangement of items that occurs when:

- No item is used more than once.
- The order of arrangement makes a difference.



Example 3.39 The BTS Concert Permutation Problem. Suppose BTS, Blackstreet Boys, NSYNC and TLC are given a no-contact concert series. You decide that BTS should be the last group to perform at the four-group concert. Given this decision, in how many ways can you put together the concert?

Solution. You can choose any one of the three groups (Blackstreet Boys, NSYNC, or TLC) as the opening act. Once you have chosen the first group, you will then have two groups left to choose for the second performance. You will then have just one group left to choose for the third performance. There is also just one choice for the closing act: BTS.

Table 3.40 Concert Performance Choices

First Group to perform	Second Group to perform	Third Group to perform	Last Group to perform
3 choices	2 choices	1 choice	1 choice
Blackstreet Boys, NSYNC, TLC			BTS

We use the Fundamental Counting Principle to find the number of ways you can put together the concert. Multiply the choices:

$$3 \cdot 2 \cdot 1 \cdot 1 = 6$$

Thus, there are six different ways to arrange the concert if BTS is the final group to perform. ▲

Example 3.41 Arrange books on a shelf. You need to arrange five books along a small shelf. How many different ways can you arrange the books, assuming that the order of the books makes a difference to you?

Solution. There are 5 choices for the first position, 4 for the second, 3 for the third, 2 for the fourth, and 1 for the last. Using the Fundamental Counting Principle:

$$5 \cdot 4 \cdot 3 \cdot 2 \cdot 1 = 5! = 120$$

There are 120 different ways to arrange the books. ▲

Checkpoint 3.42 In how many different ways can a police department arrange eight suspects in a police lineup if each lineup contains all eight people?

Solution. Since all 8 people are used and order matters, this is a permutation of 8 items taken 8 at a time:

$${}_8P_8 = 8! = 40,320$$

There are 40,320 different ways to arrange the lineup.

Checkpoint 3.43 If five digits 1, 2, 3, 4, 5 are being given and a three-digit code has to be made from it if the repetition of digits is allowed then how many such codes can be formed?

Solution. Because repetition is allowed, there are 5 choices for each of the three positions in the code:

$$5 \cdot 5 \cdot 5 = 5^3 = 125$$

There are 125 possible codes.

Example 3.44 Baseball Batting Lineup. You are the coach of a 13-player baseball team and must set a 9-player batting lineup. Because different positions in the lineup carry different responsibilities, *the order makes a difference*. For example, a strong hitter like “Barry” in the clean-up spot (fourth) drives in more runs than a home run later in the order. How many different ways can you arrange your 9 starters?

Solution. You have 13 players to choose from for the first person at bat. This leaves 12 players for the second position, 11 for the third, and so on, until the 9th position. The total number of batting orders is:

$$13 \cdot 12 \cdot 11 \cdot 10 \cdot 9 \cdot 8 \cdot 7 \cdot 6 \cdot 5 = 259,459,200$$

There are nearly 260 million possible batting orders for a team of 13 players.

We can derive a general formula for permutations by rewriting this calculation as a fraction of factorials:

$$\frac{13 \cdot 12 \cdot 11 \cdot 10 \cdot 9 \cdot 8 \cdot 7 \cdot 6 \cdot 5 \cdot (4 \cdot 3 \cdot 2 \cdot 1)}{4 \cdot 3 \cdot 2 \cdot 1} = \frac{13!}{4!} = \frac{13!}{(13-9)!}$$

Using standard notation, we call this “the number of permutations of 13 things taken 9 at a time,” written as:

$${}_{13}P_9 = \frac{13!}{(13-9)!}$$



Note 3.45 Calculator Note: Using the TI-30XIIS.

**Figure 3.46** TI-30XIIS Calculator

To evaluate ${}_{13}P_9$ on the TI-30XIIS, follow these steps:

1. Enter the value of n : Type 13.
2. Press the PRB key.
3. The menu will display nPr nCr !. Since nPr is already underlined, simply press ENTER.
4. Enter the value of r : Type 9.
5. Press ENTER to get the result: 259,459,200.

Definition 3.47 Permutation Formula. The notation ${}_nP_r$ means the number of permutations of n things taken r at a time:

$${}_nP_r = \frac{n!}{(n-r)!}$$



Example 3.48 Corporate Board Elections. A corporation has seven members on its board of directors. In how many different ways can the board elect a president, vice-president, secretary, and treasurer?

Solution. Since each officer holds a specific title, the order of selection matters. We are looking for the number of permutations of 7 items taken 4 at a time:

$${}_nP_r = {}_7P_4 = \frac{7!}{(7-4)!} = \frac{7!}{3!}$$

Expanding the factorials, we get:

$$\frac{7 \cdot 6 \cdot 5 \cdot 4 \cdot 3 \cdot 2 \cdot 1}{3 \cdot 2 \cdot 1} = 7 \cdot 6 \cdot 5 \cdot 4 = 840$$

The board can elect the four officers in 840 different ways.

TI-30XIIS Keystrokes: To calculate this on your TI-30XIIS: Type 7 → Press PRB → Select nPr and press ENTER → Type 4 → Press ENTER. ▲

Checkpoint 3.49 How many different programming schedules can be arranged by choosing 5 situation comedies from a collection of 9 classic sitcoms?

Solution. We are choosing $r = 5$ items from a set of $n = 9$ where order

matters:

$${}_9P_5 = \frac{9!}{(9-5)!} = \frac{9!}{4!} = 9 \cdot 8 \cdot 7 \cdot 6 \cdot 5 = 15,120$$

There are 15,120 possible programming schedules.

TI-30XIIS Keystrokes: To calculate this on your TI-30XIIS: Type 9 → Press PRB → Select nPr and press ENTER → Type 5 → Press ENTER.

Checkpoint 3.50 In a race in which six automobiles are entered and there are no ties, in how many ways can the first three finishers come in?

Solution. We are looking for the number of permutations of 6 cars taken 3 at a time:

$${}_6P_3 = \frac{6!}{(6-3)!} = \frac{6!}{3!} = 6 \cdot 5 \cdot 4 = 120$$

There are 120 ways the first three finishers can come in.

Checkpoint 3.51 Five singers are to perform on a weekend evening at a night club. How many different ways are there to schedule their appearances?

Solution. This is a permutation of all 5 singers:

$$5! = 120$$

There are 120 different scheduling arrangements.

Checkpoint 3.52 A stock can go up, go down, or stay unchanged. How many possibilities are there if you own seven stocks?

Solution. Each of the 7 stocks has 3 possible outcomes. Since the outcome of one stock is independent of the others and order (which stock does what) matters:

$$3^7 = 2,187$$

There are 2,187 different possibilities for the seven stocks.

Checkpoint 3.53 Seven seats are positioned in a row at a movie theater. Alice, Betty, Craig, Dan, Evelyn, Frank, and Gavin want to sit together.

1. How many different ways can they be arranged?
2. How many different ways can they be arranged if Betty sits in the second seat?
3. How many different ways can they be arranged if Craig and Gavin want to sit in the two aisle seats?

Solution.

1. Total arrangements of 7 people: $7! = 5,040$.
2. If Betty is fixed in the second seat, we only need to arrange the remaining 6 people in the remaining 6 seats: $6! = 720$.
3. There are two aisle seats (the first and the last). First, arrange Craig and Gavin in those 2 seats: $2! = 2$ ways (Craig-Gavin or Gavin-Craig). Then, arrange the remaining 5 people in the middle 5 seats: $5! = 120$. Total: $2 \cdot 120 = 240$.

Combinations

Definition 3.54 Combination. A **combination** of items occurs when:

- The items are selected from the same group.
- No item is used more than once.
- *The order of items makes no difference.*



Checkpoint 3.55 Identifying Permutations and Combinations. For each of the following, determine whether the problem involves permutations or combinations:

1. How many ways can you select 6 free videos from a list of 200 videos?
2. In a race with 50 runners and no ties, in how many ways can the first three finishers come in?
3. Baskin-Robbins offers 31 different flavors of ice cream. One item is a bowl consisting of three scoops, each a different flavor. How many such bowls are possible?
4. A three-person committee is needed to study the possibility of expanding the neighborhood park. How many different committees could be formed from six people?

Solution.

1. **Combination:** the order of the selected videos does not matter; only which 6 are chosen matters.
2. **Permutation:** first, second, and third place are distinct positions, so order matters.
3. **Combination:** the bowl is defined by the set of three flavors, and swapping flavors produces the same bowl.
4. **Combination:** the committee members are chosen without ordered roles.

Definition 3.56 The Combination Formula. The number of combinations of n things taken r at a time is denoted by ${}_nC_r$:

$${}_nC_r = \frac{n!}{(n-r)!r!}$$



Example 3.57 Public Transportation Committee. A three-person committee is needed to study ways of improving public transportation. How many committees could be formed from the eight people on the board of supervisors?

Solution. This is a combination because the order of committee members does not matter.

Compute

$${}_8C_3 = \frac{8!}{5!3!}.$$

Simplify:

$$\frac{8 \cdot 7 \cdot 6 \cdot 5!}{5! \cdot (3 \cdot 2 \cdot 1)} = \frac{336}{6} = 56.$$

There are 56 possible committees.

TI-30XIIS Keystrokes: To calculate this on your TI-30XIIS: Type 8 → Press PRB , use the arrow keys to underline nCr, press ENTER → Type 3 → Press ENTER again to get the result of 56. ▲

Example 3.58 Pet Combinations. You are volunteering to pet-sit for a friend who has seven different animals. How many different pet combinations are possible if you take three of the seven pets?

Solution. Order does not matter when choosing pets for a group, so use combinations.

$${}_7C_3 = \frac{7!}{4!3!} = \frac{7 \cdot 6 \cdot 5}{3 \cdot 2 \cdot 1} = 35.$$

TI-30XIIS Keystrokes: To calculate this on your TI-30XIIS: Type 7 → Press PRB , use the arrow keys to underline nCr, press ENTER → Type 3 → Press ENTER again to get the result of 35. ▲

Example 3.59 Four-Card Hand. How many different 4-card hands can be dealt from a deck that has 16 different cards?

Solution. A hand is a combination because the order of the cards does not matter.

$${}_{16}C_4 = \frac{16!}{12!4!} = \frac{16 \cdot 15 \cdot 14 \cdot 13}{4 \cdot 3 \cdot 2 \cdot 1} = 1,820.$$

▲

Example 3.60 Poker Hands. In poker, a person is dealt 5 cards from a standard 52-card deck (Figure 3.6). The order in which the cards are dealt does not matter. How many different 5-card poker hands are possible?

Solution. Use combinations because only the set of cards matters.

$${}_{52}C_5 = \frac{52!}{47!5!} = 2,598,960.$$

TI-30XIIS Keystrokes: To calculate this on your TI-30XIIS: Type 52 → Press PRB , use the arrow keys to underline nCr, press ENTER → Type 5 → Press ENTER again to get the result of 2,598,960. ▲

Example 3.61 Senate Committee Selection. The U.S. Senate of the 107th Congress consisted of 50 Democrats, 49 Republicans, and one independent. How many committees can be formed if each committee must have 3 Democrats and 2 Republicans?

Solution. Use combinations because the order of committee members does not matter.

Choose 3 Democrats from 50:

$${}_{50}C_3 = 19,600.$$

Choose 2 Republicans from 49:

$${}_{49}C_2 = 1,176.$$

Total committees:

$$19,600 \times 1,176 = 23,049,600.$$

TI-30XIIS Keystrokes: To calculate ${}_{50}C_3$: Type $\boxed{50} \rightarrow$ Press $\boxed{\text{PRB}}$, use the arrow keys to underline nCr , press $\boxed{\text{ENTER}} \rightarrow$ Type $\boxed{3} \rightarrow$ Press $\boxed{\text{ENTER}}$. Repeat the process for ${}_{49}C_2$ and multiply the results. ▲

Checkpoint 3.62 Practice Problems. Answer the following problems. Identify whether each situation uses combinations, permutations, or the product rule, and then compute the requested count.

1. A popular brand of pen is available in three colors and four writing tips. How many different choices of pens do you have with this brand?
2. How many four-digit odd numbers are there?
3. An election ballot asks voters to select three city commissioners from a group of eight candidates. In how many ways can this be done?
4. Six singers are to perform on a weekend evening at a nightclub. How many different ways are there to schedule their appearances?
5. In how many ways can you arrange six books along a shelf, assuming that the order of the books makes a difference?
6. An ice cream store sells two drinks in four sizes and five flavors. In how many ways can a customer order a drink?
7. An electronic gate can be opened by entering five digits on a keypad containing the digits 0–9. How many different keypad sequences are possible if the digit 0 cannot be used as the first digit?
8. A math exam consists of 10 multiple-choice questions and 5 open-ended problems in which all work must be shown. If a student must answer 8 of the multiple-choice questions and 3 of the open-ended problems, in how many ways can the questions and problems be chosen?
9. For a temporary job, you are painting parking spaces for a new shopping mall with a letter of the alphabet and a single digit from 1 to 9. The first parking space is A1 and the last parking space is Z9. How many parking spaces can you paint with distinct labels?
10. In a race with 100 runners and no ties, in how many ways can the first three finishers come in?
11. Six people are on the board of supervisors for your neighborhood park. A three-person committee is needed to study the possibility of expanding the park. How many different committees could be formed from the six people?
12. Nine comedy acts will perform over two evenings. Five of the acts will perform on the first evening. How many ways can the schedule for the first evening be made?
13. To win Mega Millions, you must pick 5 numbers from a collection of 56 and one Megaball number from a collection of 46. The order of the first 5 does not matter. How many different selections are possible?
14. An exam consists of 20 multiple-choice questions and 10 open-ended problems. If a student must answer 15 of the multiple-choice and 5 of the open-ended questions, in how many ways can the questions and problems be chosen?

15. In a lucky draw, 10 names are placed in a box and three are drawn. Find the number of ways those three names can be selected.

Solution.

1. Since we are making two independent choices (brand and color), we use the **Product Rule**. Multiply the number of brand options by the number of color options:

$$3 \times 4 = 12 \text{ different pen choices.}$$

2. We use the **Fundamental Counting Principle** for each of the four digits:

- First digit (1-9): 9 choices
- Middle digits (0-9): 10 choices each
- Last digit (odd): 5 choices (1, 3, 5, 7, 9)

$$9 \times 10 \times 10 \times 5 = 4,500 \text{ possible codes.}$$

3. This is a **combination** because the order of committee members does not matter.

$${}_8C_3 = \frac{8!}{3!(8-3)!} = \frac{8 \cdot 7 \cdot 6}{3 \cdot 2 \cdot 1} = 56.$$

4. This is a **permutation** of all 6 distinct subjects.

$$6! = 6 \cdot 5 \cdot 4 \cdot 3 \cdot 2 \cdot 1 = 720 \text{ possible schedules.}$$

5. Arranging all items in a row is a **permutation**.

$$6! = 720 \text{ arrangements.}$$

6. By the **Product Rule**, multiply the choices for size, caffeine, and flavor:

$$2 \times 4 \times 5 = 40 \text{ possible drink orders.}$$

7. The first digit cannot be zero (9 choices), and the remaining four digits can be any number 0-9 (10 choices each):

$$9 \times 10 \times 10 \times 10 \times 10 = 9 \times 10^4 = 90,000 \text{ codes.}$$

8. Select the items separately then multiply:

$${}_{10}C_8 = 45 \text{ and } {}_5C_3 = 10$$

$$45 \times 10 = 450 \text{ total combinations.}$$

9. Multiply the number of letter options by the number of digit options:

$$26 \times 9 = 234 \text{ possible outcomes.}$$

10. Since the positions (President, VP, Secretary) are distinct, order matters; this is a **permutation**.

$${}_6P_3 = 6 \times 5 \times 4 = 120.$$

11. Choosing a subgroup where order is irrelevant is a **combination**.

$${}_6C_3 = \frac{6 \times 5 \times 4}{3 \times 2 \times 1} = 20.$$

12. Select 5 players from 9 without regard to order:

$${}_9C_5 = \frac{9 \times 8 \times 7 \times 6}{4 \times 3 \times 2 \times 1} = 126.$$

13. First, calculate the combinations for the 5 white balls, then multiply by the Megaball choice:

$$\begin{aligned} {}_{56}C_5 &= 3,819,816 \\ 3,819,816 \times 46 &= 175,711,536. \end{aligned}$$

14. Calculate the ways to choose the two groups separately:

$$\begin{aligned} {}_{20}C_{15} &= 15,504 \text{ and } {}_{10}C_5 = 252 \\ 15,504 \times 252 &= 3,907,008. \end{aligned}$$

15. Selecting a group of 3 from 10 is a **combination**:

$${}_{10}C_3 = \frac{10 \times 9 \times 8}{3 \times 2 \times 1} = 120.$$

Probability with the FCP, nPr and nCr

Probability with Fundamental Counting Principle and permutations, nPr

We return to our concert series with BTS, Blackstreet Boys, NSYNC and TLC. Now, **New Kids on the Block (NKOTB)** agrees to join the tour. The five groups determine the performance order by drawing names from a hat.

What is the probability of **TLC** performing fourth and **BTS** performing last?

Recall the probability formula ([Definition 3.1](#)), the probability is the fraction of the number of event outcomes over the total number of possible outcomes.

To solve this problem, we will use the **Fundamental Counting Principle (FCP)** to find the total number of possible arrangements of the five groups, and then determine how many of those arrangements have TLC performing fourth and BTS performing last. The probability is defined as:

$$P(\text{TLC 4th, BTS last}) = \frac{\text{number of permutations with TLC 4th, BTS last}}{\text{total number of possible permutations}}$$

First, we find the total number of ways to arrange the 5 groups using the **Fundamental Counting Principle**:

$$5 \cdot 4 \cdot 3 \cdot 2 \cdot 1 = 120$$

Next, we find the number of successful outcomes where TLC is 4th and BTS is last. By fixing these two positions, we only need to arrange the remaining 3 groups (Backstreet Boys, NSYNC, and NKOTB) in the first three slots:

- 1st spot: 3 choices

- 2nd spot: 2 choices
- 3rd spot: 1 choice
- 4th spot: **Fixed (TLC)**
- 5th spot: **Fixed (BTS)**

$$3 \cdot 2 \cdot 1 \cdot 1 \cdot 1 = 6$$

Therefore, calculate the probability:

$$P(\text{TLC 4th, BTS last}) = \frac{6}{120} = \frac{1}{20}$$

TI-30XIIS Keystrokes: To find the total permutations (5!), type $\boxed{5} \rightarrow \boxed{\text{PRB}} \rightarrow$ arrow over to underline ! $\rightarrow \boxed{\text{ENTER}} \rightarrow \boxed{\text{ENTER}}$. The result is 120.

Checkpoint 3.63 Probability of Performers. Seven performers A, B, C, D, E, F, and G are to appear in a fundraiser. The order of performance is determined by random selection. Find the probability that:

- D will perform first.
- E will perform sixth and B will perform last.
- They will perform in the following order: C, D, B, A, G, F, E.
- F or G will perform first.

Solution. First, we find the **total number of possible outcomes** for the sample space. Since there are 7 positions to fill:

$$\underline{7} \times \underline{6} \times \underline{5} \times \underline{4} \times \underline{3} \times \underline{2} \times \underline{1} \\ 7! = 5,040$$

TI-30XIIS: Type $\boxed{7} \rightarrow$ Press $\boxed{\text{PRB}} \rightarrow$ Arrow right to underline ! $\rightarrow$ Press $\boxed{\text{ENTER}} \rightarrow$ Press $\boxed{\text{ENTER}}$.

- To find the number of ways **D can perform first**, we fix D in the first spot:

$$\underline{1(D)} \times \underline{6} \times \underline{5} \times \underline{4} \times \underline{3} \times \underline{2} \times \underline{1} = 720 \\ P(\text{D first}) = \frac{720}{5,040} = \frac{1}{7}$$

- To find the number of ways **E performs 6th and B performs last**, we fix those two positions:

$$\underline{5} \times \underline{4} \times \underline{3} \times \underline{2} \times \underline{1} \times \underline{1(E)} \times \underline{1(B)} = 120 \\ P(\text{E 6th, B last}) = \frac{120}{5,040} = \frac{1}{42}$$

- There is only **one specific sequence** out of the 5,040 possibilities:

$$\underline{1(C)} \times \underline{1(D)} \times \underline{1(B)} \times \underline{1(A)} \times \underline{1(G)} \times \underline{1(F)} \times \underline{1(E)} = 1 \\ P(\text{Specific order C, D, B, A, G, F, E}) = \frac{1}{5,040}$$

- For **F or G to perform first**, we have 2 choices for the first spot:

$$\underline{2(\text{F or G})} \times \underline{6} \times \underline{5} \times \underline{4} \times \underline{3} \times \underline{2} \times \underline{1} = 1,440 \\ P(\text{F or G first}) = \frac{1,440}{5,040} = \frac{2}{7}$$

Probability with Combinations, nCr

Example 3.64 Probability of Winning LOTTO. Florida's lottery game LOTTO is set up so that each player chooses six different numbers from 1 to 53. If the six numbers chosen match the six numbers drawn randomly, the player wins the top cash prize. With one LOTTO ticket, what is the probability of winning this prize? Because the order of the six numbers does not matter, this is a situation involving combinations. We begin with the formula for probability:

$$P(\text{winning}) = \frac{\text{number of ways of winning}}{\text{total number of possible combinations}}$$

We are selecting $r = 6$ numbers from a collection of $n = 53$ numbers. Using the combination formula:

$${}_{53}C_6 = \frac{53!}{(53-6)! \times 6!} = \frac{53!}{47! \times 6!} = 22,957,480$$

TI-30XIIS Keystrokes: To calculate ${}_{53}C_6$: Type **53** → Press **PRB** → Underline nCr and press **ENTER** → Type **6** → Press **ENTER**.

There are nearly 23 million number combinations possible in LOTTO. If a person buys one LOTTO ticket, that person has selected only one combination of six numbers. With one LOTTO ticket, there is only one way of winning:

$$P(\text{winning}) = \frac{1}{22,957,480} \approx 0.0000000436$$

The probability of winning the top prize with one LOTTO ticket is $\frac{1}{22,957,480}$ or about 1 in 23 million. ▲

Checkpoint 3.65 A state lottery is designed so that a player chooses five numbers from 1 to 30 on one lottery ticket. What is the probability that a player with one lottery ticket will win? What is the probability of winning if 100 different lottery tickets are purchased?

Hint. To calculate ${}_{30}C_5$ on your **TI-30XIIS**:

1. Enter **30**.
2. Press the **PRB** key.
3. Use the **Right Arrow** to underline nCr.
4. Press **ENTER**.
5. Enter **5** and press **ENTER** (Result: 142,506).
6. To find the probability, press **1** **÷** **2nd** **ANS** **ENTER**.

Solution. The total number of possible outcomes is the number of ways to choose 5 numbers from 30:

$${}_{30}C_5 = 142,506$$

The probability of winning with one ticket is:

$$P(1 \text{ ticket}) = \frac{1}{142,506} \approx 0.000007$$

The probability of winning with 100 tickets is:

$$P(100 \text{ tickets}) = \frac{100}{142,506} \approx 0.0007$$

Example 3.66 Probability of Club Committee Selection. A club consists of five men and seven women. Three members are selected at random to attend a conference. Find the probability that the selected group consists of:

- a three men.
- b one man and two women.

Solution. First, we find the total number of ways to choose 3 members from the group of 12 (5 men + 7 women):

$${}_{12}C_3 = 220$$

- a To find the probability of selecting three men, we first find the number of ways to choose 3 men from the 5 available:

$${}_5C_3 = 10$$

The probability is:

$$P(3 \text{ men}) = \frac{{}_5C_3}{{}_{12}C_3} = \frac{10}{220} = \frac{1}{22} \approx 0.0455$$

- b To find the probability of selecting one man and two women, we calculate the ways to choose each and multiply them:

- Ways to choose 1 man from 5: ${}_5C_1 = 5$
- Ways to choose 2 women from 7: ${}_7C_2 = 21$

$$P(1 \text{ man, } 2 \text{ women}) = \frac{{}_5C_1 \times {}_7C_2}{{}_{12}C_3} = \frac{5 \times 21}{220} = \frac{105}{220} = \frac{21}{44} \approx 0.4773$$

TI-30XIIS Tip: To calculate part (b) in one string: 5 PRB (nCr) 1 × 7 PRB (nCr) 2 ÷ 220 ENTER. ▲

Checkpoint 3.67 Probability of Defective Transistors. A box contains 25 transistors, 6 of which are defective. If 6 are selected at random, find the probability that:

- a all are defective.
- b none are defective.

Solution. First, we determine the total number of ways to select 6 transistors from 25:

$${}_{25}C_6 = 177,100$$

- a To find the probability that all 6 are defective, we choose 6 from the 6 defective transistors:

$${}_6C_6 = 1$$

$$P(\text{all defective}) = \frac{1}{177,100} \approx 0.0000056$$

- b To find the probability that none are defective, all 6 must be chosen from the 19 non-defective transistors (25 total - 6 defective):

$${}_{19}C_6 = 27,132$$

$$P(\text{none defective}) = \frac{27,132}{177,100} = \frac{6,783}{44,275} \approx 0.1532$$

TI-30XIIS Calculator Steps:

- For the denominator: $\boxed{25} \boxed{\text{PRB}} \boxed{(\text{nCr})} \boxed{6} \boxed{\text{ENTER}}$ (Result: 177,100).
- For part (b): $\boxed{19} \boxed{\text{PRB}} \boxed{(\text{nCr})} \boxed{6} \boxed{+} \boxed{177,100} \boxed{\text{ENTER}}$.

Checkpoint 3.68 Parent-Teacher Committee Selection. A parent-teacher committee consisting of four people is to be selected from fifteen parents and five teachers. Find the probability of selecting two parents and two teachers.

Solution. First, we find the total number of ways to choose 4 members from the group of 20 (15 parents + 5 teachers):

$${}_{20}C_4 = 4,845$$

Next, we find the number of ways to select the specific group:

- Ways to select 2 parents from 15: ${}_{15}C_2 = 105$
- Ways to select 2 teachers from 5: ${}_5C_2 = 10$

Total successful outcomes: $105 \times 10 = 1,050$.

The probability is the number of successful outcomes divided by the total outcomes:

$$P(2 \text{ parents, } 2 \text{ teachers}) = \frac{{}_{15}C_2 \times {}_5C_2}{{}_{20}C_4} = \frac{1,050}{4,845}$$

Simplifying the fraction and providing the decimal:

$$P = \frac{70}{323} \approx 0.2167$$

TI-30XIIS Calculator Steps: $\boxed{15} \boxed{\text{PRB}} \boxed{(\text{nCr})} \boxed{2} \boxed{\times} \boxed{5} \boxed{\text{PRB}} \boxed{(\text{nCr})} \boxed{2} \boxed{\div} \boxed{20} \boxed{\text{PRB}} \boxed{(\text{nCr})} \boxed{4} \boxed{\text{ENTER}}$.

Checkpoint 3.69 Probability of Dealing Four Hearts. If you are dealt 4 cards from a shuffled deck of 52 cards (Figure 3.6), find the probability that all 4 are hearts.

Solution. First, we determine the total number of ways to choose 4 cards from a deck of 52:

$${}_{52}C_4 = 270,725$$

Next, we determine the number of ways to choose 4 hearts. Since there are 13 hearts in a deck:

$${}_{13}C_4 = 715$$

The probability that all 4 cards are hearts is the number of ways to choose 4 hearts divided by the total number of ways to choose 4 cards:

$$P(4 \text{ hearts}) = \frac{{}_{13}C_4}{{}_{52}C_4} = \frac{715}{270,725}$$

Simplifying the fraction and providing the decimal:

$$P = \frac{11}{4,165} \approx 0.0026$$

TI-30XIIS Calculator Steps: $\boxed{13} \boxed{\text{PRB}} \boxed{(\text{nCr})} \boxed{4} \boxed{\div} \boxed{52} \boxed{\text{PRB}} \boxed{(\text{nCr})} \boxed{4} \boxed{\text{ENTER}}$.

Checkpoint 3.70 Probability of Full House: Kings and Aces. If you are dealt 5 cards from a shuffled deck of 52 cards (Figure 3.6), find the probability that you get 3 kings and two aces.

Solution. First, we find the total number of ways to choose 5 cards from a deck of 52:

$${}_{52}C_5 = 2,598,960$$

Next, we calculate the number of ways to select the specific cards:

- Ways to select 3 kings from the 4 available: ${}_4C_3 = 4$
- Ways to select 2 aces from the 4 available: ${}_4C_2 = 6$

Total successful outcomes: $4 \times 6 = 24$.

The probability is the ratio of successful outcomes to the total possible outcomes:

$$P(3 \text{ kings and } 2 \text{ aces}) = \frac{{}_4C_3 \times {}_4C_2}{{}_{52}C_5} = \frac{24}{2,598,960}$$

Simplifying the fraction and providing the decimal:

$$P = \frac{1}{108,290} \approx 0.00000923$$

TI-30XIIS Calculator Steps: 4 PRB (nCr) 3 × 4 PRB (nCr)
2 ÷ 52 PRB (nCr) 5 ENTER.

Chapter Exercises

Exercises

- 1. Probability of Disjoint or Overlapping Events.** A fair die is rolled. What is the probability of rolling an odd number or a number less than 3?

Solution. The sample space for a fair die is $S = \{1, 2, 3, 4, 5, 6\}$, so $n(S) = 6$.

- Odd numbers: $\{1, 3, 5\}$
- Numbers less than 3: $\{1, 2\}$
- Overlap (Odd AND less than 3): $\{1\}$

Using the Addition Rule: $P(A \text{ or } B) = P(A) + P(B) - P(A \text{ and } B)$

$$P = \frac{3}{6} + \frac{2}{6} - \frac{1}{6} = \frac{4}{6} = \frac{2}{3} \approx 0.6667$$

- 2. Committee Selection.** How many ways can a committee of 5 be selected from a club with 10 members?

Solution. Since the order of selection does not matter for a committee, we use combinations:

$${}_{10}C_5 = 252$$

TI-30XIIS: 10 PRB (nCr) 5 ENTER.

- 3. Probability with Cards (Face or 3).** A card is drawn at random from a shuffled deck of 52 cards (Figure 3.6). What is the probability of drawing a face card or a 3?

Solution. These are mutually exclusive events (a card cannot be both a face card and a 3).

- Face cards (J, Q, K): $3 \times 4 = 12$
- 3s: 4

$$P = \frac{12}{52} + \frac{4}{52} = \frac{16}{52} = \frac{4}{13} \approx 0.3077$$

4. **Probability of a Card Range.** One card is selected from a deck of cards. Find the probability that the card selected is greater than 3 and less than 8.

Solution. First, we identify the values in a single suit that are greater than 3 and less than 8:

- The numbers are: 4, 5, 6, and 7.
- There are 4 such values per suit.

Since there are 4 suits in a deck (hearts, diamonds, clubs, and spades), we multiply:

$$4 \text{ values} \times 4 \text{ suits} = 16 \text{ successful cards}$$

The probability is the number of successful cards divided by the total number of cards (52):

$$P = \frac{16}{52} = \frac{4}{13} \approx 0.3077$$

TI-30XIIS Calculator Steps: 16 ÷ 52 ENTER (Then press 2nd PRB if you need to convert back to a simplified fraction).

5. **Probability of Marbles (Not Blue).** A bag contains 8 red, 2 blue, and 1 green marble. What is the probability of choosing a marble that is not blue?

Solution. Total marbles: $8 + 2 + 1 = 11$. Marbles that are "not blue" are red or green: $8 + 1 = 9$.

$$P(\text{not blue}) = \frac{9}{11} \approx 0.8182$$

6. **Probability of Even or Five.** A lottery game has balls numbered 0 through 9. What is the probability of selecting an even numbered ball or a 5?

Solution. First, we identify the sample space $S = \{0, 1, 2, 3, 4, 5, 6, 7, 8, 9\}$. The total number of outcomes is $n(S) = 10$.

Next, we identify the successful outcomes:

- Even numbered balls: $\{0, 2, 4, 6, 8\}$ (Note: 0 is an even number). There are 5 even balls.
- The number 5: $\{5\}$. There is 1 such ball.

Since these events are mutually exclusive (a ball cannot be both even and 5), we add the probabilities:

$$P(\text{even or 5}) = \frac{5}{10} + \frac{1}{10} = \frac{6}{10}$$

Simplifying the fraction and providing the decimal:

$$P = \frac{3}{5} = 0.6$$

- 9. Probability of Marbles Without Replacement.** Two marbles are drawn without replacement from a box with 3 white, 2 green, 2 red, and 1 blue marble.

- Find a total possible ways to choose two marbles without replacement.
- How many ways to choose two white marbles?
- Find the probability that both marbles are white.

Solution. First, we find the total number of marbles: $3 + 2 + 2 + 1 = 8$.

- The total number of ways to choose 2 marbles from 8 without regard to order:

$${}_8C_2 = \frac{8 \times 7}{2 \times 1} = 28$$

- The number of ways to choose 2 white marbles from the 3 available:

$${}_3C_2 = 3$$

- The probability that both marbles are white is the ratio of successful ways to total ways:

$$P(\text{both white}) = \frac{{}_3C_2}{{}_8C_2} = \frac{3}{28} \approx 0.1071$$

- 10. Counting Three-Digit Numbers.** How many different three-digit numbers can be written using digits from the set $\{3, 4, 5, 6, 7\}$ without any repeating digits?

Solution. Since the order of the digits matters in a number (e.g., 345 is different from 543) and repetitions are not allowed, we use the permutation formula ${}_nP_r$.

There are $n = 5$ digits available, and we are choosing $r = 3$ of them:

$${}_5P_3 = \frac{5!}{(5-3)!} = 5 \times 4 \times 3 = 60$$

There are 60 different three-digit numbers that can be formed.

TI-30XIIS Calculator Steps:

- Enter **5**.
- Press the **PRB** button.
- Underline **nPr** and press **ENTER**.
- Enter **3** and press **ENTER**.

- 11. Distinct Arrangements (IMMUNOLOGY).** In how many distinct ways can the letters in IMMUNOLOGY be arranged?

Solution. There are 10 letters total. We identify the repeats: M (2), O (2). The formula for distinguishable permutations is:

$$\frac{10!}{(2! \times 2!)} = \frac{3,628,800}{4} = 907,200$$

TI-30XIIS: **10** **PRB** **(!)** **÷** **(** **2** **PRB** **!** **×** **2** **PRB** **!** **)** **ENTER**.

Chapter 4

Hands-On Sessions

The following notes are intended to remind you what we covered each week. They are not a substitute for attending class and not a substitute for reading the textbook.

Chapter 5

Class Activities

These are copies of the in-class activities distributed during the semester.

01. Activity Voting Methods

In many decision making situations, it is necessary to gather the group consensus using some sort of vote. While the basic idea of voting is fairly universal, the method by which those votes are used to determine a winner can vary. In deciding upon a winner, there is always one main goal: to reflect the preferences of the people in the most fair way possible. We will discuss four different methods for determining the winner of an election using preference ballots, and will see that we can sometimes have different winners under different methods of voting.

See [Section](#) for the voting notes.

- Four candidates are running for president of the Worcester State Math Club: Alan (A), Brenda (B), Craig (C), and Diane (D). The club members are asked to submit preference ballots and the results are shown in the preference table below.

	19	15	11	7	2
First	<i>B</i>	<i>C</i>	<i>D</i>	<i>A</i>	<i>C</i>
Second	<i>A</i>	<i>A</i>	<i>C</i>	<i>D</i>	<i>D</i>
Third	<i>C</i>	<i>D</i>	<i>A</i>	<i>C</i>	<i>A</i>
Fourth	<i>D</i>	<i>B</i>	<i>B</i>	<i>B</i>	<i>B</i>

Note: All parts of the questions must be correct to earn credit!

How many students are in the Math Club?

How many members have Craig as their first choice?

How many members have Brenda as their last choice?

Answer.

- 54
- 17
- 35

2. Which of the following voting methods will we discuss in this course. Select all that apply!

- (a) Plurality with elimination method
- (b) Jefferson's method
- (c) Plurality method
- (d) Borda count method
- (e) Pairwise comparison method
- (f) Hamilton's method

Answer.

- Plurality method
- Plurality with elimination method
Borda count method
Pairwise comparison method

3. Four candidates are running for president of the Worcester State Math Club: Alan (A), Brenda (B), Craig (C), and Diane (D). The club members are asked to submit preference ballots and the results are shown in the preference table below.

	19	15	11	7	2
First	<i>B</i>	<i>C</i>	<i>D</i>	<i>A</i>	<i>C</i>
Second	<i>A</i>	<i>A</i>	<i>C</i>	<i>D</i>	<i>D</i>
Third	<i>C</i>	<i>D</i>	<i>A</i>	<i>C</i>	<i>A</i>
Fourth	<i>D</i>	<i>B</i>	<i>B</i>	<i>B</i>	<i>B</i>

Note: All parts of the questions must be correct to earn credit!

Who would win the election under the plurality method?

- (a) Alan
- (b) Brenda
- (c) Craig
- (d) Diane

How many first place votes did this candidate receive?

Does the winning candidate receive the majority of first place votes?

- (a) Yes
- (b) No

Answer.

- B: Brenda
- 19
- B: No

4. Four candidates are running for president of the Worcester State Math Club: Alan (A), Brenda (B), Craig (C), and Diane (D). The club members are asked to submit preference ballots and the results are shown in the preference table below.

	19	15	11	7	2
First	<i>B</i>	<i>C</i>	<i>D</i>	<i>A</i>	<i>C</i>
Second	<i>A</i>	<i>A</i>	<i>C</i>	<i>D</i>	<i>D</i>
Third	<i>C</i>	<i>D</i>	<i>A</i>	<i>C</i>	<i>A</i>
Fourth	<i>D</i>	<i>B</i>	<i>B</i>	<i>B</i>	<i>B</i>

Note: All parts of the questions must be correct to earn credit!

Who would be the first candidate eliminated under the plurality with elimination method?

- (a) Alan
- (b) Brenda
- (c) Craig
- (d) Diane

After this candidate is eliminated and the votes are redistributed, how many first-choice votes does Diane have? (If Diane was the first eliminated, enter 0 as your answer here.)

Who wins this election under plurality with elimination?

- (a) Alan
- (b) Brenda
- (c) Craig
- (d) Diane

Answer.

- A: Alan
- 18
- D: Diane

5. Four candidates are running for president of the Worcester State Math Club: Alan (A), Brenda (B), Craig (C), and Diane (D). The club members are asked to submit preference ballots and the results are shown in the preference table below.

	19	15	11	7	2
First	<i>B</i>	<i>C</i>	<i>D</i>	<i>A</i>	<i>C</i>
Second	<i>A</i>	<i>A</i>	<i>C</i>	<i>D</i>	<i>D</i>
Third	<i>C</i>	<i>D</i>	<i>A</i>	<i>C</i>	<i>A</i>
Fourth	<i>D</i>	<i>B</i>	<i>B</i>	<i>B</i>	<i>B</i>

Note: All parts of the questions must be correct to earn credit!

Who would win the election under the Borda count method?

- (a) Alan
- (b) Brenda
- (c) Craig
- (d) Diane

How many points would the winning candidate receive under the Borda count?

Answer.

- A: Alan
- 156

6. Four candidates are running for president of the Worcester State Math Club: Alan (A), Brenda (B), Craig (C), and Diane (D). The club members are asked to submit preference ballots and the results are shown in the preference table below.

	19	15	11	7	2
First	<i>B</i>	<i>C</i>	<i>D</i>	<i>A</i>	<i>C</i>
Second	<i>A</i>	<i>A</i>	<i>C</i>	<i>D</i>	<i>D</i>
Third	<i>C</i>	<i>D</i>	<i>A</i>	<i>C</i>	<i>A</i>
Fourth	<i>D</i>	<i>B</i>	<i>B</i>	<i>B</i>	<i>B</i>

Note: All parts of the questions must be correct to earn credit!

Who would win the election under the pairwise comparison method?

- (a) Alan
- (b) Brenda
- (c) Craig
- (d) Diane

How many points would the winning candidate receive under the pairwise comparison method?

Answer.

- C: Craig
- 3

7. We have seen four different methods for determining the winner of an election. Through our examples and problems, we have also seen that these different methods can lead to different winners! In particular, in the Math Club President election considered throughout the exercises, it turns out that each of the four voting methods leads to each of the four candidates being declared the winner!

02. Activity Apportionment Methods

Apportionment is the problem of dividing up a fixed number of things among groups of different sizes. In politics, this takes the form of allocating a limited number of representatives amongst voters. This problem, presumably, is older than the United States, but the best-known ways to solve it have their origins in the problem of assigning each state an appropriate number of representatives in the new Congress when the country was formed. Apportionment theory is also used in many non-political situations, such as staffing a hospital with the appropriate number of nurses per shift and allocating buses to cover a set of bus routes based on the number of passengers.

The goal with any apportionment problem is to find a way to fairly distribute the items (e.g., doctors, buses, instructors) among the groups (e.g., clinics, routes, courses).

We face several real-world restrictions in this distribution process:

- 1 The things being divided up can exist only in whole numbers.
- 2 We must use all of the things being divided up, and we cannot use any more.
- 3 Each group must get at least one of the things being divided up.
- 4 The number of things assigned to each group should be at least approximately proportional to the population of the group. (Exact proportionality isn't possible because of the whole number requirement, but we should try to be close, and in any case, if Group A is larger than Group B, then Group B shouldn't get more of the things than Group A does.)

In terms of the apportionment of the United States House of Representatives, these rules imply:

- 1 We can only have whole representatives. Massachusetts can't have 8.4 representatives.
- 2 We can only use the (currently) 435 representatives available. If one state gets another representative, another state has to lose one.
- 3 Every state gets at least one representative.
- 4 The number of representatives each state gets should be approximately proportional to the state population. This way, the number of constituents each representative has should be approximately equal.

There are many different methods for solving an apportionment problem. In this course, we will discuss three of them: Hamilton's method, Jefferson's method, and Adams method. The first step for each method will be to compute the standard divisor and standard quotas. See [Section](#) for the apportionment notes.

1. Which of the following scenarios illustrates an apportionment problem? Select ALL that apply!
- (a) Four people pool their money to buy 60 shares of a stock, and the shares are distributed among the four based on the amount each person contributes.
 - (b) A daycare must distribute 100 toys among 5 rooms based on the number of children in each room.
 - (c) A school system purchases 500 new computers and must distribute them among 8 elementary schools based on the number of students at each school.
 - (d) The WSU Math Club needs to elect a president and will do so by selecting the candidate with the most votes.

Answer.

- A daycare must distribute 100 toys among 5 rooms based on the number of children in each room.
Four people pool their money to buy 60 shares of a stock, and the shares are distributed among the four based on the amount each person contributes.
A school system purchases 500 new computers and must distribute them among 8 elementary schools based on the number of students at each school.

2. Which of the following apportionment methods will we discuss in this course. Select all that apply!
- (a) Adam's Method
 - (b) Plurality method
 - (c) Jefferson's method
 - (d) Hamilton's method
 - (e) Plurality with elimination method
 - (f) Pairwise comparison method
 - (g) Borda count method

Answer.

- Hamilton's method
- Jefferson's method
- Adam's Method

3.

4.

5.

6.

03. Activity Simple Interest

We have to work with money every day. While balancing your checkbook or calculating your monthly expenditures on coffee requires only arithmetic, when we start saving, planning for retirement, or need a loan, we need more mathematics!

See [Section](#) for the simple interest notes. Discussing interest starts with the principal, which is the amount your account starts with. This could be a starting investment or the starting amount of a loan. Interest is the amount earned for depositing money or the amount paid for borrowing money. It is calculated as a percentage of the principal (called the interest rate) and is written as a decimal (for example, 5% is 0.05).

For a simple example, if you borrowed \$100 from a friend and agreed to repay it with 5% interest, then the amount of interest you would pay would just be 5% of \$100:

$$\$100 \times 0.05 = \$5.$$

The total amount you would repay would be \$105, which is the original principal plus the interest. This is an example of one-time simple interest, where the interest is calculated based on the principal only.

1. Alex borrows \$1200 from their parents for college expenses and agrees to repay them with 7% interest.

- a) What is the principle in this situation?

- \$ _____

- b) Write the interest rate as a decimal.

- _____ %

- c) How much interest will Alex pay their parents?

- \$ _____

- d) What is the total amount, principle plus interest, Alex will repay?

- \$ _____

Answer.

- 1200
- 0.07
- 84
- 1284

One-time simple interest is only common for extremely short-term loans. For longer-term loans, it is common for interest to be paid on a daily, monthly, quarterly, or annual basis. In that case, interest would be earned regularly. For example, bonds are essentially a loan made to the bond issuer (a company or government) by you, the bondholder. In return for the loan, the issuer agrees to pay interest, often annually. Bonds have a maturity date, at which time the issuer pays back the original bond value.

Example 5.1 Suppose your city is building a new park, and issues bonds to raise the money to build it. You obtain a \$1,000 bond that pays 5% interest annually that matures in 5 years. How much interest will you earn?

Solution. Each year you would earn interest:

$$\$1,000 \times 0.05 = \$50.$$

So, over the course of five years, you would earn a total of

$$\$50 \times 5 = \$250.$$

When the bond matures, you would receive back the \$1,000 you originally paid, leaving you with a total of \$1,250. 

Notice how the amount of interest (I) was computed in this example: we multiplied the principal by the interest rate (represented as a decimal), then multiplied this by the number of years. We can generalize this idea of simple interest over time to obtain a formula that we can use to find the amount of simple interest earned:

$$I = Prt$$

where:

- I is the amount of simple interest
- P is the principal (starting amount)
- r is the interest rate represented as a decimal
- t is the time in years

Note 5.2 You do NOT need to memorize this formula! It will be provided for you on all quizzes and exams!

Let's look at a quick example demonstrating the simple interest formula.

Example 5.3 A student took out a simple interest loan for \$5,000 for 3 years at a rate of 4% to purchase a used car. What is the interest on the loan?

Solution. We are given the following: $P = \$5,000$, $t = 3$, and $r = 0.04$. Using the simple interest formula, the amount of interest on the loan is:

$$I = \$5,000 \times 0.04 \times 3 = \$600$$



2. In the simple interest formula $I = Prt$, what unit must t be given in?

- (a) Days
- (b) Quarters
- (c) Years
- (d) Weeks
- (e) Months
- (f) Decimals
- (g) Whatever unit is given in the problem
- (h) There is no particular unit

Answer.

- C: Years

3. You take out a simple interest loan for \$500 for 3 years at an interest rate of 4% to pay for textbooks. What is the simple interest on the loan?

\$ _____

Answer.

- 60

While finding the amount of interest accrued for a loan is important, it is perhaps more important that we determine the total amount that must be repaid. We will call this amount — that is, the total amount required to be repaid in a loan or the total amount earned in an investment — the **future value**. We will denote this quantity with the variable A .

As we saw with the example on the previous page involving a city issuing bonds to build a new park, the future value of a loan can be found by adding together the principal and the interest. This is true for an investment as well. This will allow us to develop a formula for the future value involving simple interest:

$$A = P + I$$

Since $I = Prt$, we can substitute this into the equation to get:

$$A = P + Prt = P(1 + rt)$$

This short calculation provides us with a formula for computing the future value for a simple interest loan or investment:

$$A = P(1 + rt)$$

where:

- A is the future value of the loan or investment
- P is the principal (starting amount) of the loan or investment
- r is the interest rate represented as a decimal
- t is the time in years

Note 5.4 You do NOT need to memorize this formula! It will be provided for you on all quizzes and exams! Let's look at a quick example demonstrating the simple interest formula.

Example 5.5 A loan of \$2,500 has been made at 6% for 9 months. Find the loan's future value.

Solution. We are given the following: $P = \$2,500$ and $r = 0.06$.

For t , note that we are given a time in months, not years! For the simple interest formula to be used correctly, we must give this value in years. Since there are 12 months in a year, we can always convert from months to years by dividing the number of months by 12. In this case, we have:

$$t = \frac{9}{12} = 0.75 \text{ years}$$

Now, using the formula above we find a future value of:

$$A = \$2,500(1 + 0.06 \times 0.75) = \$2,612.50$$



4. Match each of the quantities on the left with the variable which represents it in the simple interest formula.

Note all answers must be correct to earn credit!

- (a) Future value
 - (b) Time
 - (c) Interest rate
 - (d) Principle
-
- (a) A
 - (b) r
 - (c) P
 - (d) t

Answer.

- a d b c

5. A simple interest loan is taken out for 6 months. What value of t should be used in the simple interest formula?

$t =$ _____

Answer.

- 0.5

6. You deposit \$4500 in an investment paying a simple interest rate of 8%. How much will the investment be worth in nine months?

\$ _____

Answer.

- 4770

In addition to determining the future value for a simple interest loan or investment, the simple interest formula can be used to solve other types of problems. We might want to know how much we should deposit into an account with a given simple interest rate to ensure we have a given amount in the future. Or, like in the example below, we might want to determine the simple interest rate based on the principal and future values.

Example 5.6 You borrow \$500 from a friend and promise to pay back \$560 in 18 months. What simple interest rate will you pay?

Solution. We are given the following: $P = \$500$, $A = \$560$, and $t = \frac{18}{12} = 1.5$ years.

We are looking to find the value of r (hence, the "?"). We substitute the given values into the simple interest formula and solve for r :

$$\begin{aligned} A &= P(1 + rt) \\ 560 &= 500(1 + r \times 1.5) \end{aligned}$$

Divide both sides by 500:

$$1.12 = 1 + 1.5r$$

Subtract 1 from both sides:

$$0.12 = 1.5r$$

Divide by 1.5:

$$r = \frac{0.12}{1.5} = 0.08$$

Since $r = 0.08$, we convert this to a percent to get a simple interest rate of 8%. ▲

7. What was the primary goal in the preceding example?

- (a) To find the future value of a loan.
- (b) To find the amount of time for which a loan was given.
- (c) To find the simple interest rate for a loan.
- (d) To find the amount of interest accrued over the course of a loan.
- (e) To find the amount deposited in a loan.
- (f) None of the above.

Answer.

- C: To find the simple interest rate for a loan.

04. Activity Compound Interest

With simple interest, we were assuming that we pocketed the interest when we received it. In a standard bank account, any interest we earn is automatically added to our balance, and we earn interest on that interest in future years. This reinvestment of interest is called **compounding**.

See [Section](#) for the compound interest notes. Suppose that we deposit \$1,000 in a bank account offering 12% simple interest. After 1 year, the account would have a balance of \$1,120.

Now, suppose that we deposit our \$1,000 in a bank account offering 12% interest, compounded monthly. How will our money grow?

In the first month (note we use $t = \frac{1}{12}$ so that time is given in years!):

$$I = \$1,000 \times 0.12 \times \frac{1}{12} = \$10$$

In the first month, we will earn \$10 in interest, raising our account balance to \$1,010.

In the second month:

$$I = \$1,010 \times 0.12 \times \frac{1}{12} = \$10.10$$

Notice that in the second month we earned more interest than we did in the first month. This is because we earned interest not only on the original \$1,000 we deposited, but we also earned interest on the \$10 of interest we earned the first month. This is the key advantage that compounding of interest gives us.

Calculating out a few more months, we obtain the following:

Month	Starting Balance	Interest Earned	Ending Balance
1	\$1,000.00	\$10.00	\$1,010.00
2	\$1,010.00	\$10.10	\$1,020.10
3	\$1,020.10	\$10.20	\$1,030.30
4	\$1,030.30	\$10.30	\$1,040.60
5	\$1,040.60	\$10.41	\$1,051.01
6	\$1,051.01	\$10.51	\$1,061.52
7	\$1,061.52	\$10.62	\$1,072.14
8	\$1,072.14	\$10.72	\$1,082.86
9	\$1,082.86	\$10.83	\$1,093.69
10	\$1,093.69	\$10.94	\$1,104.63
11	\$1,104.63	\$11.05	\$1,115.68
12	\$1,115.68	\$11.16	\$1,126.84

Notice that we earned slightly more interest with compound interest than with simple interest.

1. Answer the following questions about the \$1000 loan in the example above.
- a) How much total interest was earned with the account using simple interest?
\$ _____
 - b) When using compound interest, how much interest was earned in month 6?
\$ _____
 - c) When using compound interest, what was the ending account balance after 9 months?
\$ _____

Answer.

- 30
- 2.53
- 1022.73

The calculation on the previous page was quite tedious! Fortunately, there are formulas that can be used to help us determine the future value of a loan or investment that undergoes compound interest and solve other problems relating to compound interest!

There are two formulas we will consider in this course. Both are mathematically equivalent, but are solved in terms of different values for our convenience.

$$A = P \left(1 + \frac{r}{n}\right)^{nt}$$
$$P = \frac{A}{\left(1 + \frac{r}{n}\right)^{nt}}$$

where:

- P is the principal (starting amount) of the loan or investment, sometimes called the present value.
- A is the future value of the loan or investment.
- r is the interest rate represented as a decimal.
- n is the number of compounding periods per year.
- t is the time in years.

Note 5.7 You do NOT need to memorize this formula! It will be provided for you on all quizzes and exams!

The first formula (the one with A on the left-hand side) is called the **future value formula** since it is solved for the future value. It should be used when we want to determine the future value of a loan or investment with a given present value.

The second formula (the one with P on the left-hand side) is called the **present value formula** since it is solved for the present value (principal). It should be used when we want to determine the present value of a loan or investment with a given future value.

The new quantity here that was not present before is n , the number of compounding periods per year. This will need to be given to us, and is often done so using keywords. Some examples of these are:

- If the compounding is done annually (once a year), then $n = 1$.
- If the compounding is done semi-annually, then $n = 2$.
- If the compounding is done quarterly, then $n = 4$.
- If the compounding is done monthly, then $n = 12$.
- If the compounding is done weekly, then $n = 52$.
- If the compounding is done daily, then $n = 365$.

The most important thing to remember about using these formulas is that it assumes that we put money in the account once and let it sit there earning interest. An account where we make regular deposits is called an **annuity**, and will be discussed in our next unit! We look at some examples of using these formulas on the next page!

2. Which quantity is often called the present value of a loan or investment?

- (a) r
- (b) t
- (c) A
- (d) n
- (e) P
- (f) None of these

Answer.

- E: P

3. What would the value of n be in the compound interest formulas if interest is compounded

a) monthly?

b) daily?

c) semi-annually?

d) 7 times per year?

Answer.

- 12
- 365
- 2
- 7

Example 5.8 A certificate of deposit (CD) is a savings instrument that many banks offer. It usually gives a higher interest rate, but you cannot access your investment for a specified amount of time. Suppose you deposit \$3,000 in a CD paying 6% interest compounded monthly. How much will you have in the account after 20 years? How much interest was earned?

Solution. We are given the following values:

- $P = \$3,000$ (the initial deposit)
- $r = 0.06$ (the interest rate as a decimal)
- $n = 12$ (interest is compounded monthly)
- $t = 20$ (we're looking for the amount after 20 years)

We are asked to find the value in the account in the future (i.e., the future value), so we use the future value formula for compound interest:

$$A = P \left(1 + \frac{r}{n} \right)^{nt}$$

$$A = 3,000 \left(1 + \frac{0.06}{12} \right)^{12 \times 20}$$

$$A = 3,000(1.005)^{240} \approx \$9,930.61$$

To find the amount of interest earned, we observe that everything in the account other than the initial deposit must be interest! Since we deposited \$3,000 and ended up with \$9,930.61, the amount of interest earned must be:

$$\text{Interest} = \$9,930.61 - \$3,000 = \$6,930.61$$

Note that we did NOT use the formula $I = Prt$ here to compute the amount of interest earned. This formula applies only to situations which use simple interest. If we used it here, we would not have calculated the correct amount of interest. ▲

4. You deposit \$1000 in a savings account with an interest rate of 2.95%. The interest is compounded quarterly. How much money will be in the account after 10 years? Round your answer to the nearest cent.
 \$ _____
 How much of this is due to interest?
 \$ _____

Answer.

- 1341.67
- 341.67

Example 5.9 A new mother knows she will need \$50,000 for her child's education in 18 years. If the account earns 6% compounded quarterly, how much should the mother deposit now to reach her goal? How much interest is earned?

Solution. We are given the following values:

- $A = \$50,000$ (the amount we want in 18 years)
- $r = 0.06$ (the interest rate as a decimal)
- $n = 4$ (interest is compounded quarterly)
- $t = 18$ (we're given the timeframe of 18 years)

We are asked to find the amount that needs to be deposited today (i.e., the present value), so we use the present value formula for compound interest:

$$P = \frac{A}{\left(1 + \frac{r}{n}\right)^{nt}}$$

$$P = \frac{50,000}{\left(1 + \frac{0.06}{4}\right)^{4 \times 18}}$$

$$P = \frac{50,000}{(1.015)^{72}} \approx \$17,116.50$$

To find the amount of interest earned, we observe that everything in the account other than the initial deposit must be interest! Since we deposited \$17,116.50 and ended up with \$50,000, the amount of interest earned must be:

$$\text{Interest} = \$50,000 - \$17,116.50 = \$32,883.50$$

Again, note we did NOT use the formula $I = Prt$ to compute the amount of interest earned. This formula should be used only in situations in which simple interest is being used. ▲

5. How much money should you deposit in a CD today paying 8% interest compounded monthly so it will accumulate to \$20,000 in 5 years?

\$ _____

Answer.

- 13424.21

The effective annual yield (or effective rate) of an account is the simple interest rate that would produce the same account balance after one year as the compound interest at a stated rate and compounding period. The effective annual yield is determined by the following formula:

$$Y = \left(1 + \frac{r}{n}\right)^n - 1$$

where:

- Y is the effective annual yield
- r is the compound interest rate represented as a decimal
- n is the number of compounding periods per year

Note 5.10 You do NOT need to memorize this formula! It will be provided for you on all quizzes and exams!

Let's look at an example!

Example 5.11 Sue deposits \$1,000 in an account that pays 5% interest compounded monthly. Find the account's effective annual yield.

Solution. We are given $r = 0.05$ and $n = 12$ (monthly compounding). Using the formula we see that:

$$Y = \left(1 + \frac{0.05}{12}\right)^{12} - 1 \approx 0.0512$$

This means that if we were to deposit \$1,000 in an account using a simple interest rate of 5.12%, we would have the same balance after one year as the account with monthly compounding at 5%. ▲

6. A passbook savings account has an interest rate of 5%. The interest is compounded daily. Find the account's effective annual yield.

Round your answer to the nearest tenth of a percent (e.g., 7.3).

_____ %

Answer.

- 5.1

05. Activity Annuities

Accounts with simple/compound interest require a one-time deposit. If we want to ensure the account balance reaches a certain amount by a particular point in the future, then we usually need to make a substantial deposit. For example, in a previous example we saw that to ensure a future value of \$9,930.61 in 20 years at 6% interest compounded monthly, we would need to deposit \$3,000 today!

For most of us, we aren't able to put a large sum of money like this in the bank today. Instead, we save for the future by depositing a smaller amount of money from each paycheck into the bank. This idea is called an **annuity**. Most retirement plans like 401(k) plans or IRA plans are examples of annuities.

In simplistic terms:

- For *compound interest*, we make a single deposit and this money sits in the account and earns interest.
- For an *annuity*, we make regular deposits (every month, week, year, etc.) and the money sits in the account and earns interest.

One technical thing: for the annuity formulas we will use, interest must be compounded at the same rate as the regular deposits are made. So if an annuity receives monthly deposits, interest will be compounded monthly.

See [Section](#) for the annuity notes.

1. Suppose you want to make weekly deposits into an annuity. How often should interest be compounded for this account?
 - (a) Quarterly
 - (b) Monthly
 - (c) Weekly
 - (d) Semi-annually
 - (e) It doesn't matter
 - (f) Annually
 - (g) Daily

Answer.

- C: Weekly
2. For each of the following scenarios, identify whether it is an account using compound interest or an annuity. Note that all must be correct to receive credit.
 - (a) Alex deposits \$5 a day into an account earning 9.25% interest compounded daily.
 - (b) Alex is saving for retirement and deposits \$50 into an account every week. The account has an interest rate of 3% and is compounded weekly.\$
 - (c) Alex deposits \$1000 in an account and earns 5% interest compounding monthly.
 - (d) Alex makes a one-time deposit of \$250 into an account with 4% interest compounded annually.
 - (e) Alex deposits \$150 every month into an account earning 7% interest compounded monthly.
 - (f) Alex deposits \$1000 every 3 months into an IRA that pays 6% compounded quarterly.

Answer.

- Alex deposits \$150 every month into an account earning 7% interest compounded monthly.
Alex is saving for retirement and deposits \$50 into an account every week. The account has an interest rate of 3% and is compounded weekly.\$
Alex deposits \$5 a day into an account earning 9.25% interest compounded daily.
Alex deposits \$1000 every 3 months into an IRA that pays 6% compounded quarterly.

Like with compound interest, there are two formulas we will consider in this course. Both are mathematically equivalent, but are solved in terms of different values for our convenience.

$$A = \frac{P \left[\left(1 + \frac{r}{n} \right)^{nt} - 1 \right]}{\left(\frac{r}{n} \right)}$$

$$P = \frac{A \cdot \left(\frac{r}{n} \right)}{\left(1 + \frac{r}{n} \right)^{nt} - 1}$$

where:

- P is the deposit amount made during each compounding period.
- A is the amount in the annuity after t years.
- r is the interest rate represented as a decimal.
- n is the number of compounding periods per year.
- t is the time in years.

Note 5.12 You do NOT need to memorize these formulas! They will be provided for you on all quizzes and exams! The first formula (the one with A on the left-hand side) should be used when we want to determine the future value of an annuity with a given deposit amount.

The second formula (the one with P on the left-hand side) should be used when we want to determine the deposit amount for an annuity to ensure a given future value. We look at some examples of using these formulas on the next page!

3. In which of the following situations would the formula $P = \frac{A \left(\frac{r}{n} \right)}{\left(1 + \frac{r}{n} \right)^{nt} - 1}$ be best used?
- (a) You want to know the future value of an account in 10 years which was started with a one-time deposit of \$5000.
 - (b) You want to determine the amount to regularly deposit into an annuity so that there is \$10,000 in the account in 10 years.
 - (c) You want to know how much would be in an annuity after 5 years with regular monthly deposits of \$250.
 - (d) You want to determine the amount of a one-time deposit into an account with 6% interest compounded weekly.

Answer.

- B: You want to determine the amount to regularly deposit into an annuity so that there is \$10,000 in the account in 10 years.

The calculation on the previous page was quite tedious! Fortunately, there are formulas that can be used to help us determine the future value of a loan or investment that undergoes compound interest and solve other problems relating to compound interest!

There are two formulas we will consider in this course. Both are mathematically equivalent, but are solved in terms of different values for our convenience.

$$A = P \left(1 + \frac{r}{n}\right)^{nt}$$
$$P = \frac{A}{\left(1 + \frac{r}{n}\right)^{nt}}$$

where:

- P is the principal (starting amount) of the loan or investment, sometimes called the present value.
- A is the future value of the loan or investment.
- r is the interest rate represented as a decimal.
- n is the number of compounding periods per year.
- t is the time in years.

Note 5.13 You do NOT need to memorize this formula! It will be provided for you on all quizzes and exams!

The first formula (the one with A on the left-hand side) is called the **future value formula** since it is solved for the future value. It should be used when we want to determine the future value of a loan or investment with a given present value.

The second formula (the one with P on the left-hand side) is called the **present value formula** since it is solved for the present value (principal). It should be used when we want to determine the present value of a loan or investment with a given future value.

The new quantity here that was not present before is n , the number of compounding periods per year. This will need to be given to us, and is often done so using keywords. Some examples of these are:

- If the compounding is done annually (once a year), then $n = 1$.
- If the compounding is done semi-annually, then $n = 2$.
- If the compounding is done quarterly, then $n = 4$.
- If the compounding is done monthly, then $n = 12$.
- If the compounding is done weekly, then $n = 52$.
- If the compounding is done daily, then $n = 365$.

The most important thing to remember about using these formulas is that it assumes that we put money in the account once and let it sit there earning interest. An account where we make regular deposits is called an **annuity**, and will be discussed in our next unit! We look at some examples of using these formulas on the next page!

4. At age 25, Joe decides to start saving for retirement. He decides to deposit \$200 at the end of each month into an IRA that pays 7.5% compounded monthly. How much money will be in the account when Joe retires at age 65? How much interest is earned?

Round your answer to the nearest dollar!

Answer.

- 604765

Example 5.14 You want to have \$1,000,000 in your account when you retire in 40 years. Your retirement account earns 7% interest compounded weekly. How much do you need to deposit each week to meet your retirement goal? How much of the \$1,000,000 is from interest?

Solution. We are given the following values:

- $A = \$1,000,000$ (the amount we want in 40 years)
- $r = 0.07$ (the interest rate as a decimal)
- $n = 52$ (interest is compounded weekly)
- $t = 40$ (we're given the timeframe of 40 years)

We are asked to find the amount of the regular deposits, so we use the deposit formula for an annuity:

$$d = \frac{A \cdot \frac{r}{n}}{\left(1 + \frac{r}{n}\right)^{nt} - 1}$$

$$d = \frac{1,000,000 \cdot \frac{0.07}{52}}{\left(1 + \frac{0.07}{52}\right)^{52 \times 40} - 1}$$

$$d \approx \$87.47$$

To find the amount of interest earned, we observe that everything in the account other than the regular deposits must be interest! We first find the total amount deposited over the course of the annuity. Since we deposited \$87.47 each week (52 per year) for 40 years, the total amount deposited is:

$$\text{Total Deposited} = \$87.47 \times 52 \times 40 = \$181,937.60$$

Since we deposited \$181,937.60 and ended up with \$1,000,000, the amount of interest earned must be:

$$\text{Interest} = \$1,000,000 - \$181,937.60 = \$818,062.40$$

Note we did NOT use the formula $I = Prt$ here to compute the amount of interest earned. This formula applies only to situations which use simple interest. If we used it here, we would not have calculated the correct amount of interest. ▲

5. How much should you deposit at the end of each month into an annuity that pays 6.5% interest compounded monthly if you would like to have \$2 million when you retire in 45 years?

Answer.

- 619.48

06. Activity Loans

An **installment loan** is a loan which you pay off with regular weekly or monthly payments. Examples include car loans, student loans, and mortgages; we will discuss mortgages in the next unit.

Sometimes a loan requires a **down payment**, which is the amount paid at the time of purchase. The **amount of the loan** is the actual amount borrowed. It does *not* include the down payment (when there is one) because this money is not part of the debt.

The loan amount must be repaid, with interest, in regular payments (monthly, weekly, quarterly, etc.). The compounding frequency for interest is not always explicitly given, but is determined by how often you make payments. So, if you are required to make monthly payments on an installment loan, the interest will be compounded monthly.

For our purposes in this course, we will assume that you make loan payments on a regular schedule (every month, year, quarter, etc.) and are paying interest on the loan.

See [Section 5](#) for the Mortgages notes.

1. The amount paid at the time of purchase is called what?

- (a) Principal
- (b) Down payment
- (c) Loan amount
- (d) Interest
- (e) Compounding amount
- (f) Compounding period
- (g) None of the above

Answer.

- B: Down payment

2. In this course, what assumptions will we be making about installment loans? Select ALL that apply!

- (a) We will be paying interest on the loan.
- (b) We will not have a down payment.
- (c) We will have a down payment.
- (d) We will make regular payments on the loan.

Answer.

- We will make regular payments on the loan.
We will be paying interest on the loan.

Like with compound interest and annuities, there are two formulas we will consider in this course. Both are mathematically equivalent, but are solved in terms of different values for our convenience.

$$PMT = \frac{P \cdot \left(\frac{r}{n}\right)}{1 - \left(1 + \frac{r}{n}\right)^{-nt}}$$
$$P = \frac{PMT \left[1 - \left(1 + \frac{r}{n}\right)^{-nt}\right]}{\left(\frac{r}{n}\right)}$$

where:

- P is the amount of the loan (borrowed amount).
- PMT is the regular payment amount.
- r is the interest rate represented as a decimal.
- n is the number of compounding periods per year.
- t is the time in years.

Note 5.15 You do NOT need to memorize these formulas! They will be provided for you on all quizzes and exams! The first formula (the one with PMT on the left-hand side) should be used when we want to determine the payment amount for a given loan, and the second formula (the one with P on the left-hand side) should be used when we want to determine how much we can afford with a given payment amount.

We look at some examples of using these formulas on the next page!

3. Identify the correct formula to use in each situation.

You borrow \$25,000 for a new car. You take out an installment loan for 3 years at 5% interest which requires regular monthly payments. How much will the monthly payments be?

(a) $PMT = \frac{P\left(\frac{r}{n}\right)}{\left[1 - \left(1 + \frac{r}{n}\right)^{-nt}\right]}$

(b) $P = \frac{PMT\left[1 - \left(1 + \frac{r}{n}\right)^{-nt}\right]}{\left(\frac{r}{n}\right)}$

(c) Neither of these

You can afford to pay \$200 per month as a car payment. If you can get a loan at 3% interest for 5 years, how expensive of a car can you afford?

(a) $PMT = \frac{P\left(\frac{r}{n}\right)}{\left[1 - \left(1 + \frac{r}{n}\right)^{-nt}\right]}$

(b) $P = \frac{PMT\left[1 - \left(1 + \frac{r}{n}\right)^{-nt}\right]}{\left(\frac{r}{n}\right)}$

(c) Neither of these

Answer.

• A: $PMT = \frac{P\left(\frac{r}{n}\right)}{\left[1 - \left(1 + \frac{r}{n}\right)^{-nt}\right]}$

• B: $P = \frac{PMT\left[1 - \left(1 + \frac{r}{n}\right)^{-nt}\right]}{\left(\frac{r}{n}\right)}$

Example 5.16 You decide to borrow \$25,000 for a new car. You take out an installment loan for 3 years at 5% interest which requires regular monthly payments. How much will the monthly payment be? How much interest will you pay in total?

Solution. We are given the following values:

- $P = \$25,000$ (the amount borrowed)
- $r = 0.05$ (the interest rate as a decimal)
- $n = 12$ (interest is compounded monthly)
- $t = 3$ (the loan is taken out for 3 years)

We are asked to find the amount of the monthly payment, so we use the formula for an installment loan:

$$PMT = \frac{P \cdot \frac{r}{n}}{1 - \left(1 + \frac{r}{n}\right)^{-nt}}$$

$$PMT = \frac{25,000 \cdot \frac{0.05}{12}}{1 - \left(1 + \frac{0.05}{12}\right)^{-12 \times 3}}$$

$$PMT \approx \$749.38$$

To find the amount of interest paid, we first calculate the total amount paid over the course of the loan. We know that \$25,000 of this went to pay off the amount borrowed, and the rest must be interest. Since we paid \$749.38 each month (12 per year) for 3 years, the total amount paid is:

$$\text{Total Paid} = \$749.38 \times 12 \times 3 = \$26,977.68$$

Since \$25,000 of this is the amount borrowed, the amount of interest you will pay will be:

$$\text{Interest} = \$26,977.68 - \$25,000 = \$1,977.68$$

4. You borrow \$40,000 to purchase a new car. To pay for this, you take out a car loan for 5 years at 7.5% interest. How much will your monthly payments be? ▲

Answer.

- 801.52

07. Activity Mortgages

A **mortgage** is a long-term loan, usually 15 or 30 years, for purposes of buying a home. Like other loans, they must be repaid on regular intervals (usually monthly) with regular payments and accrue interest over time compounded at the same rate as the payments.

See [Section](#) for the Mortgages notes. We begin by noting that we will be considering a very simplistic view of mortgages. In reality, they are extraordinarily complicated and technical, and the complete mathematics behind them is too advanced for us in this course. However, our goal is to understand the basics of how mortgages work and how math can be used to analyze them.

Mortgages have some special features that distinguish them from a typical loan. These include:

- **Down Payment:** This is a percent of the sale price of the home that is paid at the time of closing (purchase). Because it is paid at closing, money is **not** borrowed to cover the down payment. In other words, the amount of the mortgage is the sale price of the home minus the down payment amount.
- **Points:** This is a fee paid to a lender at the time of closing. Each point represents one percent of the mortgage amount, i.e.:
 - 1 point is 1% of the mortgage amount
 - 2 points is 2% of the mortgage amount
 - 3 points is 3% of the mortgage amount

Points are not included in the mortgage amount since they must be paid at closing, and is not considered interest. One important point (ha!) here: points are taken on the mortgage amount, not the sale price!

There are MANY other fees associated with mortgages that we will not discuss here; this is an example of the simplistic view mentioned above. One nice thing about mortgages is that once we take the down payment into consideration, the basic mathematics of mortgages is the same as with installment loans! For example, we use the same two formulas to determine the payment amount for a given mortgage and the maximum mortgage amount we can afford based on a given payment amount, respectively:

$$\text{Payment } PMT = \frac{P \cdot \left(\frac{r}{n}\right)}{1 - \left(1 + \frac{r}{n}\right)^{-nt}}, \quad \text{Mortgage } P = \frac{PMT \left[1 - \left(1 + \frac{r}{n}\right)^{-nt}\right]}{\left(\frac{r}{n}\right)}$$

where:

- P is the amount of the mortgage (borrowed amount).
- PMT is the regular payment amount.
- r is the interest rate represented as a decimal.
- n is the number of compounding periods per year.
- t is the time in years.

Note 5.17 You do NOT need to memorize these formulas! They will be provided for you on all quizzes and exams!

1. Suppose you are taking out a mortgage and you must pay two points on it. How much must be paid?
- (a) 1% of the down payment
 - (b) 3% of the monthly payment
 - (c) 2% of the mortgage amount
 - (d) 3% of the mortgage amount
 - (e) 1% of the mortgage amount
 - (f) 1% of the monthly payment
 - (g) 3% of the sale price
 - (h) 1% of the sale price
 - (i) 2% of the sale price
 - (j) 2% of the monthly payment
 - (k) 2% of the down payment
 - (l) 3% of the down payment

Answer.

- C: 2% of the mortgage amount

2. Suppose you purchase a home which costs \$500,000 and requires a \$50,000 down payment. What is the amount of the mortgage required for this home?
\$ _____

Answer.

- 450000

3. Which of the following is true about the formulas used for calculations with mortgages?

- (a) They are the same as for annuities.
- (b) They are completely different from all other formulas we have encountered in the course so far.
- (c) They are the same as for installment loans.
- (d) They are the same as for compound interest.
- (e) There are no formulas for mortgages.

Answer.

- C: They are the same as for installment loans.

See [Example 2.31](#) and [Example 2.32](#). The price of a home is \$195,000. The bank requires a 10% down payment and two points at the time of closing. The cost of the home is financed with a 30-year fixed-rate mortgage at 7.5%.

If we take a closer look at the example above, we notice something that is likely surprising to anyone who has not encountered a mortgage before: more than half of the amount paid covers the interest for the mortgage! In fact, over 60% of the total paid covers the interest. This is a consequence of the long length of the mortgage.

4. The price of a condo is \$280,000. The bank requires a 5% down payment and one point at the time of closing. The cost of the condo is financed with a 15-year fixed-rate mortgage at 8%.
- Find the required down payment.
\$ _____
 - Find the mortgage amount.
\$ _____
 - Find the amount paid for the one point at closing.
\$ _____
 - Find the monthly payment amount. Round to the nearest dollar.
\$ _____
 - Find the total amount paid over the 15 years (not including the down payment or points).
\$ _____
 - Find the total amount of interest accrued over the 15 years.
\$ _____

Answer.

- 14000
- 266000
- 2660
- 2542
- 457560
- 191560

Example 5.18 Amanda and Fred are buying a house on a 30-year mortgage. They can only afford to pay \$800 per month for a mortgage. If they have an interest rate of 3.75%, what is the maximum price of a mortgage they can afford?

Solution. We are given the following values:

- $PMT = \$800$ (their max payment amount)
- $r = 0.0375$ (the interest rate as a decimal)
- $n = 12$ (interest is compounded monthly)
- $t = 30$ (the mortgage will be for 30 years)

We are asked to find the maximum amount of a loan we can afford, so we use the installment loan formula solved for P :

$$P = \frac{PMT \left[1 - \left(1 + \frac{r}{n} \right)^{-nt} \right]}{\left(\frac{r}{n} \right)}$$

$$P = \frac{800 \left[1 - \left(1 + \frac{0.0375}{12} \right)^{-12 \times 30} \right]}{\left(\frac{0.0375}{12} \right)}$$

$$P \approx \$172,743.05$$

Based on this calculation, if Amanda and Fred can only afford an \$800 monthly payment for a mortgage, then they should be sure not to take out a mortgage larger than around \$172,743.05. ▲

5. You want to purchase a home with a 15-year mortgage with 6.5% interest. You can afford to pay \$2000 each month. What is the maximum amount of a mortgage you can afford?

Round to the nearest dollar.

\$ _____

Answer.

- 229592

Chapter 6

Handouts

Chapter 7

Homework

Chapter 8

Course Documents

MA-105-BL: Survey of Math

Worcester State University, DGCE, Summer 2026

Course Information

Instructor	Dr. Hansun To, Professor of Mathematics, htol@worchester.edu .
Meeting Information	This is a Hybrid Course, combining online and in-person learning to provide a flexible and tailored experience. You'll have the opportunity to learn at your own pace using MyOpenMath, participate in Zoom discussions as needed, and attend in-person sessions for exams. <i>In-person attendance is required</i> for the following sessions: • Two midterm exams (1 hour and 30 minutes): ◦ (In person) Thursday, June 4th, from 03:30 PM to 05:00 PM ◦ (Online) Thursday, June 25th. (The exam will be available on Thursday, June 25th, at 08:00 AM. Please submit your work by 06:30 PM, including any necessary show work attachments.) • Final exam (three hours): ◦ (In person) Thursday, July 2nd, from 03:30 PM to 05:30 PM All in-person exams will be held in Sullivan room S-136. Please plan accordingly to ensure your attendance at these mandatory sessions.
Prerequisite	Math placement exam code 3 or higher, or a weighted high school GPA of 2.7 or higher within the past 3 years

Responsibility for Learning. Every student is responsible for their own learning. The instructor will make every effort to support you; however, if you

need any help it is your responsibility to reach out with questions

Course Content. In this course we will learn to improve the level of quantitative awareness of students using familiar situations that provide a sense of purpose for studying mathematics. The objective is not to make mathematicians of the students, but to help them deal as comfortably as possible with an environment that increasingly makes use of quantitative reasoning. Topics will include voting and apportionment methods, personal finance, set theory, and probability theory.

Required Materials. A calculator is required for this course. There is no required textbook; notes will be provided in class (or in pdf format) and other materials will be freely available on the MyOpenMath platform.

Calculators. A scientific, non-graphing calculator capable of computing logarithmic and trigonometric values is required, though its use will be limited to only a handful of sections. I recommend the *TI-30X IIS*, which you can usually find for around \$15. Graphing calculators, phones, tablets and any unauthorized devices are never allowed!

MyOpenMath. MyOpenMath (MOM) is a free, open source, online course management system designed for mathematics which we will use extensively in this course. It is available at <https://www.myopenmath.com/>. You will need to create an account and register for our course on MyOpenMath to get started; we will do this as a group during the first class meeting. All course documents and materials will be posted on MyOpenMath; and all homework will be completed through MyOpenMath.

Assignments and Grading

Homework. Practice is a primary component of the mathematical learning process. For this reason, homework sets will be assigned on MyOpenMath after most class meetings. Assignments will always be due on Wednesdays by 11:59pm. This means you will often have two homework sets due on Wednesday, one which opened on the previous Monday and the other which opened on the previous Wednesday. While the number of problems in each homework set will vary, your score will be considered as a percentage and each set will be weighted equally when computing your homework grade. The problems on the homework sets are sometimes meant to deepen or extend the understanding you have gained from the class lecture and discussion; you should expect to find some of the exercises difficult.

The online homework is set up so you can try most problems two times, then the correct answer will be shown (there may be some questions in which you have only one try, this will be indicated in the homework set). If you miss a problem and want to improve your score, you can click the "Try a similar problem" link, which will give you a new question of the same type. You can keep on working on versions of a question until you get it correct. ***You must earn at least 50% on an assignment for your score to count towards your grade; any set in which you earn less than 50% will be counted as a 0.*** Assignments will remain available in "Practice" mode after their due date to provide additional practice of concepts; new versions of problems can be generated and answered, but scores will not be saved. ***Be aware, opening an online homework assignment in "Practice" mode will disqualify***

you from being able to redeem a LatePass on that assignment! If you are having trouble on a problem, you may use the "Message Instructor" link, which will allow you to send me a message through MyOpenMath; the specific problem you are working on will be automatically included in the message. I can then reply to the message with some guidance. These messages are internal to MyOpenMath and not email, so my reply will go to your messages when you login to MyOpenMath. I will check my messages on MyOpenMath at least once per day. Some problems may have a link to a video solution of a similar problem.

To account for any unexpected emergencies or technical issues that may occur, we will utilize the LatePass feature in MyOpenMath. A LatePass can be redeemed for an automatic 48-hour extension on any online homework set which has NOT been viewed in "Practice" mode. To use a LatePass, click the "Use LatePass" button next to the appropriate assignment on MyOpenMath and the platform will automatically extend the due date for that assignment to 48 hours after the original due date. Each student will be given 8 LatePasses to use as they wish throughout the semester. Note a maximum of two LatePasses can be used on any single assignment. If circumstances require a more substantial extension, contact your instructor as soon as possible to discuss this possibility.

Exams. There will be four exams in this course, one of which will be a cumulative final exam. Tentative dates are June 4, June 25, May 6, and July 2.

Grade Allocation. Your course grade will be determined by the following distribution. ***You must get at least a 50% on the final exam in order to pass the class.***

Assignment	Percentage
MyOpenMath Online Homework	10%
MyOpenMath Online Interactive Activities	10%
MyOpenMath Online Quizzes	10%
Exam 1	20%
Exam 2 (online)	20%
Final Exam	30%

Grading Scale. Letter grades will be assigned as follows. Grades will not be curved.

Letter Grade	Percent Needed
A	93%
A-	90%
B+	87%
B	83%
B-	80%
C+	77%
C	73%
C-	70%
D+	67%
D	63%
D-	60%
E	Below 60%

Course Policies

Email. I try to respond to emails and MyOpenMath messages within 24 hours. You are encouraged to email/message regarding the homework; however, emails sent within 24 hours of a due date may not get a response before the deadline. So do not wait until the last minute to attempt the assignments!

Studying. To succeed in this course, you will need to do more than simply attend class. Mathematics is a subject which is learned by doing, meaning it is important to work problems outside of class to fully understand the concepts we cover. The assigned homework is the minimum amount you should be completing; if you feel like you don't fully understand a concept, ask me to guide you to some additional practice problems. A general rule for studying (in all college courses) is for each hour of class per week you spend a minimum of two hours outside of class on homework, studying, reading the text, etc.

Since this is a hybrid course and it is three credit hours, you should plan to spend at least six hours per week working on course material for a regular semester. Since this is a 7-week summer course, that time is doubled to 12 hours per week.

Academic Integrity and AI Usage. The WSU Mathematics Department does not tolerate academic dishonesty! For an explanation of what is considered “academic dishonesty” at WSU, please see the policy included in the [2025-2026 Undergraduate Catalog](#). All instructors in the WSU Mathematics Department are required to report all incidents of academic dishonesty observed, detected, or otherwise determined to have occurred to the WSU Academic Central File. WSU requires some penalty be imposed for every reported violation of the academic honesty policy. All incidents of academic dishonesty in this course will result in (at least) a score of 0 on that assignment; additional penalties will be imposed at the instructor's discretion and/or as required by the [Mathematics Department Academic Honesty Policy](#).

Artificial Intelligence (AI) Policy: Artificial intelligence (AI) tools (ChatGPT and similar platforms) may be used for *study support and practice only*. Acceptable uses include reviewing concepts, generating practice problems, checking understanding of definitions, or exploring alternative explanations of course material. AI tools are not permitted on any graded assignments, quizzes, or examinations unless explicitly authorized by the instructor. This includes, but is not limited to, using AI to generate solutions, explanations, written work, computations, graphs, or code that is submitted for credit. All submitted work must reflect the student's own understanding and effort. Reliance on AI-generated responses in place of independent problem-solving undermines the learning objectives of this course and is not allowed. Students are responsible for ensuring that any work they submit complies with this policy. Use of AI in violation of this policy will be treated as a violation of the Academic Honesty Policy and may result in penalties including a score of zero on the assignment, quiz, or exam, and additional disciplinary action as required by university policy.

Instructor Rights. *As the instructor of this course, I reserve the right to make changes to the above course policies at any time. All changes will be announced in class.*

Student Learning Outcomes

Students will be able to:

1. Students will be able to communicate their mathematical reasoning.
2. Financial Management: Students will be able to calculate simple and compound interest, loan installments and mortgage payments.
3. Probability Theory: Students will be able to determine sample spaces for experiments, calculate probabilities with fundamental counting principles, permutations and combinations.
4. Voting Methods: Students will be able to discuss the pros and cons of several voting methods and how they can be manipulated by a knowledgeable individual.

LASC

This is a Quantitative Reasoning (QR) course in the Liberal Arts and Sciences Curriculum (LASC).

The course addresses the following LASC Quantitative Reasoning objectives:

1. Acquaint students with formal systems, procedures, and sequences of operations.
2. Strengthen students' understanding of variables and functions.
3. Apply mathematical techniques to the analysis and solution of real-life problems.
4. Emphasize the importance of accuracy, including precise language and careful definitions of mathematical concepts.
5. Understand both the underlying principles and practical applications of one or more fields of mathematics.
6. Develop an understanding of and facility with statistical analysis and analysis, including understanding of its applications and limitations.

and the following LASC overarching objectives:

1. Communicate effectively orally and in writing.
2. Understand and employ quantitative and qualitative reasoning.
3. Apply skills in critical thinking.
4. Understand the roles of science and technology in our modern world.
5. Become socially responsible agents in the world.
6. Make connections across courses and disciplines.
7. Develop as healthy individuals--physically, emotionally, socially, ethically, and intellectually.

Course Schedule

Here is a tentative schedule of topics. We will try to stay on schedule as much as possible. If class is canceled for any reason, then the schedule will be adjusted to accommodate this cancelation. This could include a rearrangement of topics, removing a "review" day, or skipping a topic entirely, depending on the timing of the cancelation. Any changes to this schedule will be announced in class and via email.

Table 8.1 Course Schedule and Exam Dates

Unit	Topics	Due Dates
1	Voting methods, apportionment	Fri 5/22
2	Simple interest, compound interest	Wed 5/27
3	Annuities, installment loans (<i>Quiz 1</i>)	Wed 5/27
4	Mortgages, credit cards	Wed 6/3
<i>In-Person Exam 1</i> Thu 6/4 (3:30-5:00pm) (S-136)		
5	Set basics, subsets	Wed 6/10
6	Set operations, surveys (<i>Quiz 2</i>)	Wed 6/10
7	Intro to probability, events involving “not”, “or”, “and”	Wed 6/17
8	Counting, permutations, combinations (<i>Quiz 3</i>)	Wed 6/17
<i>Online Exam 2 (Thu 6/25)</i>		
9	Probability with counting, odds, conditional	Fri 6/26
<i>In-Person FINAL EXAM</i> Thu 7/2 (3:30-6:30pm) (S-136)		